

National Income & Gross Domestic Product

1. Which of the following is not a method to calculate the Gross Domestic Product (GDP)?

- (a) Product method
- (b) Diminishing cost method
- (c) Income method
- (d) Expenditure method
- (e) None of the above / More than one of the above

66th B.P.S.C. (Pre) (Re-Exam) 2020

Ans. (b)

The 3 methods which are used for calculating the Gross Domestic Product (GDP) are as follows :

- 1. Product method
- 2. Income method
- 3. Expenditure method

The diminishing cost method is not used to calculate the GDP.

2. Which one does not come under economic infrastructure?

- (a) roads
- (b) railway
- (c) education for health
- (d) energy

39th B.P.S.C. (Pre) 1994

Ans. (c)

There are two types of infrastructure -

- (i) Physical infrastructure and
- (ii) Social infrastructure. Under physical economic infrastructure – roads, electricity, energy, water and air transport, telecommunication etc. come. Social infrastructure includes health, education, insurance, housing, etc., which are related to the development of human skills. Infrastructure is called so because it has a basic (without which development is not possible) role in the development of the economy.

3. Hindu growth rate is related to :

- (a) Money
- (b) GDP
- (c) Population
- (d) GNP
- (e) None of the above/More than one of the above

65th B.P.S.C. (Pre) 2019

Ans. (b)

The term Hindu rate of growth was used for the first time by Prof. Raj Krishna in the year 1981 while speaking at the American Economic Association. According to him the Hindu tradition which is not favourable to development or which do not promote development is the major cause of the slow growth rate of National Income/GDP in India, which stagnated around 3.5% from 1950s to 1980s. Hence, it is clear that Hindu rate of growth mentioned by Prof. Raj Krishna is related to National Income/GDP.

4. What is money?

- (a) Income
- (b) Commodity
- (c) Wealth
- (d) Savings
- (e) None of the above / More than one of the above

B.P.S.C. Project Manager Prelims 2021

Ans. (b)

Money, a commodity accepted by general consent as a medium of economic exchange. It is a medium in which prices and values are expressed as currency.

5. The economist who for the first time scientifically determined National Income in India :

- (a) D.R. Gadgil
- (b) V.K.R.V. Rao
- (c) Manmohan Singh
- (d) Y.V. Alagh
- (e) None of the above/More than one of the above

60th to 62nd B.P.S.C. (Pre) 2016

Ans. (b)

The first attempt to calculate National Income of India was made by Dadabhai Naoroji in 1867-68, while for the first time National Income of India was scientifically determined by Dr. V.K.R.V. Rao in 1931-32.

6. Who was the remarkable person who took the action for calculating the national income of India before Independence?

- (a) Jawaharlal Nehru
- (b) Mahatma Gandhi
- (c) Dadabhai Naoroji
- (d) Surendranath Banerjee

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Ans. (c)

Dadabhai Naoroji was a remarkable person who took action for calculating the national income of India before independence. However, the first scientific approach to calculate the national income of India was used by Professor V.K.R.V. Rao for the first time in 1931-32

7. Which of the following offices or institutes releases data of the National Income in India?

- (a) NSSO
- (b) NITI Aayog
- (c) CSO
- (d) Prime Minister's Office
- (e) None of the above / More than one of the above

66th B.P.S.C. (Pre) (Re-Exam) 2020

Ans. (e)

In India, the estimates of National Income were prepared and released by the erstwhile Central Statistical Office (CSO) which was established in 1951 as the Central Statistical Organization. At present, data of the National Income in India is estimated and released by the National Statistical Office (NSO), which was formed with the merger of the Central Statistical Office (CSO) and the National Sample Survey Office (NSSO) in 2019.

8. Which organization carries out the survey for determining the poverty line?

- (a) RBI
- (b) NSSO
- (c) NITI Aayog
- (d) More than one of the above
- (e) None of the above

68th B.P.S.C. (Pre) 2022

Ans. (b)

The National Sample Survey Office (NSSO) is responsible for conduct a large scale sample surveys in diverse fields on All India basis. Primarily data are collected through nationwide household surveys on various socio-economic subjects, annual surveys of industries etc. It also carries but the survey for determining the poverty line.

9. Which ministry is responsible for calculating GDP of India?

- (a) The Ministry of Commerce and Industry
- (b) The Ministry of Finance
- (c) The Ministry of Consumer Affairs
- (d) The Ministry of Central Statistical and Program Implementation
- (e) None of the above / More than one of the above

B.P.S.C. Assistant Audit Officer 2022

Ans. (d)

In India, the Central Statistics Office (CSO), which is a part of the Ministry of Statistics and Programme Implementation (MoSPI), is primarily responsible for Calculating the Gross Domestic Product (GDP) of the Country. The CSO collects, compiles, and releases GDP estimates on a quarterly and annual basis.

10. By whom the estimation of national income figures in India is done?

- (a) Planning Commission
- (b) Reserve Bank of India

- (c) Ministry of Finance
- (d) Central Statistical Organization

47th B.P.S.C. (Pre) 2005

44th B.P.S.C. (Pre) 2000

40th B.P.S.C. (Pre) 1995

45th B.P.S.C. (Pre) 2001-02

Ans. (d)

Explanation-

National income figures in India are estimated by the National Statistical Office (NSO) [formerly the 'Central Statistics Organization (CSO)']. NSO publishes national income data annually under the name "**National Account Statistics**". At present the base year of national income is 2011-12.

11. In which year the rate of growth of India's Per Capita Income at constant prices was the highest during the period 1951-52 to 2015-16?

- (a) 2015-16
- (b) 2010-11
- (c) 2007-08
- (d) 2014-15
- (e) None of the above/More than one of the above

63rd B.P.S.C. (Pre) 2017

Ans. (c)

As per the question period and 2004-05 series, option (c) was the correct answer. As per Economic Survey 2020-21, in the period from 1951-52 to 2020-21, the maximum growth rate of Per Capita Income (Per Capita NNI) at constant prices (2004-05 series) in India was recorded in the year 2007-08. In that year growth rate of 8.6% was recorded in Per Capita Income of India. After that maximum Per Capita Income growth rates at constant prices were obtained in the year 2010-11 (8.3%), 2006-07 (7.6%) and 2005-06 (7.5%). As per Economic Survey 2021-22, the maximum growth rate of Per Capita Income at constant prices (2011-12 series) is recorded in the year 2021-22 (8.4% in 1st A.E.). As per a presentation made by the Chief Economic Advisor V. Anantha Nageswaran at a press conference after the tabling of the Economic Survey for 2023-24, the per capita income is currently ₹ 2.12 lakh in 2023-24.

12. The best index of economic income can be provided by-

- (a) increase in national income at current
- (b) increase in per capita real income per year
- (c) increase in savings ration
- (d) improvement in balance of payment position
- (e) None of the above/ more than one of the above

67th B.P.S.C. (Pre) 2021

Ans. (b)

For the Economic growth of a country, the most appropriate measure of economic development is per capita output/per capita real income, as it reflects the per capita availability of national income.

13. India is called an underdeveloped country due to its-

1. reasons for the need for planning
2. rapid increase in population
3. over dependence on agriculture
4. improvement in balance of payment position

Choose your answer in the following codes -

- (a) only 1 (b) 1 and 2
(c) 2 and 3 (d) 2, 3 and 4

40th B.P.S.C. (Pre) 1995

Ans. (d)

Due to the rapid growth rate of India's population, the absolute population (due to relatively low death rate) is increasing rapidly. As a result, there is an economic burden on the country to maintain the earlier standard of living of the population. While in developed countries less than 10 percent of the working population is engaged in agriculture (except in New Zealand which is an exception), in India about 49 percent of the working population is engaged in agriculture. The contribution of agriculture to the GVA of developed countries was between 1 to 3 percent (except New Zealand), while the contribution of agriculture to GVA in India is about 17.7 percent (in the year 2023-24). Due to industrial backwardness as a result of the slow pace of industrial growth, only about 24.4 percent of the working population in India was employed in industries and the contribution of this sector to GVA is about 27.6 percent (in the year 2023-24).

14. Economic growth in India has been hindered mainly by-

- (a) due to inefficient agricultural system
(b) due to unregulated system
(c) due to Western social attitude
(d) all of the above

41st B.P.S.C. (Pre) 1996

Ans. (d)

The reasons for stalling economic development in India include inefficient agricultural system, irregular industrialization and western social attitudes. The 'demonstration effect' has prevailed in Indian society due to western social acculturation, which has adversely affected savings and investment.

15. Per capita income of a country is obtained from-

- (a) population
(b) national income

(c) both national income and population

(d) None of the above

Ans- (c)

45th B.P.S.C. (Pre) 2001-02

National income of a country (Net National Product at factor cost : NNP_{FC} divided by population per capita income of that country (PCI) is received.

$$\text{Per capita income} = \frac{\text{National Income}}{\text{Population}}$$

16. The latest Per Capita Income at current prices is lowest for the Indian State of :

- (a) Bihar (b) Uttar Pradesh
(c) Odisha (d) Nagaland

(e) None of the above/More than one of the above

63rd B.P.S.C. (Pre) 2017

Ans. (a)

As per the Economic Survey 2023-24 of Bihar, the Per Capita Income (NSDP Per Capita) of Bihar at current prices is estimated to be Rs. 59,637 in 2020-21, while the per capital NSDP of Bihar is Rs. 54,111 at current prices in 2022-23. Which is lowest among all States/UTs in India. The Per Capita Income of Goa (**Rs. 596260**) is highest in the country while the per capita income is highest in Sikkim.

17. Which sector of the Indian economy has significant development during the last decade?

- (a) Primary sector (b) Secondary sector
(c) Tertiary sector (d) Mining sector

45th B.P.S.C. (Pre) 2001-02

The contribution of tertiary sector (i.e. service sector) to India's GDP (now GVA) increased from 41.0% in the financial year 1991-92 to 54.7% in the year 2023-24.

18. Which of the following factors could potentially contribute to stagflation in the Indian economy?

1. High inflationary pressures due to increased Government spending
2. Decline in industrial production and sluggish economic growth
3. Decrease in aggregate demand and consumer spending
4. Appreciation of the domestic currency leading to reduction of export competitiveness

Select the correct answer using the codes given below.

- (a) Only 1 and 2 (b) Only 2 and 3
(c) Only 1, 3 and 4 (d) 1, 2, 3 and 4

69th B.P.S.C. (Pre) 2023

Ans. (d)

All the four statement could potentially contribute to stagflation in the Indian economy.

19. Consider the following statements about infant mortality rate :

1. It is the probability of dying between birth and exactly 1 year of age, expressed per 10000 live births.
2. The infant mortality rate in the year 1950 was 189-6.
3. In the year 2019, the infant mortality rate was 30.
4. As per the Sample Registration System (SRS) Bulletin of Registrar General of India (RGI), the State with the highest infant mortality rate in the year 2019 was Uttar Pradesh.

Which of the above statements are correct?

- (a) 1, 2 and 3 (b) 2, 3 and 4
(c) Only 2 and 3 (d) 1 and 4

69th B.P.S.C. (Pre) 2023

Ans. (c)

IMR (Infant Mortality Rate) is expressed in 1000 live birth, so statement (1) is wrong. Madhya Pradesh has the highest IMR in 2019. In 2019, Infant Mortality Rate for All India was 30. So correct statements are 2 and 3. At present India's infant mortality rate for 2024 is 25 deaths per 1000 live births, which is a 3.08% decrease from 2023.

Sustainable Economic Development

1. Which sector of the Indian economy contributes the most to the Gross National Product ?

- (a) Primary sector (b) Secondary sector
(c) Tertiary sector (d) Public sector

44th B.P.S.C. (Pre) 2000

In India, the tertiary sector i.e. service sector contributes the most to the Gross National Product. The three components of the tertiary sector are (i) Transport, communication and trade (ii) banking, insurance and real estate and (iii) community and personal services. According to the Economic Survey, 2023-24, the share of tertiary sector in Gross National Product (now Gross Value Added: GVA) is 54.7%.

2. What is the India's rank in the 2016 Sustainable Development Goal Index?

- (a) 110th (b) 88th
(c) 63rd (d) 129th

(e) None of the above/More than one of the above

60th-62nd B.P.S.C. (Pre) 2016

Ans. (a)

India was ranked at 110th place among 149 countries in 2016 Sustainable Development Goal (SDG) Index. As per the 6th Edition of 'Sustainable Development Report 2021', released by Sustainable Development Solutions Network (SDSN) in June, 2021, India with a score of 60.1 has been placed at 120th rank out of 165 countries. As per SDG Index 2022 with a score of 60.3 has been placed at 121st rank out of 163 countries. As per SDG Index 2024, India was ranked at 109th place among 166 countries.

3. Which of the following countries has topped in the Human Capital Index, 2020?

- (a) Japan (b) South Korea
(c) Singapore (d) Hong Kong
(e) None of the above / More than one of the above

66th B.P.S.C. (Pre) 2020

Ans. (c)

The Human Capital Index (HCI) is an international metric that benchmarks the key components of human capital across countries. The HCI was launched by the World Bank in 2018 as part of the Human Capital Project. Its latest 2020 update was launched in September, 2020. In this update, Singapore again ranked first among 174 economies with score of 0.88. In HCI 2020, India has been ranked at the 116th position (it was 115th out of 157 countries in 2018). India's score increased to 0.49 in 2020 from 0.44 in 2018. As per 2023 World Bank Human Capital Index India's rank is 116 out of 195 countries.

4. With whom the CEO of NITI Aayog, B. Subrahmanyam has recently signed the 'Government of India-United Nations Sustainable Development Cooperation Framework'?

- (a) Shombi Sharp (b) Eric Garcetti
(c) Ruchira Kamboj (d) Suman Bery

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Ans. (a)

On 16 June 2023, NITI Aayog and the United Nations in India signed the Government of India - United Nations Sustainable Development Cooperation Framework 2023-2027. The GoI-UNSDCF was signed by Mr. B V R Subrahmanyam, CEO, NITI Aayog, and Mr. Shombi Sharp, UN Resident Coordinator, India in the presence of the Vice Chairman of NITI Aayog, Mr. Suman Bery, senior representatives from NITI Aayog, central ministries and heads of UN agencies in India.

5. **Human capital formation as a concept is better explained in terms of a process, which enables**
1. individuals of a country to accumulate more capital
 2. increasing the knowledge
 3. increasing the skill levels
 4. increasing the knowledge, skill levels and capacities of the people of the country

Select the correct answer using the codes given below.

- (a) Only 1 (b) 1 and 2
(c) 3 and 4 (d) Only 4

69th B.P.S.C. (Pre) 2023

Ans. (d)

Human capital formation as a concept is better explained in increasing the knowledge, skill levels and capacities of the people of the country. Hence option (d) is correct.

Agriculture and Allied Sector

1. **In India, the agricultural 'crop year' period is**

- (a) 1st January - 31st December
(b) 1st April - 31st March
(c) 1st June - 31st May
(d) 1st July - 30th June
(e) None of the above/More than one of the above

B.P.S.C. CDPO 2018

Ans. (d)

The agricultural crop year in India is from 1st July - 30th June. There are three distinct crop season in India, namely Kharif, Rabi and Zaid.

2. **What was the principal source of the Indian economy on the eve of independence?**

- (a) Agricultural sector (b) Industrial sector
(c) IT sector (d) Foreign trade sector

B.P.S.C. Assistant Mains (GK) Paper II 2023

Ans. (a)

The principle source of Indian economy on the eve of independence was Agricultural sector. Agriculture was the first considered source of income and occupation in the Indian economy.

3. **The target for total agricultural credit fixed in Budget of the GOI, 2020-21 is**

- (a) ₹12 lakh crore (b) ₹13 lakh crore
(c) ₹14 lakh crore (d) ₹15 lakh crore
(e) None of the above / More than one of the above

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Ans. (d)

The agriculture credit flow for the year 2020-21 was 15,75,398 crore against the target of 15,00,000 crore for the year. Agricultural credit is special credit advanced to farmers, agricultural producers, and others to finance agricultural transactions. A provision of ₹ 1.52 lakh crore for agriculture and allied sector announced under latest budget (2024-25) and agricultural credit is of 24 lakh crore.

4. **What is the policy measure adopted by the Government of India to improve the system of agricultural marketing?**

- (a) Public Distribution System (PDS)
(b) Minimum Support Price (MSP)
(c) Maintenance of Buffer Stock
(d) More than one of the above
(e) None of the above

68th B.P.S.C. (Pre) 2022

Ans. (d)

Public Distribution System (PDS), Minimum Support Price (MSP) and Maintenance of Buffer Stock etc. are policy measure adopted by Government of India to improve the system of agricultural marketing.

5. **Which one among the followings is not an objective of food management in India?**

- (a) Distribution of food grains
(b) Procurement of food grains
(c) Maintenance of food grains buffer stock
(d) Export of food grains
(e) None of the above / More than one of the above

66th B.P.S.C. (Pre) 2020

Ans. (d)

Procurement and distribution of food grains and maintenance of food grains buffer stock are main objectives of food management in India, while export of food grains is not an objective of food management in India.

6. **Which agency is responsible for procurement, distribution and food grain production in India?**

- (a) Ministry of Agriculture
(b) Food Corporation of India
(c) TRIFED
(d) NAFED
(e) None of the above / More than one of the above

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Ans. (b)

The Food Corporation of India (FCI) is the agency responsible for procurement, distribution, and food grain production India. It is a government - owned corporation that operates under the Ministry of Consumer Affairs, Food and Public Distribution.

FCI plays a crucial role in ensuring food security in the country by procuring food grains from farmers, maintaining buffer stocks, and distributing them through the Public Distribution System (PDS) and other welfare schemes.

7. The size of marginal landholding in India is :

- (a) More than 5 hectares (b) 2 hectares to 4 hectares
- (c) 1 hectare to 2 hectares (d) less than 1 hectare
- (e) None of the above/More than one of the above

63rd B.P.S.C. (Pre) 2017

Ans. (d)

In Indian Agriculture Census, the operational holdings are categorized into five size classes :

- 1. Marginal – Below 1 hectare
- 2. Small – 1 to 2 hectares
- 3. Semi-Medium – 2 to 4 hectares
- 4. Medium – 4 to 10 hectares
- 5. Large – 10 hectare and above

8. The average size of landholdings in Bihar in comparison with other States is :

- (a) lowest (b) second lowest
- (c) highest (d) second highest
- (e) None of the above/More than one of the above

63rd B.P.S.C. (Pre) 2017

Ans. (b)

As per the latest Agriculture Census 2015-16, the average size of landholdings in Bihar is 0.39 hectare which is second lowest (after Kerala – 0.18 hectare) in comparison with other States of India.

9. The share of agriculture and allied sectors in the Gross Domestic Product of India is :

- (a) 22 percent (b) 80 percent
- (c) 33 percent (d) 15 percent

48th to 52nd B.P.S.C. (Pre) 2008

Ans. (d)

In the year 2008-09 (when the question was asked), the share of agriculture and allied sectors in the Gross Domestic Product of India was about 15%. As per the Economic Survey 2023-24, the share of agriculture and allied sector in Nominal GVA (at current prices) is at 17.7% in 2023-24.

10. The average yield of cotton is highest in India for the State of :

- (a) West Bengal (b) Bihar
- (c) Assam (d) Andhra Pradesh
- (e) None of the above / More than one of the above

63rd B.P.S.C. (Pre) 2017

Ans. (e)

As per third meeting of committee on Cotton Production and Consumption (COCPC) for the cotton season 2023-24, the average yield of cotton is highest in India for the State of Gujarat (574.06 kg per hectare). Gujarat is followed by Odisha 554.86 kg/hectare. The yield of cotton in Andhra Pradesh is 292.06 kg/hectare in 2023-24.

11. The raw materials on which the cotton industries are dependent are-

- (a) weight loss oriented (b) load- increment oriented
- (c) weight-equal root (d) none of the above

41st B.P.S.C. (Pre) 1996

Ans. (a)

The inputs used in the cotton industry – cotton, jute, wool etc. are of weight-decreasing nature. The weight of these raw materials is high in the initial stage and their weight decreases after a certain period of time. It is only after this period that they come back to their original form.

12. During which year was the average annual growth rate (at constant prices) of agriculture and allied sectors negative?

- (a) 2002-03 (b) 2003-04
- (c) 2005-06 (d) 2006-07

56th to 59th B.P.S.C. (Pre) 2015

Ans. (a)

As per the 1st and 2nd revised estimates of 2014-15, the agriculture and allied sectors had reported negative growth rate at (–) 0.2 and (–) 0.3 percent respectively. At present Economic Survey 2023-24, Indian agriculture sector provides livelihood support to about 42.3 percent of the population and has a share of 18.2% in the country's current GDP at current price. Average annual growth rate is 4.18% at constant price over last 5 years but as per provisional estimate growth rate is 1.4% (2023-24).

13. Which State ensures the maximum production of Coffee in India?

- (a) Maharashtra (b) Karnataka
- (c) Tamil Nadu (d) Kerala

47th B.P.S.C. (Pre) 2005

Ans. (b)

The State of Karnataka is the largest producer of coffee in India. Karnataka contributed about 70% of the total coffee production in India during 2022-23 (Final Estimates) with 2,48,020 MT coffee production. Karnataka is followed by Kerala (72,425 MT) and Tamil Nadu (18,700 MT) in coffee production in 2022-23. The Coffee Board of India predicts that the 2023-24 crop year will see a 6.25% increase in productions with a total crop of 374,000 MT.

14. Which one of the following is the leading producer of Coffee in India?

- (a) Andhra Pradesh
- (b) Karnataka
- (c) Kerala
- (d) Tamil Nadu
- (e) None of the above / More than one of the above

B.P.S.C. Auditor 2021

Ans. (b)

Karnataka is the leading producer of coffee in India. As per 2nd (AE) 2023-24 total coffee production in India is 0.4 million tonnes (Dept of Agriculture and Farmer Welfare).

15. Consider the following statements regarding agriculture and trade of India during the year 2001-02 and 2002-03-

1. Agricultural imports contributed about 12% of India's total imports.
2. The contribution of edible oils to India's total agro-import value was about 62%.
3. Agriculture exports contributed about 4% to India's total exports.
4. Marine products contributed about 23% to the total agricultural export value in India.

Which of these statements are correct?

- (a) 2 and 4
- (b) 1 and 2
- (c) 2 and 3
- (d) 1, 3 and 4

46th B.P.S.C. (Pre) 2004

Ans. (a)

In the years 2001-02 and 2002-03, the share of agricultural imports in India's total imports was 3.75% and 4.6% respectively. In these years, the import of edible oil was about 62% of the total agricultural import. In 2002-03, the share of agricultural exports in total exports was 11.8% and not 4%. According to the Ministry of Commerce and Industry India shipped seafood of worth ₹ 60,523.89 crore during financial year 2023-24. Seafood export accounted for 17% of India's agricultural export Ministry of Commerce and Industry.

16. The country, which is the largest silk producer in the world, is :

- (a) India
- (b) China
- (c) Brazil
- (d) Japan
- (e) None of the above / More than one of the above

64th B.P.S.C. (Pre) 2018

Ans. (b)

Statement 1 is true as India is the only country in the world producing all the five known commercial varieties of silk. These are – Mulberry silk, Tropical Tasar silk, Oak Tasar silk, Eri silk and Muga silk. India is the second-largest producer of silk (after China) in the world.

As per the data of FAO, in 2023-24, India is the largest producer of sugar in the world while Brazil is the second-largest producer. Hence, Statement-2 is incorrect.

17. Consider the following states-

- (1) Punjab
- (2) Uttar Pradesh
- (3) Andhra Pradesh
- (4) West Bengal

Choose the correct ascending order of the above as rice producing states in India.

- (a) West Bengal, Punjab, Andhra Pradesh, Uttar Pradesh
- (b) West Bengal, Uttar Pradesh, Andhra Pradesh, Punjab
- (c) Andhra Pradesh, Uttar Pradesh, West Bengal, Punjab
- (d) Andhra Pradesh, Punjab, Uttar Pradesh, West Bengal
- (e) None of the above/ more than one of the above

67th B.P.S.C. (Pre) 2021

Ans. (d)

According to the Economic Survey, 2022-23, the ascending order of alternative rice producing states in the year 2021-22 (4th A.E.) is as follows–

West Bengal < Uttar Pradesh < Punjab < Andhra Pradesh.

As per 2024 Reports Top 4 rice producing states in India are–

- West Bengal
- Uttar Pradesh
- Punjab
- Tamilnadu

18. Brown Manuring, a recent approach of weed control, is mostly used in

- (a) Maize
- (b) Sugarcane
- (c) Wheat
- (d) Direct seeded rice
- (e) None of the above / More than one of the above

B.P.S.C. Assistant Audit Officer 2022

Ans. (d)

Brown manuring, a recent approach of weed control, is mostly used in direct seeded rice cultivation. Brown manuring is an eco-friendly weed management technique that involves incorporating green manure crops into the soil before planting the main crop. In the case of direct seeded rice cultivation, brown manuring involves incorporating green manure crops, such as sunnhemp or dhaincha, into the soil during the fallow period before rice planting.

19. Which one of the following is the pathway to increase productivity in agriculture?

- (a) Efficient irrigation (b) Quality seeds
- (c) Use of pesticides (d) Use of fertilizers
- (e) None of the above/More than one of the above

64th B.P.S.C. (Pre) 2018

Ans. (e)

Efficient irrigation, quality seeds, use of pesticides and use of fertilizers – all of these are important to increase productivity in agriculture. Hence, the correct answer is option (e).

20. What percentage of labour force is provided direct employment by the agriculture sector in India?

- (a) 20% (b) 30%
- (c) 40% (d) 65%

45th B.P.S.C. (Pre), 2001

Ans. (*)

As per 2001 Census, 58.2% of Indian labour force was connected to agriculture sector. According to the 2011 Census, about 54.6% of the total work force of the country is associated with the agriculture sector.

21. Which of the following is not a cash crop?

- (a) Jute (b) Groundnut
- (c) Jowar (d) Sugarcane
- (e) None of the above/More than one of the above

60th to 62nd B.P.S.C. (Pre) 2016

Ans. (c)

A cash crop is simply an agricultural crop that grown to sell for profit only and not for self-consumption. Jute, Groundnut and Sugarcane are cash crops while Jowar is not a cash crop and it is a coarse food grain.

22. Which one of the following is not included in the National Food Security Mission?

- (a) Wheat (b) Oilseeds
- (c) Rice (d) Pulses

56th to 59th B.P.S.C. (Pre) 2015

Ans. (*)

National Food Security Mission (NFSM) was launched in October, 2007 (from Rabi 2007-08 season) as a centrally sponsored scheme to increase the annual production of rice by 10 million tons, wheat by 8 million tons and pulses by 2 million tons (Total 20 million tons of additional food grains) by the end of the 11th Plan (2011-12). At that time NFSM did not comprise coarse cereals and hence option (d) was the right answer for the question period. Coarse cereals were included from 2014-15 under NFSM.

NFSM continued during 12th Five Year Plan with new targets of additional production of 25 million tons of foodgrains comprising 10 million tons of rice, 8 million tons of wheat, 4 million tons of pulses and 3 million tons of coarse cereals by the end of 12th Plan. Commercial crops (viz. cotton, jute and sugarcane) were also included under NFSM's ambit.

Based on past experience and performance of 12th Plan, it has been decided to continue the NFSM beyond 12th Plan i.e. 2017-18 to 2019-20 with new targets to achieve 13 million tons of additional foodgrains production comprising 5 million tons of rice, 3 million tons of wheat, 3 million tons of pulses and 2 million tons of nutri-cum-coarse cereals by 2019-20. From the year 2018-19 and 2019-20, National Mission on Oilseeds and Oil Palm (NMOOP) and Seed Village Programme are now a part of NFSM and thus NFSM now have 8 components viz. **(i) NFSM-Rice; (ii) NFSM-Wheat; (iii) NFSM-Pulses; (iv) NFSM-Coarse Cereals (Maize, Barley); (v) NFSM-Sub Mission on Nutri-Cereals; (vi) NFSM-Commercial crops; (vii) NFSM-Oilseeds and Oil Palm; and (viii) NFSM-Seed Village Programme.**

23. The most important fish industry in India is :

- (a) at deep water
- (b) at above sea-coast
- (c) at cultural inland
- (d) at natural inland

40th B.P.S.C. (Pre) 1995

Ans. (d)

At present, the most important fish industry in India is at natural inlands. India's inland fisheries resources are as diverse as they are plentiful, comprising rivers, floodplains, estuaries, mangroves, impoundments, lagoons, lakes, reservoirs and ponds. As per the 'Handbook on Fisheries Statistics : 2022' released by the Department of Fisheries, Government of India the marine and inland fish production in India in recent years is as follows :

Fish Production (in Lakh Tonnes)			
Year	Marine	Inland	Total
2015-16	36.00	71.62	107.62
2016-17	36.25	78.06	114.31
2017-18	37.56	89.48	127.04
2018-19	38.53	97.20	135.73
2019-20	37.27	104.37	141.64
2020-21	34.76	112.49	147.25
2021-22	41.27	121.21	162.48

Note: The fish production in the country rose from 7.52 lakh tonne in 1950-51 to an all time record of 175.45 tons in 2022-23. Which is more than 23 fold increase in national fish production. (Source : Ministry of Fisheries, Animal Husbandry & Dairying)

24. The largest wheat producing state in India is-

- (a) Punjab (b) Haryana
(c) Uttar Pradesh (d) Bihar

42nd B.P.S.C. (Pre) 1997-98

Ans. (c)

According to Question Hour and Economic Survey, 2021-22 also option (c) is the correct answer. According to the Economic Survey 2023-24, the top three wheat producing states are Uttar Pradesh, Madhya Pradesh and Punjab respectively.

25. What was the total production of wheat in India as per the 4th advance estimates in the year 2020-21?

- (a) 109.5 million tonnes (b) 209.5 million tonnes
(c) 501.5 million tonnes (d) 20123 million tonnes
(e) None of the above/More than one of the above

67th B.P.S.C. (Re-Exam) (Pre)2021

Ans. (a)

According to the Economic Survey, 2021-22, the total production of wheat in India in the fourth advance estimate for the year 2020-21 was 109.5 million tonnes. As per economic survey 2023-24, the total production of wheat in India was 112.9 million tonnes.

26. Which of the following is not top Soyabean growing State?

- (a) Chhattisgarh (b) Maharashtra
(c) Rajasthan (d) Madhya Pradesh
(e) None of the above / More than one of the above

B.P.S.C. Assistant Audit Officer 2022

Ans. (a)

The major soyabean growing states are Madhya Pradesh, Maharashtra, Rajasthan, Karnataka and Telangana. Among the states, Madhya pradesh stood first with 52.05 lakh ha followed by Maharashtra (45.64 lakh ha). Rajasthan (10.94 lakh ha) Hence, Chhattisgarh is not the top soyabean producing state.

27. Which industry of India was worst affected due to partition?

- (a) cotton and sugar industry
(b) engineering and cement industry
(c) jute and cotton industry
(d) paper and iron industry

39th B.P.S.C. (Pre) 1994

Ans. (c)

The modern jute industry in India is about 165 years old. In 1855, the first jute mill was established at a place called Rishra near Serampore. The partition of India in 1947 damaged the jute industry because Most of the jute production area (about 80%) remained in East Pakistan (present-day Bangladesh). As a result, the problem of raw material arose in front of the jute industry. On the other hand, most of the cotton textile mills were in Mumbai, and Ahmedabad (India), while 40 percent of the cotton producing area had gone to West Pakistan.

28. Black revolution is related to the :

- (a) Fish production
(b) Coal production
(c) Crude oil production
(d) Mustard production
(e) None of the above/More than one of the above

60th to 62nd B.P.S.C. (Pre) 2016

Ans. (c)

Crude petroleum is originally found in black colour. It is also known as '**Black Gold**'. In order to increase the production of crude oil, the term 'Black revolution' was coined.
Blue revolution — Fish production
White revolution — Dairy farming / Milk production
Red revolution — Meat/Tomato production
Green revolution — Foodgrain production
Yellow revolution — Oilseeds production

29. Match List-I with List-II :

List-I List-II

- A. Grey Revolution 1. Onion production**
B. Pink Revolution 2. Tomato and meat production

C. Silver Revolution**D. Red Revolution**

- | | A | B | C | D |
|-----|----------------------------|---|---|---|
| (a) | 1 | 4 | 2 | 3 |
| (b) | 4 | 1 | 3 | 2 |
| (c) | 3 | 1 | 4 | 2 |
| (d) | More than one of the above | | | |
| (e) | None of the above | | | |

3. Production of eggs**4. Fertilizers****68th B.P.S.C. (Pre) 2022****Ans. (b)**

List-I	List-II
Grey Revolution	Fertilizers
Pink Revolution	Onion production
Silver Revolution	Production of eggs
Red Revolution	Tomato and meat production

30. Which one of the following most appropriately describes the nature of Green Revolution of late sixties of 20th century?

- Intensive cultivation of green vegetables
- Intensive agriculture district programme
- High-yielding varieties programme
- Seed-Fertilizer-Water technology
- None of the above/More than one of the above

64th B.P.S.C. (Pre) 2018**Ans. (d)**

Among the given options, Seed-Fertilizer-Water technology most appropriately describes the nature of Green Revolution in India which was initiated in late sixties of 20th century. By using seeds with improved genetics (high-yielding variety seeds), fertilizers, water for irrigation, agricultural machinery, pesticides etc., the Green Revolution changed India's status from a food-deficient country to one of the world's leading agricultural nations.

31. The success of the Green Revolution depends on the availability of-

- high yielding variety of seeds
- adequate irrigation facility
- chemical fertilizers and pesticides
- none of these

42nd B.P.S.C. (Pre) 1997-98**Ans. (a)**

The Green Revolution was launched in 1966 as a package program consisting of the following inputs:

- High yielding varieties of seeds
- Fertilizers
- insecticides and
- Adequate irrigation facilities

Although the above mentioned four elements are necessary for the Green Revolution, high productivity seeds imported from Mexico played an important role in bringing about the Green Revolution.

32. Consider the following Statements :

- Varsha Bima, the rainfall insurance scheme, is managed by the Agriculture Insurance Company of India Ltd. (AICIL).**
- The scheme was introduced during the 2007 South-West monsoon period.**

Which of the statements given above is/are correct?

- Only 1
- Only 2
- Both 1 and 2
- Neither 1 nor 2

56th to 59th B.P.S.C. (Pre) 2015**Ans. (a)**

The Agriculture Insurance Company of India Ltd. (AICIL) introduced a rainfall insurance scheme known as '**Varsha Bima**' in India during the 2004 South-West Monsoon Period. Varsha Bima was piloted in 20 areas of Andhra Pradesh, Uttar Pradesh, Karnataka and Rajasthan. Hence, only Statement 1 is correct.

Weather Based Crop Insurance Scheme (WBCIS) was launched from Kharif 2007, which was implemented by the AICIL. At present, the AICIL and other public sector and private sector general insurance companies impanelled by the Ministry of Agriculture and selected by the concerned State/UT Government implement the restructured WBCIS.

33. The objective of PM-KUSUM Scheme is:

- To reduce farmers' dependence on monsoon for irrigation
- To reduce farmers' dependence on money-lenders for credit
- Promotion of floriculture in India
- To remove farmers' dependence on diesel and kerosene and to link pump sets to solar energy
- None of the above / More than one of the above

66th B.P.S.C. (Pre) 2020**Ans. (d)**

PM-KUSUM (Pradhan Mantri Kisan Urja Suraksha evam Utthaan Mahabhiyaan) Scheme is aimed at ensuring energy security for farmers in India, along with honouring India's commitment to increase the share of installed capacity of electric power from non-fossil fuel sources to 40% by 2030 as part of Intended Nationally Determined Contributions (INDCs). The PM-KUSUM Scheme was launched in 2019. Removing farmers' dependence on diesel and kerosene and linking agricultural pump sets to solar energy are among the main objectives of this scheme.

34. How much amount is the part of the Financial Outlay 2023-24, of the Pradhan Mantri Kisan Samman Nidhi?

- (a) 36,250 crore (b) 55,000 crore
(c) 60,000 crore (d) 23,000 crore

B.P.S.C. Assistant Mains (GK) Paper II 2023

Ans. (c)

The government allocated a budget of ₹ 60000 crore for the Pradhan Mantri Kisan Samman Nidhi for financial year 2024-25. The PM-KISAN, a central sector scheme, aims at providing financial assistance to all cultivable landholding farmers families across the country, subject to certain exclusion criteria.

35. Who determines the minimum support price in India?

- (a) The Commission for Agricultural Costs and Prices
(b) The Agriculture Ministry
(c) The Finance Commission
(d) NABARD
(e) None of the above/More than one of the above

65th B.P.S.C. (Pre) 2019

Ans. (a)

The Commission for Agricultural Costs and Prices (CACP) since 1985, earlier named as Agricultural Prices Commission) came into existence in January, 1965. It is mandated to recommend minimum support prices (MSPs) to incentivize the cultivators to adopt modern technology, and raise productivity and overall grain production in line with the emerging demands patterns in the country. MSP for major agricultural products are fixed by the government, each year, after taking into account the recommendations of the CACP. Note : Currently 22 commodities are covered under Minimum Support Price (MSP).

36. Which is not a source of agricultural finance in India?

- (a) Co-operative Societies (b) Commercial Banks
(c) Regional Rural Banks (d) None of these

44th B.P.S.C. (Pre) 2000

Ans. (d)

The source of agricultural finance in India is divided into two categories :

A. Institutional sources, in which the prominent are :

- (1) Cooperative Societies and Banks
(2) Commercial Banks
(3) Regional Rural Banks
(4) Government

B. Non-institutional sources : Private money-lenders, relatives, businessman, land-lord etc.

As per NAFIS Report 2016-17, in 2015 the share of institutional credit in agriculture was approximately 72 percent, while the share of non-institutional credit in agriculture was 28 percent.

37. Most of the people in India are useless-

- (a) in industry (b) in agriculture
(c) in mining (d) none of these

42nd B.P.S.C. (Pre) 1997-98

Ans. (b)

The distinguishing feature of Indian agriculture is that labour is employed more than the requirement in this sector. In fact, disguised unemployment is a feature of the Indian agricultural sector.

38. Which one is not included in the Field of Land Reforms in India?

- (a) Abolition of middlemen
(b) Consolidation of land holdings
(c) Cooperative agriculture
(d) Housing loans to farmers

42nd B.P.S.C. (Pre) 1997-98

Ans. (d)

After independence the following steps were taken to fulfill the objective of land reform-

1. Abolition of intermediaries or middlemen.
2. Under the Tenancy Reform, steps were taken like regulation of rent, protection of tenancy rights, providing ownership rights on land to the tenants.
3. Reorganization of agriculture- Under this redistribution of land, aggregation of land holdings or consolidation of holdings and cooperative farming are included.

39. To improve institutional agricultural credit flow, what credit target for 2020-21 has been fixed in the Union Budget of India?

- (a) Rs. 10 lakh crore
- (b) Rs. 13.5 lakh crore
- (c) Rs. 15 lakh crore
- (d) Rs. 16.5 lakh crore
- (e) None of the above / More than one of the above

66th B.P.S.C. (Pre) 2020

Ans. (c)

In the Union Budget 2020-21, the agricultural credit target for 2020-21 had been fixed at Rs. 15 lakh crore to improve institutional agricultural credit flow. In the Union Budget 2021-22 and 2022-23, the agricultural credit target has been fixed at Rs. 16.5 lakh crore and Rs. 18 lakh crore, respectively. In the Union Budget 2024-25, the credit target for agriculture and allied sector has been announced to increased to 24 lakh crore.

40. NAFED is a/an

- (a) company
- (b) cooperative organization
- (c) government body
- (d) industry
- (e) None of the above / More than one of the above

B.P.S.C. CDPO 2022

Ans. (b)

National Agricultural Cooperative Marketing Federation of India Ltd. (NAFED) was established on the auspicious day of Gandhi Jayanti on 2nd October 1958. NAFED is registered under the Multi State Co-operative Societies Act. NAFED was setup with the object to promote Co-operative marketing of agricultural product to benefit the farmers. Agricultural farmers are the main members of NAFED, who have the authority to say in the form of members of the General Body in the working of NAFED.

Industrial Sector

1. Which of the following statements is true about sugar industry in India?

- (a) Uttar Pradesh is the second largest producer of sugar.
- (b) It is a weight-losing industry.
- (c) Maharashtra has emerged as a leading sugar producer in the country.
- (d) More than one of the above
- (e) None of the above

68th B.P.S.C. (Pre) 2022

Ans. (d)

Uttar Pradesh is second largest producer of sugar after Maharashtra (as per Indian Sugar Mills Association) and sugar is weight-losing industry as final product, which is lighter than the initial product (sugarcane). Hence more than one statement are correct.

2. The first showroom in India of the retail furniture giant 'Ikea' was opened in which city in 2018?

- (a) Bengaluru
- (b) Hyderabad
- (c) New Delhi
- (d) Mumbai
- (e) None of the above/More than one of the above

65th B.P.S.C. (Pre) 2019

Ans. (b)

Swedish retail furniture giant 'IKEA' opened its first showroom in India on 9 August, 2018 in Hyderabad. The outlet is the first of 25 stores, the world's largest furniture retailer plans to open in India. The Swedish multinational has invested more than Rs. 1000 crore on the Hyderabad outlet (including land, construction and capital goods). The store is spread across 13 acres, and display near 7500 products.

3. Which of the following infrastructure sectors of India is related with Bharatmala Project?

- (a) Telecom sector
- (b) Railways
- (c) Road infrastructure
- (d) Port sector
- (e) None of the above / More than one of the above

66th B.P.S.C. (Pre) 2020

Ans. (c)

Bharatmala Project is a centrally-sponsored and funded road and highways project of the Government of India. It is an umbrella program for the road infrastructure sector that focuses on optimizing efficiency of freight and passenger movement across the country by bridging critical infrastructure gaps through effective interventions like development of Economic Corridors, Inter Corridors and Feeder Routes, National Corridor Efficiency Improvement, Border and International connectivity roads, Coastal and Port connectivity roads and Greenfield expressways.

4. The targeted length of Bharatmala Project Economic Corridor is

- (a) 24000 km
- (b) 25000 km
- (c) 26000 km
- (d) 27000 km
- (e) None of the above / More than one of the above

B.P.S.C. Project Manager Prelims 2021

Ans. (c)

The Bharatmala Pariyojana envisages development of about 26,000 km. length of Economic Corridors, which along with Golden Quadrilateral (GQ) and North-South and East-West (NS-EW) corridors are expected to carry majority of the Freight Traffic on roads.

5. Which two of the following extreme locations are connected by the East-West Corridor?

- (a) Mumbai and Nagpur
- (b) Mumbai and Kolkata
- (c) Silchar and Porbandar
- (d) More than one of the above
- (e) None of the above

B.P.S.C. School Teacher (Class 9-10) 08-12-2023

Ans. (c)

Silchar in Assam and Porbandar in Gujarat are connected by the East-West Corridor. The East-West corridor has better connectivity with highways. It is the significant corridor which helps in the networking of manufacture, commerce and cultural activities within the country while The North-South Corridor connects Srinagar in Jammu and Kashmir with Kanyakumari in Tamil Nadu.

6. Which one of the following industrial/economic corridors of India is being developed in collaboration with Japan?

- (a) Chennai-Vizag
- (b) Mumbai-Bengaluru
- (c) Delhi-Mumbai
- (d) Amritsar-Kolkata
- (e) None of the above/More than one of the above

65th B.P.S.C. (Pre) 2019

Ans. (c)

The Delhi-Mumbai Industrial Corridor (DMIC) is being developed in collaboration with Japan. The DMIC project was launched in pursuance of an MoU signed between the Government of India and the Government of Japan in 2006. Japan is also providing assistance in Chennai-Bengaluru Industrial Corridor (CBIC) in South India.

7. According to recent data released by Indian Cellular Association (ICA), India has acquired what position in the world in producing mobile phones?

- (a) First
- (b) Second
- (c) Third
- (d) Fourth
- (e) None of the above/More than one of the above

63rd B.P.S.C. (Pre) 2017

Ans. (b)

According to data released by Indian Cellular Association (ICA) in April 2018, India became the second largest mobile phone producer in the world after China in 2017. As per ICEA report, India is the second largest manufacturer of mobile phones globally.

8. 'Make in India' global initiative was launched on

- (a) September 06, 2015
- (b) September 29, 2015
- (c) September 25, 2014
- (d) September 29, 2014
- (e) None of the above / More than one of the above

B.P.S.C. Auditor 2021

Ans. (c)

The "Make in India" initiative, which aims to encourage manufacturing and promote India as a global manufacturing hub, was launched by Prime Minister Narendra Modi on September 25, 2014. This initiative seeks to attract foreign investment, faster innovation, enhance skill development and create job opportunities in various sectors of the Indian economy, with a particular focus on manufacturing.

9. The Government policy 'Make in India' aims at :

- (a) Removal of bureaucratic sloth
- (b) Elimination of red tapism
- (c) Reduction in cost of manufacturing
- (d) Making the product competitive
- (e) None of the above/More than one of the above

64th B.P.S.C. (Pre) 2018

Ans. (e)

'Make in India' initiative was formally launched on 25 September, 2014 by PM Narendra Modi. It is a major national programme of the Government of India designed to facilitate investment, foster innovation, enhance skill development, protect intellectual property and build best in class manufacturing infrastructure in the country. The primary objective of this initiative is to attract investments from across the globe and strengthen India's manufacturing sector. The programme aims at improving India's rank on the Ease of Doing Business Index by eliminating the unnecessary laws and regulations, making bureaucratic processes easier by removal of bureaucratic sloth and elimination of red tapism. It also aims at reduction in cost of manufacturing and making the Indian products competitive. Hence, option (e) is the right answer.

10. Which one of the following is not an initiative for industrial development?

- (a) Make in India
- (b) Ease of Doing Business

- (c) Start-up India (d) Digital India
(e) None of the above/More than one of the above

64th B.P.S.C. (Pre) 2018

Ans. (d)

Make in India, Ease of Doing Business and Start-up India are initiatives to facilitate investment and development of manufacturing and industrial sector in India. While Digital India is not an initiative for industrial development. It is a flagship programme of the Government of India with a vision to transform India into a digitally empowered society and knowledge economy. Digital India consists of three core components : the development of secure and stable digital infrastructure, delivering government services digitally, and universal digital literacy.

11. Which of the following agencies releases the Index of Industrial Production to measure industrial performance in India?

- (a) The National Sample Survey Office (NSSO)
(b) The Reserve Bank of India (RBI)
(c) The Central Statistics Office (CSO)
(d) The Indian Statistical Institute (ISI)
(e) None of the above / More than one of the above

66th B.P.S.C. (Pre) 2020

Ans. (e)

The Index of Industrial Production (IIP) is an index that shows the growth rates in different industry groups of the economy in a stipulated period. Earlier, the IIP index was computed and released by the Central Statistical Office (CSO). At present, the base year for the IIP is 2011-12 and it is computed and released on a monthly basis by the National Statistical Office (NSO), which was formed with the merger of CSO and NSSO in 2019.

12. Which one of the following is the prescribed investment limit for medium enterprises in the manufacturing sector as per the Micro, Small and Medium Enterprises Development Act, 2006?

- (a) More than Rs. 10 lakhs and less than Rs. 2 crores
(b) More than Rs. 2 crores and less than Rs. 5 crores
(c) More than Rs. 5 crores and less than Rs. 10 crores
(d) More than Rs. 10 crores

56th to 59th B.P.S.C. (Pre) 2015

Ans. (c)

In Industrial Policy of 1991, investment limit for small enterprises was raised from Rs. 35 Lakh to Rs. 60 Lakh and investment limit in auxiliary units was raised from Rs. 45 lakh to Rs. 75 lakh. Under Micro, Small and Medium Enterprises (MSME) Development Act, 2006 investment limit for Micro, Small and Medium enterprises had been classified into two groups :

(A) Manufacturing enterprises (B) Service Enterprises.

Under the Act of 2006, criteria for investment in machinery and equipments were as follows :

Sector	Micro	Small	Medium
Manu- facturing Services	Not more than Rs. 25 lakh	Rs. 25 lakh to Rs. 5 crore	Rs. 5 crore to Rs. 10 crore
	Not more than Rs. 10 lakh	Rs.10 lakh to Rs. 2 crore	Rs. 2 crore to Rs. 5 crore

On June 1, 2020, under Aatmanirbhar Bharat Abhiyan (ABA), Ministry of Micro, Small and Medium Enterprises has revised the MSME classification by inserting a composite criterion for both investment in plant and machinery and annual turnover of enterprises. The new definition has the same formula of classification for manufacturing and service enterprises.

Revised classification applicable w.e.f. 1 st July 2020			
Criteria	Micro	Small	Medium
Investment in Plant & Machinery/ Equipment	Not more than Rs. 1 crore	Not more than Rs. 10 crore	Not more than Rs. 50 crore
Annual Turnover	Not more than Rs. 5 crore	Not more than Rs. 50 crore	Not more than Rs. 250 crore

13. Which Indian state has the largest number of Cotton Textile Mills?

- (a) Madhya Pradesh (b) Maharashtra
(c) Gujarat (d) West Bengal
(e) None of the above/More than one of the above

60th to 62nd B.P.S.C. (Pre) 2016

Ans. (e)

As per the latest government data (2016-17), there are 1399 operational non-small scale industry cotton textile mills in the country. Tamil Nadu topped the list with 752 mills followed by Maharashtra (135), and Andhra Pradesh (112). While Tamil Nadu accounts for less than 2 percent of the country's total raw cotton production, it has almost half of cotton spinning capacity in the country.

14. Which among the following is called financial backbone of Indian power sector?

- (a) Power Finance Corporation
- (b) Damodar Valley Corporation
- (c) Power Grid Corporation of India Ltd.
- (d) Satluj Jal Vidyut Nigam Ltd.
- (e) None of the above / More than one of the above

B.P.S.C. Assistant Audit Officer 2022

Ans. (a)

Power Finance Corporation Ltd. is an Indian central public sector undertaking under the Ownership of the Ministry of Power, Government of India. Established in 1986, it is the financial backbone of Indian power sector.

15. What is the contribution of hydropower in the total power generation of the Government of India?

- (a) 10 Percent
- (b) 12 Percent
- (c) 20 Percent
- (d) 22 Percent
- (e) None of the above / more than one of the above

63rd B.P.S.C. (Pre) 2017

Ans. (a)

In the period in question (2016-17), the contribution of hydropower to the total power generation was 10.6 percent. According to the Ministry of Power, Government of India, as June 2024, the installed power capacity in India was 446190 MW. As June, 2024, the contribution of hydropower in the total power generation is around 12%.

16. Where are the largest number of cotton textile factories located in Tamil Nadu?

- (a) Chennai
- (b) Coimbatore
- (c) Madurai
- (d) Salem

63rd B.P.S.C. (Pre) 2017

Ans. (b)

Coimbatore in Tamil Nadu has the largest number of cotton textile factories. There are about 919 cotton textile mills in Coimbatore, which is 40% of the total mills in Tamil Nadu. Tamil Nadu has the largest number of cotton textile factories in India. After that in Maharashtra and Andhra Pradesh.

17. What was the maximum amount which has been provided as financial autonomy by the Ministry of Heavy Industries and Public Enterprises of Union Government to the 'Mini Ratna', Category-I ?

- (a) Rs. 250 crore
- (b) Rs. 350 crore
- (c) Rs. 400 crore
- (d) Rs. 500 crore

53rd to 55th B.P.S.C. (Pre) 2011

Ans. (d)

The CPSEs which have made profit in the last three years continuously, pre-tax profit is Rs.30 crore or more in at least one of the three years and have a positive net worth are eligible to be considered for grant of Miniratna-I status. As for financial autonomy, Miniratna-I CPSEs, subject to certain conditions, are allowed to invest upto Rs.500 crore in a project without governmental approval.

18. When was the Oil and Natural Gas Commission (ONGC) was established?

- (a) 1856
- (b) 1914
- (c) 1936
- (d) 1956

44th B.P.S.C. (Pre) 2000

Ans. (d)

The Oil and Natural Gas Commission (ONGC) was established in 1956. ONGC has played an important role in the comprehensive and systematic form of oil exploration and its production in India. It has been renamed as 'Oil and Natural Gas Corporation' (ONGC) with effect from February 1, 1994.

19. ONGC was incorporated in

- (a) 1991
- (b) 1993
- (c) 1995
- (d) 1956
- (e) None of the above / More than one of the above

B.P.S.C. Project Manager Prelims 2021

Ans. (d)

See the explanation of the above question.

20. Which of the following industrial towns is located on the Chota Nagpur plateau?

- (a) Bhilai
- (b) Ranchi
- (c) Asansol
- (d) Durgapur

39th B.P.S.C. (Pre) 1994

Ans. (b)

The Chota Nagpur Plateau is a plateau in eastern India, which covers much of Jharkhand state as well as adjacent parts of Bihar, Odisha, West Bengal and Chhattisgarh. Ranchi is one of the major industrial cities of Eastern India and located in the region called 'Ruhr of India' (Chota Nagpur) making it an ideal place for mineral based industries, where mainly HEC (Heavy Engineering Corporation), Steel Authority of India, MECON etc. have factories.

21. The most important item exported from India is-

- (a) Leather goods
- (b) Clothes
- (c) Tea
- (d) Rice

42nd B.P.S.C. (Pre) 1997-98

Ans. (b)

Textiles remained one of the most important items of export from India during the period in question. In this year 2021-22 (Apr.-Sep.), the most important item exported from India is clothes (Readymade garments of all textile materials Rs. 108492 crore) in the given options. But in 2024, India's top export partner is United States and top exporting product is petroleum products (as per export-import data).

22. Which of the following partly defines the micro-enterprise in India?

- (a) Investment in Plant and Machinery or equipment not more than ₹ 1 crore
- (b) Annual turnover not more than ₹ 15 crore
- (c) Investment in Plant and Machinery not more than ₹1.5 crore
- (d) Annual turnover of more than ₹ 5 crore
- (e) None of the above/More than one of the above

67th B.P.S.C. (Re-Exam) (Pre)2021

Ans. (a)

In the year 2006, M.S.M.E. on May 13, 2020, 14 years after the (MSME) Development Act came into existence, the amendment in definition of MSME was announced in Atmanirbhar Bharat Package. According to the Micro, Small and Medium Enterprises Act, 2020, a micro enterprise is one in which the investment in plant and machinery or equipment does not exceed Rs. 1 crore and has an annual turnover of not more than Rs. 5 crore.

New Investment	Annual Turnover	Manufac-turing	Old Investment	Service
Micro enterprise	5 crore rupees	1 crore rupees	25 lakh rupees	10 lakh rupees
Small enterprise	50 crore rupees	10 crore rupees	5 crore rupees	2 crore rupees
Medium enterprise	250 crore rupees	50 crore rupees	10 crore rupees	5 crore rupees

Note - The old investment is as per MSME Act, 2006.

23. Which one of the following is not the micro-finance institution in India?

- (a) Bihar Development Trust
- (b) Community Service Trust, Tamil Nadu
- (c) Centre for Development, Bihar
- (d) Atal Pension Yojana
- (e) None of the above / More than one of the above

B.P.S.C. Project Manager Prelims 2021

Ans. (d)

A Microfinance Institution (MFI) is a financial services such as loans, savings and insurance to low-income individuals or groups who typically lack access to traditional banking services. Bihar Development Trust, Community Service Trust Tamil Nadu, Centre for development, Bihar are the given microfinance institution whereas Atal Pension Yojana is a Scheme of government of India.

Fiscal Policy & Revenue

1. Which industry employs maximum number of people in India?

- (a) jute industry
- (b) iron and steel industry
- (c) textile industry
- (d) sugar industry

39th B.P.S.C. (Pre) 1994

Ans. (c)

The textile industry is one of the oldest and firmly established among our major industries. According to the Economic Survey 2021-22, in the last decade, this industry has provided direct and indirect employment to about 105 million people of the country. As per Economic Survey 2022-23, Textile industry is one of the country's most significant source of employment generation, with an estimated 4.5 crore people directly engaged in this sector. Recently on 7 Oct., 2024 World Cotton day was celebrated. Theme : "Megatrends Shopping Cotton Textile Value Chain" Cotton Economy in India provides livelihood to six million cotton farmers directly and another employment to 45 million people engaged directly/indirectly in various other activities in the cotton value chain.

2. The oldest large scale industry in India is-

- (a) iron and steel industry
- (b) jute industry
- (c) textile industry
- (d) paper industry

41st B.P.S.C. (Pre) 1996

Ans. (c)

The textile industry of India has been mainly based on cotton. Textile industry is the oldest and largest industry in India. According to the Economic Survey, 2021-22, this sector has provided direct and indirect employment to 105 million people in the last decade. According to Invest India, the textile and apparel industry in India is the 2nd largest employer in the country, it is providing direct employment to 45 million people.

3. In which year, was 'zero-based budgeting' started in India?

- (a) 1983
- (b) 1991

(c) 2000

(d) 1960

B.P.S.C. Assistant Mains (GK) Paper II 2023

Ans. (a)

Zero-based budgeting (ZBB) is a method of budgeting in which all expenses must be justified for each new period. The process of Zero-based budgeting starts from a zero base and every function within an organization is analyzed for its needs and costs. In India, zero based budgeting was adopted by the Department of Science and Technology in 1983 and in 1986, Indian government implemented zero-based budgeting as a system for determining expenditure budget.

4. When was gender budgeting initiated in India?

- (a) Union Budget, 2005-06
- (b) Union Budget, 2006-07
- (c) Union Budget, 2008-09
- (d) Union Budget, 2004-05
- (e) None of the above / More than one of the above

66th B.P.S.C. (Pre) (Re-Exam) 2020

Ans. (a)

The gender budgeting was first introduced in India in the Union Budget 2005-06. Gender budgeting is concerned with gender sensitive formulation of programmes/schemes, allocation of resources, implementation and execution, audit and impact assessment and follow-up corrective action to address gender disparities. In 2005-06, the gender budgeting constituted 4.8% of the total budget outlay, but over the years, its proportion in the budget has close to stagnated, hovering around 5%.

5. What is the Core Industry in India?

- (a) electricity
- (b) coal
- (c) Petroleum products
- (d) all of the above

40th B.P.S.C. (Pre) 1995

Ans. (d)

Eight industries (coal, crude oil, natural gas, petroleum refining products, fertilizers, steel, cement and electricity) are called core industries.

6. The combined weightage of 8 core industries in the IIP is

- (a) 40.25%
- (b) 40.26%
- (c) 40.27%
- (d) 40.28%
- (e) None of the above / More than one of the above

B.P.S.C. Project Manager Prelims 2021

Ans. (c)

The Eight Core Industries Comprise 40.27 percent of the weight of items included in the Index of Industrial Production (IIP). Eight Core Industries are—Coal, Crude Oil, Natural Gas, Refinery products, Fertilizers, Steel, Cement and Electricity. As per the current weightage of eight core industries the highest weightage is given to Petroleum and Refinery Products (28.04%).

7. The base year of Index of Core Industries (ICI) has recently been changed to

- (a) 2010-11
- (b) 2011-12
- (c) 2012-13
- (d) 2014-15
- (e) None of the above / More than one of the above

B.P.S.C. Project Manager Prelims 2021

Ans. (b)

The Base Year of the Index of Eight Core Industries has been from the year 2004-05 to 2011-12. ICI measures combined and individual performance of production of eight core industries viz. Coal, Crude Oil, Natural Gas, Refinery Products, Fertilizers, Steel, Cement and Electricity.

8. Which one of the following is not a tool of fiscal policy?

- (a) taxation
- (b) public expenditure
- (c) interest rate
- (d) Public debt

47th B.P.S.C. (Pre) 2005

Ans. (c)

In the above options taxation, public expenditure and public debt are the tools of Fiscal Policy, while interest rate is the tool of Monetary Policy. Fiscal policy is related to the government, while monetary policy is implemented by the Reserve Bank.

9. How many times the Reserve Bank of India reviews the Monetary Policy in a financial year?

- (a) Bimonthly
- (b) Quarterly
- (c) Half-yearly
- (d) Yearly
- (e) None of the above/More than one of the above

B.P.S.C. CDPO 2018

Ans. (a)

Reserve Bank of India review the Monetary Policy once in every two months (Bimonthly) ie. 6 times a year. Monetary Policy is an economic policy that manages the size and growth rate of the money supply in an economy.

10. Which one of the following was not included in the intended objectives of the Union Budget, 2017-18?

- (a) Transform India
- (b) Clean India
- (c) Educate India
- (d) Energise India

(e) None of the above/More than one of the above

64th B.P.S.C. (Pre) 2018

Ans. (c)

The Union Budget 2017-18 was announced by the then Finance Minister Arun Jaitley in the Parliament on 1st February, 2017. In Union Budget 2017-18, the agenda or intended objectives for the year 2017-18 was : 'Transform, Energise and Clean India : TEC India. TEC India seeks to :

- Transform the quality of governance and quality of life of our people;
- Energise various sections of society, especially the youth and the vulnerable, and enable them to unleash their true potential; and
- Clean the country from the evils of corruption, black money and non-transparent political funding.

Budget Priorities (2024-25)

The Finance Minister said, for pursuit of 'Viksit Bharat', the budget envisages sustained efforts on the following 9 priorities for generating ample opportunities for all.

1. Productivity and resilience in Agriculture
2. Employment & Skilling
3. Inclusive Human Resource Development and Social Justice
4. Manufacturing & Services
5. Urban Development
6. Energy Security
7. Infrastructure
8. Innovation, Research & Development and
9. Next Generation Reforms

The seven priorities, termed Saptarishi adopted in the Union Budget 2023-24 to guide the towards 'Amrit Kaal'. There are inclusive Development, Reaching the last mile, Infrastructure & Investment, Green Growth Unleashing the potential, Youth power and Financial sector.

In the Union Budget 2024-25 for infrastructure development capital expenditure to be 11,11,111 crore which is 3.4% of country is GDP, Rs. 1.5 lakh crore interest free loans to support infrastructure investment by state governments. Phase IV of PMGSY to provide all weather connectivity to 25000 rural habitations.

11. Which of the following is not included in the priorities of India Budget 2022-23?

- (a) PM Gati Shakti
- (b) Inclusive Development
- (c) Productivity Enhancement and Investment, Sunrise Opportunities, Energy Transition, and Climate Action

(d) Disinvestment

(e) None of the above/More than one of the above

67th B.P.S.C. (Re-Exam) (Pre)2021

Ans. (d)

According to the Union Budget Estimates, 2022-23 in the Budget, four priorities were set to encourage development, which are as follows

- (c) P.M.Gati Shakti
- (d) Inclusive Growth
- (a) Productivity promotion and investment, emerging opportunities, energy solstice and climate action.
- (b) Financially of investment

12. Deficit financing policy is the technique of

- (a) monetary policy
- (b) fiscal policy
- (c) taxation policy
- (d) foreign trade policy

B.P.S.C. Assistant Mains (GK) Paper II 2023

Ans. (b)

Deficit financing policy is the fiscal policy.

Deficit financing is the budgeting situation where expenditure is higher than the revenue. It is a practice adopted for financing the excess expenditure with outside resources. The expenditure revenue gap is financed by either printing of currency or through borrowing.

13. The controlling authority of government expenditure is :

- (a) The Reserve Bank of India
- (b) The Planning Commission
- (c) The Ministry of Finance
- (d) The Finance Commission

56th to 59th B.P.S.C. (Pre) 2015

Ans. (c)

The Ministry of Finance is responsible for the administration of finances of the Central government. It is concerned with all economic and financial matters affecting the country as a whole including mobilization of resources for development and other purposes. It regulates expenditure of the government including transfer of resources to the States. The Ministry comprises of the five departments namely : (i) Economic Affairs; (ii) Expenditure; (iii) Revenue; (iv) Investment and Public Asset Management; (v) Financial Services.

14. Interest payment is an item of :

- (a) Revenue expenditure
- (b) Capital expenditure
- (c) Plan expenditure
- (d) None of these

56th to 59th B.P.S.C. (Pre) 2015

Ans. (a)

Revenue expenditure is that part of government expenditure that does not result in the creation of assets. Payment of salaries and allowances, pensions, subsidies, interest and administrative expenses fall in this category as revenue expenditure examples. Interest payment is the most important and largest item of revenue expenditure and total expenditure of the Union Government. Budget estimate of interest payments in 2022-23 is 15.59% higher than the revised estimate of 2021-22. As per Union Budget 2024-25, Revenue expenditure is expected to increase by 6.2%. Over the Actuals of 2023-24 to Rs. 34,94,036 crore.

15. As per the Union Budget, 2021, what percentage of the GDP is estimated to be the fiscal in 2021-22?

- (a) 8.8% (b) 7.8%
- (c) 7.6% (d) 6.8%
- (e) None of the above / more than one of the above

67th B.P.S.C. (Pre) 2021

Ans. (d)

As per the Union Budget 2021-22, the fiscal deficit for the year 2021-22 was estimated at 6.8 per cent of the Gross Domestic Product (GDP). According to the budget 2022-23, it is estimated at 6.9 percent in the revised estimate for the year 2021-22, while for the year 2022-23 it is 6.4 percent is estimated. In the Union Budget 2024-25, the fiscal deficit is targetted at 4.9% of GDP which is lower than the actual fiscal deficit of 5.6% of GDP in 2023-24.

16. With reference to the Finance Commission of India, on the following statements-

Consider-

1. Finance Commission is a statutory body.
2. Finance Commission established under Article 280 of the Constitution.
3. The recommendations made by the Finance Commission are only consultants.
4. The first Finance Commission was set up in 1950.

Which of the above statements are correct?

- (a) 1 and 4 only (b) 3 and 4 only
- (c) 2 and 3 only (d) 2 and 4 only
- (e) None of the above/More than one of the above

67th B.P.S.C. (Pre) 2021

Ans. (c)

After independence, the Finance Commission was arranged to establish harmony between the center and the states in the federal system of India and for the fair distribution of resources among them. Article 280 of the Constitution

provides for setting up of the Finance Commission. Under Clause (1) of Article 280, provision was made that a Finance Commission would be constituted by the President within 2 years of the coming into force of the Constitution and thereafter every 5 years or if necessary before that the Finance Commission would be established. The main purpose of setting up the Finance Commission is to give necessary suggestions for financial adjustments between the Union and the States according to the changing circumstances. In the year 1951, the first finance commission was constituted under the chairmanship of K.C. Niyogi. On November 27, 2017. The 15th Finance Commission was constituted under the chairmanship of N.K. Singh.

17. What is the fiscal deficit target of India for the financial year 2016-17?

- (a) 3.9% of GDP
- (b) 3.5% of GDP
- (c) 4.9% of GDP
- (d) 4.5% of GDP
- (e) None of the above/More than one of the above

60th to 62nd B.P.S.C. (Pre) 2016

Ans. (b)

In Union Budget 2016-17, the fiscal deficit target for the financial year 2016-17 was at 3.5% of GDP. The government's fiscal deficit target in the Union Budget 2022-23 is estimated at Rs. 1661196 crore or 6.4% of the GDP. In the Union Budget 2024-25, the fiscal deficit is estimated to be 4.9% of GDP.

18. Fiscal deficit is :

- (a) Total expenditure - Total receipts
- (b) Revenue expenditure - Revenue receipts
- (c) Capital expenditure - Capital receipts - Market borrowings
- (d) Sum of budget deficit and Govt's market borrowings and liabilities

48th to 52nd B.P.S.C. (Pre) 2008

Ans. (d)

The excess of Government's total expenditure (both revenue and capital) over total receipts (both revenue and capital) constitutes budget deficit. From the 1997-98 Budget, the practice of showing budget deficit has been discontinued in India.

The excess of Government's revenue expenditure over revenue receipts constitutes revenue deficit.

The difference between the total expenditure of Government by way of revenue, capital and loans net of repayments on the one hand and revenue receipts of Government and capital receipts which are not in the nature of borrowing but which accrue to Government on the other, constitutes gross fiscal deficit.

Gross primary deficit is gross fiscal deficit reduced by the gross interest payments.

Note : In the Budget documents 'gross fiscal deficit' and 'gross primary deficit' have been referred to in abbreviated form 'fiscal deficit' and 'primary deficit', respectively.

In short,

Budget deficit = Total expenditure – Total receipts

Revenue deficit = Revenue expenditure – Revenue receipts

Fiscal deficit = Total expenditure – Total income / revenue
(Revenue receipts + Non-debt creating capital receipt)

= Total expenditure – [Total receipts less borrowings (debt and other liabilities)]

= Budget deficit + Internal and external borrowings

Primary deficit = Fiscal deficit – Interest payments

19. If interest payment is subtracted from gross fiscal deficit, the remainder will be

- (a) revenue deficit
- (b) capital deficit
- (c) net fiscal deficit
- (d) monetized deficit
- (e) None of the above / More than one of the above

B.P.S.C. Project Manager Prelims 2021

Ans. (e)

If interest payment are subtracted from the gross fiscal deficit, the remainder will represent the gross primary deficit. The primary deficit is often considered a key indicator of the government's fiscal position—

Primary Deficit = Gross Fiscal Deficit – Interest Payment

20. Fiscal deficit of the Government of India is equal to which of the following?

- (a) Debt-creating capital receipts
- (b) Non-debt capital receipts
- (c) Debt and non-debt capital receipts
- (d) Capital receipts less revenue receipts
- (e) None of the above/More than one of the above

B.P.S.C. CDPO 2018

Ans. (b)

Gross fiscal deficit (GFD) is the difference between aggregate disbursements net of debt repayments and recovery of loans and revenue receipts and non-debt capital receipts.

21. Planning Commission a-

- (a) Ministry.
- (b) It is a government department.
- (c) Consultancy Society.
- (d) Is an autonomous corporation.

39th B.P.S.C. (Pre) 1994

Ans. (c)

There is no constitutional provision regarding Planning Commission in India. The Planning Commission was established by a resolution of the Union Cabinet, which was passed by the Cabinet on March 15, 1950. The Planning Commission is a non- constitutional, advisory, consultative body. Presently (from January 1, 2015) the Planning Commission has been replaced by the NITI Aayog (NITI).

22. NITI Aayog was established in 2015 in place of Planning Commission which was dissolved in

- (a) 2014
- (b) 2015
- (c) 2016
- (d) 2013
- (e) None of the above / More than one of the above

B.P.S.C. Project Manager Prelims 2021

Ans. (a)

See the explanation of the above question.

23. What is the nature of Planning Commission?

- (a) Government Department
- (b) Consultancy Society
- (c) Autonomous Corporation
- (d) a ministry

43rd B.P.S.C. (Pre) 1999

41st B.P.S.C. (Pre) 1996

Ans. (b)

See the above question's explanation.

24. NITI Aayog's attached autonomous body to actively look into the progress in implementation of programmes and initiatives of the GOI, is known as

- (a) DMEO
- (b) DEMO
- (c) DEPO
- (d) DMPO
- (e) None of the above / More than one of the above

B.P.S.C. Project Manager Prelims 2021

Ans. (a)

The Development Monitoring and Evaluation Office (DMEO) is an attached office of NITI Ayog Constituted in September, 2015 by merging the erstwhile Programme Evaluation Office (PEO) and the Independent Evaluation Office (IEO). DMEO Works to fulfill the monitoring and evaluation. DMEO has been mandated to actively monitor and evaluate the implementation of schemes, programs and initiatives of Government of India.

25. Revenue deficit in India implies that :

- (a) the Indian Government needs to borrow in order to finance its expenses which will create capital assets
- (b) the Indian Government needs to borrow in order to finance its expenses which do not create capital assets
- (c) the Indian Government needs to borrow from the Reserve Bank of India against government securities
- (d) the Indian Government needs to borrow from international financial institutions
- (e) None of the above / More than one of the above

66th B.P.S.C. (Pre) 2020

Ans. (b)

Revenue deficit arises when the government's revenue expenditure exceeds the total revenue receipts. This represents that the government's own earnings are not sufficient to meet the day-to-day operations of its departments. Revenue deficit in India implies that the Indian Government needs to borrow in order to finance its expenses which do not create capital assets.

26. Which of the following investors/agencies can purchase Government of India securities?

I. The Reserve Bank of India

II. Individuals

III. Financial Institution

Select the correct answer using the code given below.

- (a) I only
- (b) I, II and III
- (c) I and II only
- (d) II and III only
- (e) None of the above/More than one of the above

B.P.S.C. CDPO 2018

Ans. (b)

Government securities are available for purchase by various entities including Reserve Bank of India, Financial Institution, bank, Individuals Primary dealers, Foreign investors etc.

27. Effective revenue deficit was introduced in which union budget?

- (a) 2010-11
- (b) 2011-12

(c) 2009-10

(d) 2012-13

56th to 59th B.P.S.C. (Pre) 2015

Ans. (b)

Effective revenue deficit is the difference between revenue deficit and grants given for creation of capital assets. The concept of effective revenue deficit has been introduced from the Union Budget for the financial year 2011-12. The main objective of introducing this concept of deficit is to express structural imbalances. It was included under the Fiscal Responsibility and Budget Management Act, 2003 from the budget of the financial year 2012-13. Effective revenue deficit = revenue deficit - grants related to creation of capital assets.

28. Effective Revenue deficit was introduced in the Union Budget of :

- (a) 2010-11
- (b) 2011-12
- (c) 2009-10
- (d) 2012-13

56th to 59th B.P.S.C. (Pre) 2015

Ans. (b)

Effective revenue deficit is defined as the difference between revenue deficit and grants for creation of capital assets. Effective revenue deficit signifies that amount of capital receipts that are being used for actual consumption expenditure of the Government. The concept of effective revenue deficit has been initiated from Union Budget for the financial year 2011-12. The main objective to introduce this type of deficit concept is to denote constructive imbalances of revenue account. It was included in the Fiscal Responsibility and Budget Management Act, 2003 through an amendment in 2012. In the Union Budget 2024-25, the effective revenue deficit is estimated at 0.6 percent of GDP.

29. Vote on Account is meant for :

- (a) Vote on the report of CAG
- (b) To meet unforeseen expenditure
- (c) Appropriating funds pending passing of budget
- (d) Budget
- (e) None of the above/More than one of the above

60th to 62nd B.P.S.C. (Pre) 2016

Ans. (c)

The Vote on Account is the special provision given to the government to obtain the vote of Parliament to withdraw money (as grant in advance) to meet short-term expenditure needs, from the Consolidated Fund of India, when the budget for the new financial year is not released or the elections are underway, and the caretaker government is in place.

30. In which sector has the maximum total expenditure of the Central Government in India been done in the last years?

- (a) Security (b) development
(c) Administration (d) Grant-in-Aid

40th B.P.S.C. (Pre) 1995

Ans. (b)

Option (b) was the correct answer during the question period. As per the Budget 2024-25, the top items of central government expenditure are - interest payment 19%, states' share in taxes and duties 21%, - central sector schemes - 16%.

31. Ad hoc Treasury bill system of meeting budget deficit in India was abolished on :

- (a) 1st April, 1992
(b) 1st April, 1994
(c) 31st March, 1996
(d) 31st March, 1997

56th to 59th B.P.S.C. (Pre) 2015

Ans. (d)

The Ad hoc Treasury Bills emerged as a mode of financing Central Government's deficit in the mid-1950s. It was initiated as an administrative arrangement between the Central Government and the Reserve Bank of India. It was issued on the name of RBI for the short term lending requirements of the Government. It directly becomes monetize because with the issuance of it, the assets of RBI increases and hence liabilities also increase. The system of ad hoc Treasury Bills to finance budget deficit was abolished on 31 March, 1997 (discontinued with effect from 1st April, 1997). The Union Budget for 1997-98 had announced the decision to introduce a new system called 'Ways and Means Advances (WMA)' in place of ad hoc T-Bills.

32. Consider the following important sources of tax revenue for the Central Government :

1. Corporation tax
2. Tax on income other than corporation tax
3. Customs
4. Union Excise Duties

Which of the following is the correct descending order in terms of gross tax revenue?

- (a) 1, 2, 4, 3 (b) 1, 2, 3, 4
(c) 3, 1, 2, 4 (d) 2, 3, 1, 4

56th to 59th B.P.S.C. (Pre) 2015

Ans. (a)

As per the question period and at present, option (b) is the correct answer. At present the share of main sources of tax revenue in gross tax revenue is as follows :

Tax Revenue	Gross Tax Revenue (in crores)	
	2023-24 (Actual)	2024-25 (B.E.)
Corporation Tax	911055	1020000
Taxes on Income	1044726	1187000
Customs	233067	237745
Union Excise Duties	305330	319000
GST	957032	1061899

33. In some countries, GST is also known as

- (a) Sales Added Tax (b) Profit Added Tax
(c) Transport Added Tax (d) Value Added Tax
(e) None of the above / More than one of the above

B.P.S.C. Project Manager Prelims 2021

Ans. (d)

GST (Goods and Services Tax) also known as Value Added Tax (VAT) in some countries. It has become a major source of revenue for governments around the world. On July 1, 2017, GST laws were implemented, replacing a complex web of central and state taxes.

34. What was the Tax-GDP ratio in the financial year 2021-22 in India?

- (a) 12.5% (b) 11.7%
(c) 11.5% (d) 10.9%
(e) None of the above/More than one of the above

67th B.P.S.C. (Re-Exam) (Pre) 2021

Ans. (e)

According to the Union Budget Estimates, for the 2022-23 in India, "Tax-GDP ratio estimated at 9.9 percent in Budget Estimates 2021-22 the revised estimate is 10.8 percent in 2021-22 and 10.7 percent in the budget estimate 2022-23." As per Union Budget 2024-25 the tax to GDP ratio is estimated at 11.8 percent.

35. Which one of the following taxes is the largest source of revenue in India?

- (a) Income Tax
(b) Corporate Tax
(c) Union excise duties
(d) Custom duties

47th B.P.S.C. (Pre) 2005

Ans. (c)

As per the question year, Union excise duties was the largest source of revenue in India. According to the Budget estimates 2024-25 Income tax Goods and Service tax and Corporation tax are three largest sources of tax revenue respectively.

36. Which of the following is not a tax of the Central Government?

- (a) Income Tax (b) Land Revenue
(c) Custom Duty (d) Excise Duty

42nd B.P.S.C. (Pre) 1997-98

Ans. (b)

Of the above options, income tax, customs duty and excise duty are taxes of the central government, but land revenue is levied and collected by the state governments.

37. Which of the following Tax is levied by Union and collected and appropriated by States?

- (a) Stamp Duties (b) Passengers & Goods Tax
(c) Estate Duty (d) Taxes on Newspapers
(e) None of the above/More than one of the above

60th to 62nd B.P.S.C. (Pre) 2016

Ans. (a)

Among the given options, Stamp Duties (as are mentioned in the Union List of the Constitution) are levied by the Union and collected and appropriated by the States.

38. Which Committee recommended Interim Liquidity Adjustment Facility (ILAF)?

- (a) Verma Committee (b) Khan Committee
(c) Khusro Committee (d) Narasimham Committee
(e) None of the above / More than one of the above

B.P.S.C. CDPO 2022

Ans. (d)

Narasimham Committee recommended an Interim Liquidity Adjustment Facility (ILAF). Significantly, a LAF is a monetary policy tool used in India by the Reserve Bank of India (RBI).

39. Service tax was introduced in India on the recommendation of :

- (a) Kelkar Committee
(b) Raja J. Chelliah Committee
(c) Manmohan Singh Committee
(d) Yashwant Sinha Committee
(e) None of the above/More than one of the above

60th to 62nd B.P.S.C. (Pre) 2016

Ans. (b)

The Service tax was introduced in India on 1 July, 1994 at the recommendation of Raja J. Chelliah Committee on tax reforms. The introduction of this levy in India can be termed a milestone in Indian tax history.

40. Which committee suggested the enactment of the Competition Act, 2002?

- (a) Vijay Kelkar Committee
(b) Rangarajan Committee
(c) S. V. S. Raghavan Committee
(d) More than one of the above
(e) None of the above

68th B.P.S.C. (Pre) 2022

Ans. (c)

The Competition Act, 2002 was enacted by the Parliament of India and governs the Indian Competition Law. The Act received presidential assent in 2003. It was the S.V.S. Raghavan Committee that suggested the enactment of the Competition Act, 2002.

41. MODVAT, which comes into effect from April 2001, replaces-

- (a) sales tax (b) customs
(c) state excise duty (d) central excise duty

43rd B.P.S.C. (Pre) 1999

Ans. (*)

On the recommendation of L.K. Jha Committee (1981), a revised system of **Value Added Tax** (VAT) was introduced in the budget of 1986-87 MODVAT (Modified Value Added Tax) was implemented. MODVAT was levied on the output of manufacturing sector i.e. industrial products. This is the Central Excise Duty, in which there was a provision for deduction of the tax paid by the producers on the intermediate inputs. After MODVAT, CENVAT was introduced from budget 2000-01 and VAT was implemented from April 1, 2005 in its sequel. Now the government has implemented Uniform Goods and Service Tax (GST) from July 1, 2017.

42. Modvat is related to :

- (a) Sales Tax
(b) Wealth Tax
(c) Income Tax
(d) Excise Duty

48th to 52nd B.P.S.C. (Pre) 2008

Ans. (d)

Modvat (Modified Value Added Tax) is related to Union excise duty. It was introduced with effect from March 1, 1986.

43. The transformation of taxes on domestic products into the VAT was first recommended by

- (a) Khusro Committee (b) Raja Chelliah Committee
(c) Kelkar Committee (d) Rangarajan Committee
(e) None of the above / More than one of the above

B.P.S.C. Project Manager Prelims 2021

Ans. (b)

The recommendation to transform taxes on domestic products into the VAT was first made by Raja Chelliah Committee in 1991. The Committee, Officially known as the Tax Reforms Committee, was appointed by the Indian Government in 1991 to review the existing tax system.

44. Tax in India was introduced in the year :

- (a) 1994-95 (b) 1996-97
(c) 1998-99 (d) 1991-92

56th to 59th B.P.S.C. (Pre) 2015

Ans. (a)

Service tax is an indirect tax. It was introduced in the financial year 1994-95 on the recommendation of Chelliah Committee. Service Tax has been replaced by the GST since 1 July, 2017.

45. In which budget, GST was proposed to be introduced from April 2010?

- (a) 2004-05 (b) 2006-07
(c) 2008-09 (d) 2010-11
(e) None of the above / More than one of the above

B.P.S.C. Project Manager Prelims 2021

Ans. (b)

The proposal to introduce a National level GST was first mooted in the Budget speech in the year 2006-07.

46. The biggest source of income of the Government of India is-

- (a) Railway (b) Excise duty
(c) Sales tax (d) Direct tax

39th B.P.S.C. (Pre) 1994

41st B.P.S.C. (Pre) 1996

Ans. (d)

Option (d) was the correct answer at the time of question as well as at present. According to the budget 2022-23, while the share of direct tax in the total budget expenditure is estimated at 51.49 percent and indirect tax at 48.51 percent, in terms of proportion to GDP, it is 5.5 percent and 5.5 percent, respectively. As per Union Budget 2023-24, it is estimated that direct and indirect taxes to contribute around 55% & 45% respectively.

47. Which is Such a tax which is levied by the Central Government but the income received from it, is divided between the center and the state?

- (a) Custom Duty
(b) Central Excise Duty
(c) Corporation Tax
(d) none of these

44th B.P.S.C. (Pre) 2000

Ans. (b)

The central excise duty levied by the central government was divided between the center and the states. The current situation is that based on the recommendation of the Tenth Finance Commission, the 80th Constitution (Amendment) Act was passed, on the basis of which all taxes of the Central Government are now divisible with the States.

48. Which of the following are two indirect taxes?

- (a) Sales tax and Income tax
(b) Income tax and wealth tax
(c) Sales tax and excise duty
(d) Income tax and Excise duty

45th B.P.S.C. (Pre) 2001-02

Ans. (c)

Income tax and property tax given in the above options are direct tax, while sales tax and excise duty are indirect tax.

49. When was the electronic filing of returns of tax collected at source scheme incorporated as per the Income-tax Act, 1961?

- (a) 2005 (b) 2015
(c) 2017 (d) 2003

B.P.S.C. Assistant Mains (GK) Paper II 2023

Ans. (a)

As per the income-tax act 1961, the electronic filing of returns of tax collected at source scheme incorporated in 2005. It is applicable to all deductors furnishing their TDS return in electronic form. The income tax Act, 1961 came into existence w.e.f. 1-4-1962.

50. The deregulation of interest rates of banks is based on the recommendation of

- (a) Chelliah Committee
(b) Dantawala Committee
(c) Narasimhan Committee
(d) none of these

43rd B.P.S.C. (Pre) 1999

Ans. (c)

The Narasimhan Committee (1991) identified the decline in the interest income of banks as one of the main reasons for the falling profitability of India's public sector banks. The shortfall in interest income was due to keeping a major portions of the total deposits in the form of **Statutory Liquidity Ratio** (SLR) and **Cash Reserve Ratio** (CRR) at relatively low interest rates. In addition, under social banking, a large proportion of total deposits (40% of total deposits) had to be given to the primary sector at a low rate of interest. Only 30% of the total deposits of the banks have been lent at the market rate of interest. In the above context, the Narasimhan Committee recommended reducing the SLR to 25% and reducing the CRR to 5% level, as well as providing freedom to bank to fix the minimum interest rate of lending the government accepted the above recommendation of the committee.

51. Bhandari Committee is related to :

- (a) Direct taxation
- (b) Indirect taxation
- (c) Agriculture credit
- (d) Regional rural banks' restructuring
- (e) None of the above/More than one of the above

67th B.P.S.C. (Re-Exam) (Pre)2021

Ans. (d)

Bhandari committee (1994) was constituted for Restructuring of Regional Rural Banks.

52. In which budget, the Commodity Transaction Tax (CTT) was introduced in the Budget of India?

- (a) 2013-14
- (b) 2012-13
- (c) 2014-15
- (d) 2017-18
- (e) None of the above / More than one of the above

66th B.P.S.C. (Pre) (Re-Exam) 2020

Ans. (a)

The **Commodity Transaction Tax** (CTT) was first introduced in the 2013-14 Union Budget. The CTT is levied on trades made on commodities exchanges. It is a tax payable to the Central Government and therefore classified as a regulatory charge. The CTT is at 0.01 percent of the price of the trade on non-agricultural commodities future contracts.

53. Under which one of the following Articles is the formation of Finance Commission laid down?

- (a) Article 280
- (b) Article 269

- (c) Article 268
- (d) Article 265
- (e) None of the above / More than one of the above

64th B.P.S.C. (Pre) 2018

Ans. (a)

The Finance Commission is constituted by the President under Article 280 of the Constitution at every fifth year or at such earlier time as he considers necessary. It is the duty of the Finance Commission to make recommendations to the President as to :

- (a) the distribution of the net proceeds of taxes to be shared between the Union and the States, and the allocation between the States of the respective shares of such proceeds;
- (b) the principles which should govern the grants-in-aid of the revenues of the States out of the Consolidated Fund of India;
- (c) the measures needed to augment the Consolidated Fund of a State to supplement the resources of the Panchayats and Municipalities in the State on the basis of the recommendation made by the Finance Commission of the State;
- (d) any other matter referred to the commission by the President in the interests of sound finance.

54. What is the share of Bihar in the divisible pool of Central Taxes on the recommendation of the 15th Finance Commission?

- (a) 10.06%
- (b) 11.02%
- (c) 13.02%
- (d) 15.03%
- (e) None of the above / More than one of the above

66th B.P.S.C. (Pre) (Re-Exam) 2020

Ans. (a)

The share of Bihar in the divisible pool of Central Taxes on the recommendation of the 15th Finance Commission (FC) is 10.06%, which was at 9.67% previously on the basis of 14th FC. Among all the States, Uttar Pradesh's share (17.93%; according to 15th FC) is the largest and Bihar is at second place.

55. Who is the chairman of the 12th Finance Commission?

- (a) Prof. D.T. Lakdawala
- (b) Dr. C. Rangarajan
- (c) Shri Digvijay Singh
- (d) Shri K.C. Pant

45th B.P.S.C. (Pre) 2004

Ans. (b)

The 12th Finance Commission, constituted in the year 2002, was headed by Dr. C. Rangarajan, former Governor of the Reserve Bank. The recommendations of the 12th Finance Commission were for the period 2005-10. Presently the 15th Finance Commission is constituted by N.K. Singh, in November 2017, whose recommendations were to be implemented from 2020 to 2025, which has now been changed to 2021-26. Recently on 31 Dec., 2023 16th Finance Commission was constituted under the Chairmanship of Dr. Arvind Panagariya.

56. According to the 14th Finance Commission, the percentage share of States in the net proceeds of the shareable Central tax revenue should be :

- (a) 32 percent (b) 35 percent
(c) 40 percent (d) 42 percent
(e) None of the above / More than one of the above

63rd B.P.S.C. (Pre) 2017

Ans. (d)

The 14th Finance Commission was appointed by the President of India on 2 January, 2013 under the chairmanship of Dr.Y.V. Reddy. The commission has recommended States' share in net proceeds of Central tax revenue (divisible pool) be 42 percent, a huge jump from the 32 percent recommended by the 13th Finance Commission. 14th FC had not made recommendations concerning sector-specific grants. 15th Finance Commission has recommended that 41 percent of the net proceeds of Central taxes be shared with the States.

57. In the year 2006-07, the Development Expenditure of Bihar in its total expenditure was-

- (a) 60 Percent (b) 67 Percent
(c) 56 Percent (d) 54 Percent

48th to 52nd B.P.S.C. (Pre) 2008

The developmental expenditure of the state of Bihar was about 60 per cent of its total expenditure during the period in question. While according to the Bihar Economic Review, 2021-22, it is 67.7% in the year 2020-21 and 2021-22 (Budget estimate) had 69.8%. In the budget 2024-25, the Revenue and capital expenditure is estimated at 76.96% and 23.4% of total expenditure respectively.

Planning

1. Which of the following were goals of the Five-Year Plans?

1. Growth 2. Modernization
3. Self-reliance 4. Literature

- (a) 1, 2 and 4 only (b) 1, 3 and 4 only
(c) 2, 3 and 4 only (d) More than one of the above
(e) None of the above

68th B.P.S.C. (Pre) 2022

Ans. (e)

Every five year plans is developed with a specific goal in mind. But never one solitary objective of the plans. The plan is supposed to work towards the perspective plan and must cover an important object. So let us look at these five types of goals we cover in the Five Year Plans like Growth, Modernisation, Self-Reliance, Equity and promote social welfare. So literature is not goal of the Five-Year Plans.

2. In which year was the 'Planning Commission' set up in India?

- (a) 1950 (b) 1947
(c) 1948 (d) 1951

53rd to 55th B.P.S.C. (Pre) 2011

Ans. (a)

The Planning Commission was set up by a Cabinet Resolution in March, 1950 as an advisory body, in pursuance of declared objectives of the Government of India to promote a rapid rise in the standard of living of the people by efficient exploitation of the resources of the country, increasing production and offering opportunities to all for employment in the service of the community. It was a non-constitutional (not created by the Constitution) and a non-statutory body (not created by an Act of the Parliament). It may be described as a quasi-political body, which is not quite independent of the Government. The Prime Minister of India used to be the ex-officio chairman of the Planning Commission of India.

3. The Ex-officio Chairman of the Planning Commission of India is-

- (a) Planning Minister (b) Prime Minister
(c) President (d) Governor of Reserve Bank

41st B.P.S.C. (Pre) 1996

Ans. (b)

See the above question's explanation.

4. NITI Aayog came into existence on :

- (a) 1st January, 2014 (b) 1st June, 2014
(c) 1st January, 2015 (d) 1st June, 2015
(e) None of the above/More than one of the above

63rd B.P.S.C. (Pre) 2017

Ans. (c)

NITI Aayog (NITI : National Institution for Transforming India) was established on 1st January, 2015 by a Cabinet Resolution to replace the Planning Commission. It is a public policy think tank of the Government of India, established with the aim to achieve sustainable development goals with cooperative federalism by fostering the involvement of State Governments of India in the economic policy-making process using a bottom-up approach. Prime Minister is the ex-officio Chairman of the NITI Aayog.

5. **In Government of India's NITI Aayog, which is an economic policy-making think tank, what is the full form of NITI?**

- (a) National Internal Trade Information
- (b) National Institution for Transforming India
- (c) National Integrated Treaty Institute
- (d) National Intellectual Training Institute
- (e) None of the above/More than one of the above

64th B.P.S.C. (Pre) 2018

Ans. (b)

See the explanation of the above question.

6. **Who among the following is the CEO of the NITI Aayog?**

- (a) Amitabh Kant
- (b) S.S. Mundra
- (c) Cyrus Mistry
- (d) Soumya Kanti Ghosh
- (e) None of the above/More than one of the above

64th B.P.S.C. (Pre) 2018

Ans. (a)

Amitabh Kant was the second and current CEO of NITI Aayog. He assumed office on 17 February, 2016 in place of Sindhushree Khullar. Parameswaran Iyer replaces Amitabh Kant on 1 July, 2022. B.V.R. Subrahmanyam is the present Chief Executive Officer of NITI Aayog. He joined the office as on February 25, 2023.

7. **In NITI Aayog's Health Index 2019, Bihar scored :**

- (a) 30.12
- (b) 30.13
- (c) 32.11
- (d) 32.12
- (e) None of the above/More than one of the above

65th B.P.S.C. (Pre) 2019

Ans. (c)

The second edition of NITI Aayog's State Health Index was released in June, 2019. In this index the score of Bihar was 32.11. NITI Aayog released the fourth edition of the State Health Index for 2019-20, titled 'Health States, Progressive India' on 27 December, 2021. The Index ranked the States

and Union Territories based on 24 health-related indicators. Kerala (Score – 82.20) continued to top the List of Overall Reference Year (2019-20) Index Score for the best performing State in the health sector among the 19 larger States, while Uttar Pradesh continued to be at the bottom of the list with its score falling to 30.57. Other States at the bottom of the list are Bihar (31.00), Madhya Pradesh (36.72) and Rajasthan (41.33). Among the larger States, in terms of annual incremental performance, Uttar Pradesh, Assam and Telangana are the top three ranking States.

As per NITI Aayog's Annual Health Index 2020-21 Kerala, Tamilnadu and Telangana have occupied first three place respectively. While Bihar (19th) Uttar Pradesh (18) and Madhya Pradesh (17) are at the bottom of the list.

8. **Which of the following is not a part of the National Development Council?**

- (a) Secretary of NITI Aayog
- (b) Secretary, Ministry of Planning and Program Implementation
- (c) Vice President of NITI Aayog
- (d) Chairman of the Finance Commission of India
- (e) None of the above / more than one of the above

67th B.P.S.C. (Pre) 2021

Ans. (e)

The Planning Commission was replaced by the NITI Aayog with effect from January 1, 2015, by the government. In those times, the Planning Commission and the National Development Council were related to each other, because the reports of the Planning Commission were approved and implemented by the National Development Council, while at present NITI Aayog has its own Governing Council. Therefore, it is not possible to explain the relationship between the National Development Council and the Policy Commission (NITI Aayog) in the present context.

9. **Consider the following about the 'Rolling Plan' :**

- I. A plan for the current year which includes the annual budget
- II. A plan for a fixed number of years, say 3, 4 or 5
- III. It is revised every year as per requirements of the economy
- IV. A perspective plan for 10, 15 or 20 years

Which of the above are correct?

- (a) I and II
- (b) I and III
- (c) II and III
- (d) I, II, III and IV

53rd to 55th B.P.S.C. (Pre) 2011

Ans. (d)

The 'Rolling Plan' for backward countries was suggested by Gunnar Myrdal in his book 'Indian Economic Planning in its Broader Setting'. The Rolling Plan consists of three different plans. First, a plan for the current year which includes the annual budget and second, a plan fixed for a fixed number of years, which may be 3, 4 or 5 years. As per the requirement of the economy, it is revised every year. Third, a perspective plan for long terms i.e. 10, 15 or 20 years. The main advantage of the Rolling Plans was that they were flexible and were able to overcome the rigidity of fixed Five Year Plans by mending targets, the object of the exercise, projections and allocations as per the changing conditions in the country's economy.

10. With reference to Bare Necessities Index (BNI), consider the following statements-

- 1. The Economic Survey has come up with the Bare Necessities Index at the rural and urban levels.**
- 2. B. N. I. has been created for 2018 only for all states.**
- 3. B. N. I. is based on 26 indicators.**
- 4. B. N. I. consists of six dimensions.**

Which of the above statements are correct?

- (a) 1 and 3 only
- (b) 2 and 3 only
- (c) 1 and 4 only
- (d) 2 and 4 only
- (e) None of the above/More than one of the above

67th B.P.S.C. (Pre) 2021

Ans. (a)

The Economic Survey, 2020-21 was presented by Finance Minister Nirmala Sitharaman on January 29, 2021. In this Economic Survey, the basic needs index (BNI) was prepared at the rural, urban and all India level. It evaluates 26 indicators on five dimensions such as water, sanitation, housing, micro environment and other facilities. BNI is prepared for all states for the years 2012 and 2018 using data from the basis of drinking water, sanitation, health and residential status record of 69th and 76th NSO.

11. The 'Rolling Plan' concept in National Planning was introduced by :

- (a) Indira Gandhi
- (b) The National Front Government
- (c) The Janata Government
- (d) Rajiv Gandhi

48th to 52nd B.P.S.C. (Pre) 2008

Ans. (c)

The 'Rolling Plan' concept in National Planning of India was introduced by the Janata Party Government in 1978-79. It rejected the Fifth Five Year Plan of the preceding Congress government and launched the Rolling Plan which could be revised as per the needs of the economy due to the inherent flexibility in the Plan.

12. During Twelfth Five Year Plan, which one of the following average annual growth rate targets was envisaged for agriculture and allied sector?

- (a) 3.0 percent
- (b) 3.5 percent
- (c) 4.0 percent
- (d) 4.5 percent
- (e) None of the above/More than one of the above

64th B.P.S.C. (Pre) 2018

Ans. (c)

In the proposed 'vision paper' of the 12th Five Year Plan, a target of 9 percent annual average GDP growth rate was set. It was later fixed at 8 percent by the National Development Council (NDC) in December 2012 while approving the Five Year Plan.

13. The objective of the Eleventh Five Year Plan is :

- (a) Removal of poverty
- (b) Inclusive growth
- (c) Growth with social justice
- (d) Development of minorities

48th to 52nd B.P.S.C. (Pre) 2008

Ans. (b)

Eleventh Five Year Plan was aimed 'Towards Faster and More Inclusive Growth'. The duration of 11th Five Year Plan was 2007-12.

14. Which one of the following programmes was initiated during the Sixth Five Year Plan?

- (a) Integrated Rural Development
- (b) Rural Literacy Development
- (c) Rural Railways
- (d) Advanced Communication Links for Rural People
- (e) None of the above/More than one of the above

65th B.P.S.C. (Pre) 2019

Ans. (a)

The Sixth Five Year Plan was undertaken for the period between 1980 to 1985. Integrated Rural Development Plan (IRDP) was launched on 2 October, 1980 across the country. It was aimed at providing assistance to the rural poor families in the form of subsidy and bank credit for productive self-employment opportunities. From April, 1999 it was merged with Swarna Jayanti Gram Swarozgar Yojna.

15. Mahalanobis Plan Model adopted in India in the mid-fifties aimed at :

- (a) Building a strong defence industry base
- (b) Setting up heavy industries which were capital intensive
- (c) Curbing inflation in the economy
- (d) Removing unemployment within a short period

56th to 59th B.P.S.C. (Pre) 2015

Ans. (b)

Second Plan (1956-61) is also called Mahalanobis Plan. Second plan was conceived in an atmosphere of economic stability. It was felt agriculture could be accorded lower priority. The Plan focussed on rapid industrialization and setting up capital intensive heavy and basic industries.

16. First Five Year Plan of India was based on the :

- (a) Harrod-Domar Model
- (b) Mahalanobis Model
- (c) Dadabhai Naoroji Model
- (d) J.L. Nehru Model
- (e) None of the above/More than one of the above

60th to 62nd B.P.S.C. (Pre) 2016

Ans. (a)

The First Five Year Plan was launched in 1951 which mainly focussed on development of the primary sector. This plan was based on the Harrod-Domar model with few modifications. Influx of refugees, severe food shortage and mounting inflation confronted the country at the onset of the First Five Year Plan.

17. The period of Plan Holiday in India was :

- (a) 1962-65
- (b) 1966-69
- (c) 1969-72
- (d) 1972-75

48th to 52nd B.P.S.C. (Pre) 2008

Ans. (b)

Third Five Year Plan ended on 31st March, 1966 and Fourth Five Year Plan was started from 1st April, 1969. During this period i.e. from 1st April, 1966 to 31st March, 1969 (3 years), there was no Five Year Plan. During this period three Annual Plans were introduced instead. Therefore, the period 1966-69 euphemistically described as a '**Plan Holiday**' in the history of Indian planning.

18. Which of the following were treated as separate Annual Plans?

- (a) 1988-89 and 1989-90
- (b) 1989-90 and 1990-91

- (c) 1990-91 and 1991-92
- (d) 1991-92 and 1992-93
- (e) None of the above / More than one of the above

B.P.S.C. Project Manager Prelims 2021

Ans. (c)

The Eight Five-Year Plan could not take off in 1990 due to the rapidly changing economic and political situation at the centre in India. The Government adopted the two Annual Plans for the years 1990-91 and 1991-92 for the country's economy to back on track. It was the second, plan Holiday, after the First Plan Holiday in 1966-69.

19. According to Article 113 of the Constitution, how much Demands of Grants in the annual budget are presented in Parliament?

- (a) 98
- (b) 96
- (c) 104
- (d) 109
- (e) None of the above / more than one of the above

67th B.P.S.C. (Pre) 2021

Ans. (e)

According to Article 113 of the Constitution of India, the demand for expenditure over and above the expenditure charged on the Consolidated Fund of India is presented for the approval of the Lok Sabha. This is called Demand for Grants. A total of 102 demands (items have been demanded) in the annual budget 2024-25 under Article 13 of the Indian Constitution.

20. Which five year plan period in the Indian economy?

- (a) First plan
- (b) Second plan
- (c) Fourth Plan
- (d) Annual plans

44th B.P.S.C. (Pre) 2000

38th B.P.S.C. (Pre) 1992-93

Ans. (a)

Starting from the year 1951 till date, the price level came down only during the period of the First Five Year Plan (1951-56) in the entire planning period. The Wholesale Price Index [(WPI) base year 1961-62 = 100] which was 89 in 1950-51, fell to 74 in 1955-56. That is, there was an annual decrease of 3.2% in the price level in these five years.

21. The final approval of five year plan is given by-

- (a) National Development Council
- (b) Parliament
- (c) Planning Commission
- (d) Ministry of Planning

43rd B.P.S.C. (Pre) 1999

Ans. (a)

In the first phase of planning, the Planning Commission estimates the physical, capital and human resources available in the country. In the second phase, the federal and state governments make their own plans and send them to the Planning Commission, after studying which the commission integrates the plans sent by different governments. At the beginning of the third phase, the Planning Commission issues the draft plan. After that, after determining the nature of the projects from various governments, the Planning Commission, after consulting the Union Cabinet and various ministries, presents the final form of the plan to the cabinet. After the approval of the cabinet, the draft plan is sent to the National Development Council (NDC). The NDC gives final approval to the plan proposed by the Planning Commission. After this the plan is presented in the Parliament, where after approval it becomes 'Government Plan' and it is published.

22. Who finally approves the draft of five year plans?

- (a) President
- (b) Planning Commission
- (c) National Development Council
- (d) None of the above

40th B.P.S.C. (Pre) 1995

Ans. (c)

See the above question's explanation.

23. The Mahalanobis heavy industry development plan was opposed by wage-goods development plan, whose main author was

- (a) Prof. R. N. Dandekar
- (b) Prof. Madhu Dandavate
- (c) Prof. Brahmananda
- (d) Prof. Amartya Sen
- (e) None of the above / More than one of the above

B.P.S.C. Project Manager Prelims 2021

Ans. (c)

The author of the wage-goods development plan opposed to the Mahalanobis heavy industry development plan was a team consisting of Professor C.N. Vakil and Professor P.R. Brahmananda. Their wage-goods model focused on the importance of satisfying immediate basic needs and increasing worker productivity through the consumption of wage goods, which include food, clothing and other necessities.

24. The Sarvodaya Plan was proposed by

- (a) Vinoba Bhave
- (b) M. G. Gandhi
- (c) Ram Manohar Lohia
- (d) Jayaprakash Narayan
- (e) None of the above / More than one of the above

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Ans. (d)

The Sarvodaya Plan was proposed by Jaya Prakash Narayan published in January, 1950. Major idea of the plan were highly similar to the Gandhian plan like emphasis on agriculture, agri-based small and cottage industries, self reliance and almost no dependence on foreign capital and technology, land reforms, self dependent villages etc.

Money and Banking

1. When the supply for money increases and the demand for money reduces, there will be

- (a) a decrease in the rate of interest
- (b) a fall in the level of prices
- (c) a fall in the level of demand
- (d) an increase in the rate of interest
- (e) None of the above / More than one of the above

B.P.S.C. Assistant Audit Officer 2022

Ans. (a)

When the supply of money increases and the demand for money reduces, it typically leads to situation where there is more money available in the economy than there is demand for it. In such a scenario, several outcomes are possible-

- Lower interest rate
- Increase Investment and Consumption
- Potential for Inflation
- Currency Depreciation

2. Which committee has been constituted by the Government of India to boost cashless transaction?

- (a) Nachiket Mor Committee
- (b) Shanta Kumar Committee
- (c) H.R. Khan Committee
- (d) Neeraj Kumar Gupta Committee
- (e) None of the above/More than one of the above

60th to 62nd B.P.S.C. (Pre) 2016

Ans. (d)

The Neeraj Kumar Gupta Committee was constituted in April, 2016 by the Government of India and the RBI to boost cashless transactions and reduce cash transactions in the economy. After the demonetization in November, 2016 the Government of India formed a new committee, headed by NITI Aayog CEO Amitabh Kant, to form a strategy to expedite the process of transforming India into a cashless economy.

3. As per the new methodology, the lending rate is calculated by the banks based on

- (a) average cost of funds
- (b) repo rate

- (c) marginal cost of funds
- (d) inflation rate
- (e) None of the above/More than one of the above

B.P.S.C. CDPO 2018

Ans. (c)

The lending rate is calculated by the banks based on the Marginal cost of funds. These funds increase in financial cost for a lending institution as a result of adding one more dollar of new funding is known as the marginal cost of fund. It is the incremental cost or differentiated cost and is considered important for making decision on the capital structure.

4. The Eighth Five Year Plan gives priority to-

- (a) To increase employment
- (b) On increasing imports
- (c) To increase industry
- (d) Freedom of the press

39th B.P.S.C. (Pre) 1994

Ans. (a)

The Eighth Five Year Plan for the period 1992-97 was based on the 'John W. Muller' model leading to a liberalized economy. In this plan 'Human Resource Development' was the basic objective and priority was given to increase employment.

5. Who prepared the outline of the second five year plan?

- (a) V.N. Gadgil
- (b) V.K.R.V. Rao
- (c) P.C. Mahalanobis
- (d) C.N. lawyer

47th B.P.S.C. (Pre) 2005

Ans. (c)

The then Director General of the Indian Statistical Organization, Prof. P.C. Mahalanobis prepared the outline of the second five year plan.

6. Consider the following Consumer Price Index :

- I. Consumer Price Index for Industrial Workers.
- II. Consumer Price Index for Agricultural Labourers.
- III. Consumer Price Index for Rural Workers.
- IV. Consumer Price Index for Urban Non-Manual Employees.

In the given indexes, which is/are compiled by Central Statistics Office (CSO)?

- (a) Only III and IV
- (b) Only I, II and III
- (c) Only IV
- (d) I, II, III and IV

56th to 59th B. P. S.C. (Pre) 2015

Ans. (*)

CPI for Industrial Workers (CPI-IW), CPI for Agricultural Labourers (CPI-AL) and CPI for Rural Labourers (CPI-RL) indexes are compiled by Labour Bureau in the Ministry of Labour and Employment. While CPI for Urban Non-Manual Employees (CPI-UNME) was earlier computed by CSO, which was discontinued since April, 2008. The CPI-Urban and CPI-Rural (and CPI-Combined) Indexes are compiled by the National Statistical Office (NSO) in the Ministry of Statistics and Programme implementation.

7. The Reserve Bank of India is using which of the following inflation indices as anchor for 'Inflation Targeting'?

- (a) WPI
- (b) GDP deflator
- (c) CPI - combined
- (d) CPI - industrial workers
- (e) None of the above/More than one of the above

B.P.S.C. CDPO 2018

Ans. (c)

Reserve Bank of India (RBI) uses inflation targeting as a tool to decide Monetary Policy rates, Monetary Policy Committee (MPC) of the RBI uses CPI data to control Inflation. CPI combined is a detailed measure used for the estimation of price changes in a basket of goods and services representative of consumption expenditure in an economy. CPI is released by National Statistical Organisation (NSO) Ministry of Statistics and Programme Implementation.

8. Which of the following is not directly important for economic development?

- (a) Quantity of money
- (b) Price stability
- (c) Savings rate
- (d) Resource utilization

41st B.P.S.C. (Pre) 1996

Ans. (a)

Money is used as a medium of exchange, which helps in the smooth functioning of economic activities. i.e. it does not contribute directly but indirectly to economic development like price stability, savings rate and utilization of resources.

9. The base year for All-India Wholesale Price Index (WPI) has been changed by the Government of India from 2004-05 to :

- (a) 2010-11
- (b) 2011-12
- (c) 2012-13
- (d) 2013-14
- (e) None of the above/More than one of the above

63rd B.P.S.C. (Pre) 2017

Ans. (b)

As per the question period, the new Wholesale Price Index (WPI) series was introduced on 14 September, 2010. The base year of this WPI series was 2004-05. On 12 May, 2017 (effective from April, 2017) the base year of the WPI revised from 2004-05 to 2011-12.

10. Which of the following commercial banks of India comes in top 100 global banks?

- (a) ICICI Bank (b) SBI
(c) HDFC Bank (d) Kotak Mahindra Bank
(e) None of the above / More than one of the above

66th B.P.S.C. (Pre) 2020

Ans. (b)

As per the report released by S & P Global Market Intelligence in April 2020, India had only one bank in the top 100 global bank list (by total assets). State Bank of India (SBI) at 55th position is the only Indian Bank in this list. China has 18 banks while the U.S. has 12 in the list. In April 2021 list, SBI's rank was 57th among World's 100 largest banks. In April 2022, SBI ranked at 53rd among the world's 100 largest banks. SBI is ranked at 48th place in the World's 100 largest banks list, 2023, released by S & P Global Market Intelligence. According to S & P Global Market Intelligence Report, 2024 the rank of SBI is 20, HDFC Bank 33 and ICICI Bank 48. These three banks are included in top 50 banks of the Asia-Pacific region.

11. Which is the highest bank in the banking system of India?

- (a) State Bank of India
(b) Reserve Bank of India
(c) Central Bank of India
(d) Industrial Development Bank of India

44th B.P.S.C. (Pre) 2000

Ans. (b)

The Reserve Bank of India (RBI) is the apex bank in India's banking system as the banker to the government and the banker to the banks and the lender of last resort. The Reserve Bank of India is responsible for issuing notes and formulation and implementation of monetary policy. It was established on 1st April, 1935 under the provision of Reserve Bank of India Act, 1934 and nationalized in the year 1949.

12. Which of the following organizations provides guarantee to exporters in India?

- (a) RBI
(b) Export Loan Guarantee Corporation
(c) Exim Bank

(d) Commerce Ministry

(e) None of the above / More than one of the above

B.P.S.C. Assistant Audit Officer 2022

Ans. (b)

In India, the Export Credit Guarantee Corporation of India (ECGC), provides guarantee to exporters. ECGS offers various export Credit insurance schemes to protect exporters against risks such as non-payment by buyers, political risks, and commercial risks associated with exporting goods and services.

13. From time to time, which among the following publishes the 'exchange control manual' in context with the foreign exchange in India?

- (a) SEBI (b) Department of Commerce
(c) RBI (d) Foreign Promotion Board
(e) None of the above / More than one of the above

B.P.S.C. Assistant Audit Officer 2022

Ans. (c)

The 'Exchange Control manual' published by the Reserve Bank of India (RBI) serves as a comprehensive guide outlining the regulations, policies, and procedures governing foreign exchange transaction, in India. It provides detailed information on various aspects related to foreign exchange management.

14. Which private sector bank has launched 'e-Kisaan Dhan' app for farmers?

- (a) Axis Bank (b) HDFC Bank
(c) IDBI Bank (d) Kotak Mahindra Bank
(e) None of the above / More than one of the above

66th B.P.S.C. (Pre) 2020

Ans. (b)

Private sector HDFC Bank launched the 'e-Kisaan Dhan' app for farmers all over India in June, 2020. Through this app the farmers will be able to access a bouquet of services, both banking and agriculture, through their mobile phones. 'e-Kisaan Dhan' app will provide value-added services like mandi prices, latest farming news, weather forecast, information on seed varieties and more. Users can also avail multiple banking services through this app.

15. 'Gullak Bachcha Bank' is a bank based in :

- (a) Delhi (b) Patna
(c) Bhopal (d) Jaipur
(e) None of the above / More than one of the above

63rd B.P.S.C. (Pre) 2017

Ans. (b)

‘Gullak Bachcha Bank’ is a bank managed entirely by the children at the Bal Bhavan-Kilkari in Patna. Opened on Children’s Day, November, 14, 2009 by Bihar Chief Minister Nitish Kumar, it was an experiment in thrift education. This bank has four objectives – help children understand the importance and correct use of money; develop the habit of saving; promote understanding of the banking system; and encourage the spirit of mutual cooperation.

16. In Indian currency, the one rupee note is issued under the signature of :

- (a) Governor of Reserve Bank of India
- (b) President of India
- (c) Finance Secretary, Ministry of Finance, Govt. of India
- (d) Finance Minister, Govt. of India

48th to 52nd B.P.S.C. (Pre) 2008

Ans. (c)

The Reserve Bank of India does not issue one rupee notes and coins, while other notes of different denominations are issued by the RBI. One rupee note was issued by the Government of India bearing the signature of the Finance Secretary while other notes bear the signature of RBI Governor. Currently, Tuhin Kanta Pandey is Finance Secretary of India.

17. Financial sector reforms in India consist of :

- (a) Lowering down of CRR and SLR
- (b) Entry of private firms in insurance sector
- (c) Deregulation of interest rates
- (d) All of the above

56th to 59th B. P. S.C. (Pre) 2015

Ans. (d)

The financial sector reforms refer to steps taken by the Government to reform the banking system, capital market, government debt market, foreign exchange market etc. The financial sector reforms in India mainly consist of :

- Lowering down of CRR and SLR
- Deregulation of deposit and lending interest rates
- Entry of private firms in banking and insurance sector
- Reforms related to non-performing assets (NPA)
- Elimination of direct or selective credit controls.

Hence, option (d) is the correct answer.

18. Which of the following is not a quantitative method of credit control?

- (a) Bank Rate Policy
- (b) Margin Requirements
- (c) Open Market Operation
- (d) CRR

(e) None of the above / More than one of the above

B.P.S.C. Project Manager Prelims 2021

Ans. (b)

Quantitative Credit Controls are used to maintain proper quantity of credit, and money supply in market. Some of the important general credit control methods are–

- Bank Rate Policy
- Open Market Operations
- Cash Reserve Ratio (CRR)
- Statutory Liquidity Ratio (SLR)
- Repo Rates & Reverse Repo Rate

19. Indian currency is printed on-

- (a) Reserve Bank of India
- (b) Ministry of Finance
- (c) in the Parliament
- (d) Nashik Printing Press

43rd B.P.S.C. (Pre) 1999

Ans. (d)

Currency Press Note, Nashik (Maharashtra) prints and supplies 10, 20, 50, 100, 200, 500 and 2000 rupee notes. Indian currency is also printed at the Bank Note Press, Dewas (Madhya Pradesh) and Shahbani (West Bengal) and the Indian Reserve Bank Note Mudran Limited at Mysore (Karnataka) in addition to the Currency Press Note.

20. Note Issue system in India is based on-

- (a) Proportional Fund System
- (b) on minimum Reserve system
- (c) on fixed exchange system
- (d) on full variability system

44th B.P.S.C. (Pre) 2000

Ans. (b)

The Minimum Reserve System (MRS) is the currency issue system followed by the RBI at present. It was adopted in 1956. The MRS which requires the RBI to keep a minimum reserve of Rs. 200 Crores comprising foreign currencies, gold coin and gold bullion (Min. of Rs. 115 Crore in the form of gold).

21. Lowering the Cash Reserve Ratio, it will have the following impact on the economy:

- I. Banks will have higher leverage to liquidity.**
- II. The economy may see increased investment.**
- III. Supply of currency in the economy may broaden.**
- IV. Real investment rate may decline.**

Select the correct code :

- (a) I only
- (b) Both I and II
- (c) I, II, III and IV
- (d) II, III and IV
- (e) None of the above / More than one of the above

66th B.P.S.C. (Pre) (Re-Exam) 2020

Ans. (e)

Cash Reserve Ratio (CRR) is described as a particular percentage of cash deposits that must be maintained by every bank in India as per the requirements of the RBI. If RBI lowers the CRR, the banks will have higher leverage to liquidity because it increases the loanable funds with the bank. The banks in turn can sanction further loans to businesses and industry for different investment purposes and the economy may see increased investment. It also increases the overall supply of money in the economy. Hence, Statement I, II and III are correct while statement IV is incorrect.

22. If the Cash Reserve Ratio is lowered by the RBI, it's impact on credit creation will be :

- (a) Increase (b) Decrease
- (c) No impact (d) None of the above

48th to 52nd B.P.S.C. (Pre) 2008

Ans. (a)

See the explanation of the above question.

23. Consider the following statements :

1. Bank Rate is the rate of interest which RBI charges its clients on their short-term borrowing.

2. Repo Rate is the rate of interest which RBI charges its clients on their long-term borrowing.

Which of the statements given above is / are incorrect?

- (a) 1 only (b) 2 only
- (c) Both 1 and 2 (d) Neither 1 nor 2

56th to 59th B.P.S.C. (Pre) 2015

Ans. (c)

Bank Rate is the rate at which the Reserve Bank is ready to buy or rediscount bills of exchange or other commercial papers. In general terms, a bank rate is the interest rate at which nation's central bank (RBI) lends money to commercial banks for long term financial requirements. Hence statement (1) is incorrect. Under Repo Rate, RBI lends money to commercial banks for a short term. Hence statement (2) is also incorrect. Hence, the option (c) is the correct answer. Currently, the repo rate is 6.50% (October, 2024).

24. Bank rate means :

- (a) Interest rate charge by moneylenders
- (b) Interest rate charged by Scheduled Banks
- (c) Rate of profit of banking institution
- (d) Official rate of interest charged by Central Bank
- (e) None of the above/More than one of the above

60th and 62nd B.P.S.C. (Pre) 2016

Ans. (d)

Bank Rate implies the rate of interest at which the RBI discounts the Bills of Exchange. In other words, it is the rate of interest at which RBI provides loans to the commercial banks. It is an instrument of monetary policy to influence money supply in the economy. At present the Bank rate is 6.75% (October 2024).

25. The main source of the revenue of the Government of India is-

- (a) direct tax
- (b) indirect tax
- (c) deficit replacement
- (d) borrowing from the Reserve Bank of India

38th B.P.S.C. (Pre) 1992-93

Ans. (b)

Option (b) was the correct answer in the question period, while according to the budget estimate for 2022-23, the main source of revenue in the year 2022-23 is direct tax. Direct and indirect taxes are 5.5% and 5.2% of GDP respectively in the year 2022-23. As per budget 2024-25, this main source of revenue in the year 2024-25 is direct tax. Direct tax contribute around 55% in total tax revenue of government.

26. At present, who is the Governor of the Reserve Bank of India?

- (a) Urjit Patel
- (b) Raghuram Rajan
- (c) Shanta Kumar
- (d) Lalita D. Gupta
- (e) None of the above/More than one of the above

64th B.P.S.C. (Pre) 2018

Ans. (e)

Shaktikanta Das, former Secretary, Department of Revenue and Department of Economic Affairs, Ministry of Finance, Government of India assumed charge as the 25th Governor of the Reserve Bank of India w.e.f. 12 December, 2018. Before him, Dr. Urjit Patel was the Governor of the RBI from 4 September, 2016 to 11 December, 2018 and Dr. Raghuram Rajan was Governor of the RBI from 4 September, 2013 to 4 September, 2016.

27. R.N. Malhotra committee is related to-

- (a) sick industries
- (b) tax reforms
- (c) insurance sector
- (d) banking sector

56th to 59th B.P.S.C. (Pre) 2015

Ans. (c)

As per the major recommendation of the Malhotra Committee Report (January 7, 1994), the IRDA Act, 1999 was passed. The report recommended setting up of an independent regulatory authority for the insurance sector. IRDA came into existence as a statutory body in April, 2000. The objective of IRDA is to protect the interests of the policyholders, orderly regulation, promotion of the insurance industry and to deal with related and incidental matters.

28. On October 8, 1991, the Reserve Bank of India increased the bank rate from 11% to -

- (a) 11.5% per annum (b) 12.0% per annum
(c) 12.5% per annum (d) 13.0% per annum

40th B.P.S.C. (Pre) 1995

Ans. (b)

Option (b) was the correct answer in the question period. The current policy rates is as follows (as on August 05, 2023), Bank Rate 6.75%, MSF Rate – 6.75%, Repo Rate 6.50%, Standing Deposit Facility Rate 6.25%, Fixed Reverse Repo Rate 3.35%, Cash Reserve Ratio (CRR) 4.50% and Statutory Liquidity Ratio (SLR) is 18%. As per current data, the bank rate is 6.75% (as on October, 2024).

29. In general, the main objective of monetary policy is-

- (a) Control money supply
(b) Control private banks
(c) Control stock market
(d) Control precious metals market

43rd B.P.S.C. (Pre) 1999

Ans. (a)

According to Harry J. Johnson, “Monetary policy refers to the control policy by which the central bank exercises control over the supply of money for the purpose of achieving the goals of general economic policy.” But in a developing country like India, through its monetary policy, where the central bank regulates the amount of credit (control of money supply) on the one hand, on the other hand it fulfills the requirements of money and credit generated by development programs.

30. Who amongst the following is the present Governor of the RBI?

- (a) Bimal Jalan
(b) Arvind Subramanian
(c) Raghuram Rajan
(d) Urjit Patel
(e) None of the above/More than one of the above

63rd B.P.S.C. (Pre) 2017

Ans. (d)

During the question period, the Governor of the RBI was Urjit Patel who served as the 24th Governor from 4 September, 2016 to 11 December, 2018. The present Governor of the RBI is Shaktikanta Das who is the 25th Governor from 12 December, 2018.

31. Match the column-A with the column-B and select the correct answer using the codes given below :

Column -A

A. 1955

B. 1964

C. 1982

D. 1987

Column -B

1. Export-Import Bank of India

2. Industrial Development Bank of India

3. Industrial Credit and Investment Corporation of India

4. Board of Industrial and Financial Reconstruction

Codes :

- | | A | B | C | D |
|-----|---|---|---|---|
| (a) | 1 | 2 | 3 | 4 |
| (b) | 2 | 3 | 1 | 4 |
| (c) | 3 | 2 | 1 | 4 |
| (d) | 4 | 1 | 2 | 3 |

56th to 59th B.P.S.C. (Pre) 2015

Ans. (c)

Export-Import Bank of India was set up in March 1982 through Exim Bank Act, 1981. It provides financial assistance to exporters and importers with a view to promoting the country's international trade. IDBI was constituted under Industrial Development Bank of India Act, 1964 as a Development Financial Institution (DFI) and came into being on July 01, 1964. ICICI was formed in 1955 to provide medium-term and long-term project financing to Indian businesses and BIFR was set up in January 1987.

32. When was the Life Insurance Corporation of India established?

- (a) 1956 (b) 1944
(c) 1950 (d) 1947

48th to 52nd B.P.S.C. (Pre) 2008

Ans. (a)

Institution	Established in (Year)
Life Insurance Corporation of India (L.I.C.)	– 1956
Unit Trust of India (U.T.I.)	– 1963
Industrial Development Bank of India (IDBI)	– July 1964
Securities and Exchange Board of India (SEBI)	– 1992

33. The Reserve Bank of India has decided to invest money to help in India's foreign trade-

- (a) Through NABARD (b) Through Exim Bank
(c) IDBI through (d) By State Bank of India

42nd B.P.S.C. (Pre) 1997-98

Ans. (b)

The Export-Import Bank of India, which was established on January 1, 1982, aims to provide financial facilities to exporters and importers, as well as to commercial banks and financial institutions. Also provides refinance facilities against their export-import financing activities. Exim Bank can borrow from the Reserve Bank of India to meet its financial requirements.

34. NABARD (National Bank for Agriculture and Rural Development) is aimed at

- (a) rural credit (b) industrial credit
(c) urban credit (d) All of the above
(e) None of the above / More than one of the above

B.P.S.C. Auditor 2021

Ans. (a)

NABARD, which stands for National Bank for Agriculture and Rural Development is aimed at fostering rural development by providing financial and development support to agriculture and rural sectors in India. It serves as an apex institution in the field of rural credit, with a mandate to promote sustainable and equitable agriculture and rural prosperity through credit, development, and other support services. NABARD was established on 12 July 1982.

35. Which one of the following is not a source of direct finance?

- (a) NABARD (b) Regional Rural Bank
(c) State Bank of India (d) Allahabad Bank
(e) None of the above/More than one of the above

65th B.P.S.C. (Pre) 2019

Ans. (e)

All of the above given institutions are sources of direct finance. NABARD does not provide direct finance to individuals, but it provides direct finance to food parks, warehouses, cold chains and storages, marketing federations etc. while RRBs, SBI and Allahabad Bank provide direct finance to individuals as well as industries and other sectors.

36. Life Insurance Corporation is an example of-

- (a) Commercial bank (b) Development bank
(c) Investment bank (d) Co-operative bank

41st B.P.S.C. (Pre) 1996

Ans. (c)

Life Insurance Corporation (LIC) invests in industrial securities by mobilizing the savings of the general public. Thus, LIC is an example of investment bank. LIC collects huge amounts of money on the basis of insurance from the general public and invests them in other sectors of the economy and receives huge returns from such investments.

37. Regional Rural Banks, also known as Gramin Banks, are classified as-

- (a) In the form of land development banks
(b) In the form of branches of commercial banks
(c) from unscheduled banks
(d) Scheduled commercial banks

43rd B.P.S.C. (Pre) 1999

Ans. (d)

With a view to improve the financial condition of Regional Rural Banks (RRBs), efforts have been made in the last few years to change their working area. Provided this facility to RRBs that where earlier it was mandatory for them to lend only to priority sectors, now they can lend to these sectors only up to 40%.

38. NABARD lends to-

- (a) To the individual of agriculture
(b) The institutions of rural development
(c) Banks for agriculture and rural development
(d) State governments for agriculture

43rd B.P.S.C. (Pre) 1999

Ans. (c)

NABARD, established on 12 July 1982, is the apex institution for providing refinance for agriculture and rural development. NABARD does not provide direct finance for agriculture and rural development and provides loans to banks for agriculture and rural development established for this purpose.

39. During which Plan Period was the National Bank for Agriculture and Rural Development (NABARD) established?

- (a) Third Five Year Plan (b) Fifth Five Year Plan
(c) Sixth Five Year Plan (d) Eighth Five Year Plan

47th B.P.S.C. (Pre) 2005

Ans. (c)

NABARD (National Bank for Agriculture and Rural Development) was established during the Sixth Five Year Plan on 12 July 1982. Its headquarters is located in Mumbai. It is the apex institution for providing agricultural refinance in India. NABARD promotes sustainable and equitable agriculture

and rural development through participative financial and non-financial interventions, innovations, technology and institutional development for securing and fostering rural prosperity. It provides refinance to Scheduled Commercial Banks, Regional Rural Banks and State Land Development Banks etc. for agriculture and rural development.

40. Which of the following is not a source of industrial finance in India?

- (a) Industrial Finance Corporation of India
- (b) NABARD
- (c) State Financial Corporation
- (d) Unit Trust of India

44th B.P.S.C. (Pre) 2000

Ans. (b)

The National Bank for Agriculture and Rural Development (NABARD) was established on 12 July, 1982 as an apex bank for agriculture and rural development, which has nothing to do with industrial finance.

41. The apex bank for providing agricultural refinance in India is :

- (a) RBI
- (b) NABARD
- (c) SBI
- (d) Imperial Bank
- (e) None of the above/More than one of the above

63rd B.P.S.C. (Pre) 2017

Ans. (b)

See the explanation of the above question.

42. Land Development Bank is a part of—

- (a) Commercial Bank
- (b) IDBI
- (c) NABARD
- (d) Cooperative Credit Structure

42nd B.P.S.C. (Pre) 1997-98

Ans. (d)

Land Mortgage Bank, renamed as 'Bhoomi Vikas Bank', is a major long-term co-operative credit institution in the agriculture sector. Loans provided by land development banks are usually given for a long period of 15 to 20 years. The Land Development Bank is now called the "Agriculture and Rural Development Bank". The land development bank in Bihar has been organized as the Multi State Co-operative Land Development Bank (Bihar-Jharkhand) Limited.

43. Who among the following heads the Expert Committee for studying the advisability of granting new urban co-operative banking licenses (UCBs)?

- (a) Usha Thorat
- (b) M. Damodaran

- (c) Mr. Y. H. Malegam
- (d) Dr. A. M. Pedgaonkar
- (e) None of the above / More than one of the above

B.P.S.C. Assistant Audit Officer 2022

Ans. (c)

The Reserve Bank of India has constituted an Expert Committee under the chairmanship of Shri Y.H. Malegam for studying the advisability of granting new urban co-operative banking licenses. It would review the regulatory policy on setting up of new UCBs and lay down entry point norms for new UCBs.

44. Consider the following statements regarding insolvency and bankruptcy :

1. **Bankruptcy refers to a financial state in which an individual or entity is unable to pay off their debts as they become due.**
2. **Insolvency refers to a legal process, where the assets of the debtor are liquidated or reorganized for the benefit of creditors.**
3. **Bankruptcy is a state whereas insolvency is the conclusion.**
4. **The Insolvency and Bankruptcy Board of India (IBBI) is the regulatory body responsible for overseeing insolvency and bankruptcy proceedings.**

Which of the above statements is/are correct?

- (a) 1, 2 and 3
- (b) 2, 3 and 4
- (c) Only 4
- (d) Only 1 and 2

69th B.P.S.C. (Pre) 2023

Ans. (c)

According to The Insolvency and Bankruptcy code 2016, IBBI is the regulatory body responsible for overseeing insolvency and bankruptcy proceedings. Hence option (c) is correct.

SOCIAL DEVELOPMENT

Human Development

1. Which one of the following approaches is associated with Prof. Amartya Sen?

- (a) Basic Needs Approach
- (b) Capability Approach
- (c) Income Approach
- (d) Welfare Approach
- (e) None of the above/More than one of the above

63rd B.P.S.C. (Pre) 2017

Ans. (b)

The Capability Approach was first articulated by the Indian economist Prof. Amartya Sen in the 1980s, and remains most closely associated with him. It was conceived as an alternative approach to welfare economics. The Capability Approach is defined by its choice of focus upon the moral significance of individual's capability of achieving the kind of lives they have reason to value. Here 'poverty' is understood as deprivation in the capability to live a good life, and 'development' is understood as capability expansion. The core focus of this approach is on what individuals are able to do (i.e., capable of).

2. In which year, the Pakistani economist Dr. Mahbub ul-Haq created the Human Development Index?

- (a) 1989 (b) 1990
(c) 1991 (d) 1988

B.P.S.C. Assistant Mains (GK) Paper II 2023

Ans. (b)

The concept of human development was introduced by Pakistani economist Dr. Mahbub ul-Haq in 1990. Human Development Index (HDI) is a summary measure of average achievement in key dimension of human development : a long and healthy life, being knowledgeable and having a decent standard of living. The HDI is the geometric mean of normalized indices for each of the three dimensions.

3. The capital adequacy standard for banks regulated by the Government of India is-

- (a) 5% (b) 6%
(c) 7% (d) 8%

43rd B.P.S.C. (Pre) 1999

Ans. (d)

The Wasley Committee constituted by the Bank of International Settlement first presented the concept of capital adequacy standard in the year 1988. Capital adequacy refers to the capital that should be held by the bank up to a certain level of creation of a professional asset. For example, if the capital adequacy ratio is set at 8%, it means that for every Rs.100 of business assets, the bank must maintain Rs.8 as capital. According to the recommendations of the Wasley Committee, the capital adequacy standard was started to be implemented in all banks in India from the year 1992-93. Prior to March 31, 2000, the capital adequacy norm was 8%. It has been decided to raise the capital adequacy ratio to 9% from the year 2019 under Basel III norms. As per RBI norms, Indian scheduled commercial banks are required to maintain a CAR of 9% while Indian Public sector banks are emphasized to maintain a CAR of 12%.

4. Which one is correct in the ascending order of HDI 2019 ranking of the following countries?

- (a) Brazil, India, South Africa, China
(b) Brazil, China, South Africa, India
(c) South Africa, China, India, Brazil
(d) India, China, South Africa, Brazil
(e) None of the above / More than one of the above

66th B.P.S.C. (Pre) (Re-Exam) 2020

Ans. (b)

As per the United Nations Development Programme (UNDP)'s Human Development Report, the ascending order of Human Development Index (HDI), 2019 ranking of the given countries is as follows : Brazil (84th), China (85th), South Africa (114th), India (131st). In the BRICS grouping, Russia was ranked at 52 in HDI list for 2019. As per UNDP's HDI report 2023/24 the rank of given countries are as follows Sri Lanka (78th), China (75th), Maldives (90th), Bangladesh (129th) and India (134th).

5. Which activity influences the land-use in a region?

- (a) Economic activity (b) Social activity
(c) Geographical activity (d) More than one of the above
(e) None of the above

BPSC (Tre-3) {Class 6-8}-2024

Ans. (a)

The most significant influences to land-use decisions in a region is Economic Activity. Industries, agriculture, and services dictate how land is utilized. Urbanization leads to increased demand for residential, commercial, and industrial spaces. Economic incentives motivate the transformation of agricultural land into urban areas or industrial parks.

Employment & Welfare Schemes

1. Consider the following statements about the Production-Linked Incentive (PLI) scheme :

- The scheme offers a production-linked incentive to boost domestic manufacturing and attract large investments in mobile phone manufacturing and specified electronic components.**
- The scheme has two categories of applicants, namely, global companies and domestic companies.**
- The scheme shall extend an average incentive of around 8% on net incremental sales (over base year) of goods manufactured in India and covered under the target segment, to eligible companies, for a period of six years.**

4. The target segment under PLI shall include (i) laptops, (ii) tablets, (iii) all-in-one PCs, (iv) servers and (v) Ultra-Small Form Factor (USFF).

Which of the above statements are incorrect?

- (a) 1 and 4 (b) 2 and 4
(c) 1 and 3 (d) 2 and 3

69th B.P.S.C. (Pre) 2023

Ans. (d)

The Production Linked Incentive (PLI) Scheme does not categorise the applicants into global and domestic categories, so statement 2 is false, statement 3 is also false as average incentive of 8% is not true and also the period of six years for eligibility of companies is wrong. So statement 2 & 3 are incorrect.

2. Pradhan Mantri Kaushal Vikas Yojana belongs to the

- (a) Ministry of Rural Development
(b) Ministry of Panchayati Raj
(c) Ministry of Social Justice and Empowerment
(d) Ministry of Skill Development and Entrepreneurship
(e) None of the above / More than one of the above

B.P.S.C. Assistant Audit Officer 2022

Ans. (d)

Pradhan Mantri Kaushal Vikas Yojana (PMKVY) was launched in 2015 by Ministry of Skill Development and Entrepreneurship to encourage and promote skill development in the country by providing free short duration skill training and incentivizing this by providing monetary rewards to youth for skill certification.

3. Mission Vatsalya comes under the

- (a) Ministry of Women and Child Development
(b) Ministry of Education
(c) Ministry of Law and Justice
(d) Ministry of Panchayati Raj
(e) None of the above / More than one of the above

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Ans. (a)

In 2006, the Ministry of Women and Child Development (MWCD) proposed the adoption of the Mission Vatsalya Integrated Child Protection Scheme (ICPS). In 2009, the Central Government gave its approval to this scheme. The plan aims to provide children in difficult situations, as well as to reduce the risks and vulnerabilities in children in various situations and actions that lead children to abuse, neglect, exploitation, abandonment and isolation.

4. Which of the following is incorrect regarding the Pradhan Mantri Krishi Sinchai Yojana?

- (a) Repair and renovate water bodies
(b) Construction of well
(c) Enhancement of recharging of aquifers
(d) Construction of structures rain harvesting
(e) None of the above/More than one of the above

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Ans. (e)

All the given works have been included in Pradhan Mantri Krishi Sinchai Yojana. Therefore, the correct answer to this question will be none of the above.

5. Deen Dayal Upadhyaya Grameen Kaushalya Yojana (DDU-GKY) was launched by the GOI under the Ministry of

- (a) Rural Development
(b) Human Resource Development
(c) Skill Development and Entrepreneurship
(d) Labour and Employment
(e) None of the above / More than one of the above

B.P.S.C. Project Manager Prelims 2021

Ans. (a)

Deen Dayal Upadhyaya Grameen Kaushalya Yojana (DDU-GKY) is a placement linked skilling program of the Ministry of Rural Development under the aegis of National Rural Livelihood Mission (NRLM). This program caters to the rural poor youth. It was launched on 25 September, 2014.

6. Which State Cabinet recently approved 'Mission Shakti Scooter Yojana'?

- (a) Gujarat (b) Bihar
(c) Odisha (d) More than one of the above
(e) None of the above

B.P.S.C. School Teacher (Class 6-8) 10-12-2023

Ans. (c)

Odisha Cabinet approved Mission Shakti Scooter Yojana to provide mobility support to SHC federations. The "Mission Shakti Scooter Yojana" aims at providing mobility support to Community Support Staff (CSS) and Executive Committee (EC) members of SHG federations by facilitating their access to scooters.

7. Choose the correct statement related to the National Pension Scheme (NPS).

- (a) NPS is regulated by the Pension Fund Regulatory and Development Authority.

- (b) NPS is a retirement benefit scheme introduced by the Government of India to facilitate a regular income to all the citizens of India.
- (c) NPS is regulated by the IRDA.
- (d) NPS is regulated by the SEBI.
- (e) None of the above/More than one of the above

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Ans. (e)

National pension scheme is mandatory only for Central Government Employees. It is not mandatory for state government and other employees. It is regulated by Pension Fund Regulatory and Development Authority. This is a voluntary scheme for all citizens between 18 years to 70 years age.

8. During which time-period the second phase of the Swachh Bharat Mission (Gramin) is to be implemented?

- (a) 2020-21 to 2022-23 (b) 2020-21 to 2023-24
- (c) 2020-21 to 2024-25 (d) 2020-21 to 2025-26
- (e) None of the above / more than one of the above

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Ans. (c)

The second phase of the Swachh Bharat Mission (Gramin) was announced by Prime Minister Narendra Modi in February, 2020 with a time period of 2020-21 to 2024-25. Its first phase was started in the year 2014, whose time period was 2014-19.

9. Which one is not the true statement about the PM Cares Fund?

- (a) Any person appointed a trustee shall act in a pro bono capacity
- (b) The fund consists entirely of voluntary contributions from individuals/organizations
- (c) The primary objective of this is dealing with any kind of emergency or distress situation and to provide relief to the affected
- (d) It does not get any budgetary support
- (e) None of the above/More than one of the above

66th B.P.S.C. (Pre) (Re-Exam) 2020

Ans. (e)

Keeping in mind the need for having a dedicated fund with the primary objective of dealing with any kind of emergency or distress situation, like posed by the COVID-19 pandemic, and to provide relief to the affected, a public charitable trust under the name of 'Prime Minister's Citizen Assistance and Relief in Emergency Situations Fund' (PM CARES Fund) has been set up in March, 2020. This fund consists entirely of voluntary contributions from individuals/organizations and

does not get any budgetary support. Prime Minister is the ex-officio Chairman of this fund and Minister of Defence, Minister of Home Affairs and Minister of Finance are ex-officio trustees of the fund. The Chairman (PM) can nominate three eminent persons as trustees and any person appointed a trustee shall act in a pro bono capacity. Hence, all of the given statements are correct.

10. Which scheme was recognized as world's largest insurance scheme launched in India in September, 2018?

- (a) Pradhan Mantri Jan Aarogya Yojana
- (b) Pradhan Mantri Jan Swasthya Yojana
- (c) Pradhan Mantri Fasal Bima Yojana
- (d) Pradhan Mantri Jana Dhan Yojana
- (e) None of the above/More than one of the above

64th B.P.S.C. (Pre) 2018

Ans. (a)

Prime Minister Narendra Modi launched 'Pradhan Mantri Jan Aarogya Yojana' (PM-JAY) under flagship scheme 'Ayushman Bharat' on 23 September, 2018 in Ranchi (Jharkhand). Ayushman Bharat PM-JAY is the largest health assurance scheme in the world which aims at providing a health cover of Rs. 5 lakh per family per year for secondary and tertiary care hospitalization to over 10.74 crores poor and vulnerable families (approximately 50 crore beneficiaries) that form the bottom 40% of the Indian population.

11. Pradhan Mantri Mudra Yojana provides Mudra Loan for which activities?

- (a) Agricultural activities
- (b) Non-agricultural activities
- (c) Both agricultural and non- agricultural activities
- (d) Educational activities
- (e) None of the above / More than one of the above

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Ans. (b)

Pradhan Mantri Mudra Yojana provides Mudra Loan for non-agricultural Activities. It facilitate micro credit/loan up to 10 lakhs. These activities include manufacturing, processing, trading and service sector etc. PM Mudra Yojna was launched by Prime Minister on 8 April 2015.

12. Which one is not true about AYUSHMAN SAHAKAR Scheme?

- (a) The Finance Ministry of India launched this scheme
- (b) It is a scheme to assist cooperative in the creation of health infrastructure

- (c) It specifically covers establishment, modernization, expansion, repairs, renovation of hospital and healthcare and education infrastructure
- (d) It is formulated by the National Cooperative Development Corporation (NCDC)
- (e) None of the above / More than one of the above

66th B.P.S.C. (Pre) (Re-Exam) 2020

Ans. (a)

The Ministry of Agriculture and Farmers Welfare launched 'AYUSHMAN SAHAKAR' Scheme on 19 October, 2020. It is a unique scheme to assist cooperatives which play an important role in creation of health infrastructure in the country. It is formulated by the National Cooperative Development Corporation (NCDC), the apex autonomous development finance institution, under the Ministry of Agriculture and Farmers Welfare. This scheme specifically covers establishment, modernization, expansion, repairs, renovation of hospital and healthcare and educational infrastructure. It would revolutionize the way healthcare delivery takes place in rural areas.

13. Y-shaped energy flow model in ecosystem was proposed by

- (a) Odum
- (b) Lindeman
- (c) Clements
- (d) More than one of the above
- (e) None of the above

B.P.S.C. PRT 2023 Shift II

Ans. (a)

The y-shaped energy flow model in ecosystem was given by H.T. Odum which applied to both terrestrial and aquatic ecosystems. In energy flow diagram, one arm represents the grazing food chain and another represents detritus food chain. The important point in this model is that both the chains are not separated from each other.

14. On which principle, the Government of India introduced the 'Vande Mataram Scheme' in February 2004?

- (a) Government ownership
- (b) Private ownership
- (c) Public-private partnership
- (d) Centre-State ownership
- (e) None of the above / More than one of the above

B.P.S.C. Project Manager Prelims 2021

Ans. (c)

Vande Mataram "a programme dedicated" to mothers was launched in February 2004 with the objective to improve the access of safe motherhood services and to reduce the maternal and neonatal deaths significantly. To fulfill these objectives, Obstetricians and Gynecologists of public and private facilities and NGOs were included. Hence it was a scheme based on public private partnership.

15. SHREYAS was launched in February 2019 by the Ministry of

- (a) Skill Development and Entrepreneurship
- (b) Industry and Commerce
- (c) Human Resource Development
- (d) Science and Technology
- (e) None of the above / More than one of the above

B.P.S.C. Project Manager Prelims 2021

Ans. (c)

The Ministry for Human Resource Development launched Scheme for Higher education youth in Apprenticeship and skills (SHREYAS) for providing industry apprenticeship opportunities to the general graduates existing in April, 2019.

16. National Solar Mission was launched in the name of which Prime Minister?

- (a) Jawaharlal Nehru
- (b) Rajiv Gandhi
- (c) Atal Bihari Vajpayee
- (d) Narendra Modi
- (e) None of the above / More than one of the above

B.P.S.C. Project Manager Prelims 2021

Ans. (a)

The Jawaharlal Nehru National Solar Mission or the National Solar Mission, is an initiative of the Government of India and State Governments to promote solar power in India. It was inaugurated in January 2010.

17. Prime Minister Saubhagya Sahaj Bijli Har Ghar Yojana was launched in

- (a) 2015
- (b) 2016
- (c) 2017
- (d) 2014
- (e) None of the above / More than one of the above

B.P.S.C. Project Manager Prelims 2021

Ans. (c)

The Prime Minister, Shri Narendra Modi launched the Pradhan Mantri Sahaj Bijli Har Ghar Yojana-Saubhagya, at Deendayal Urja Bhawan, in New Delhi on September 25, 2017.

18. The maximum amount of concessional credit for margin money under the Weavers Mudra Scheme is

- (a) 10000 (b) 15000
(c) 20000 (d) 25000
(e) None of the above / More than one of the above

B.P.S.C. Project Manager Prelims 2021

Ans. (a)

Under the Concessional Credit/Weaver MUDRA Scheme, Margin Money assistance at 20% of loan amount subject to a maximum of Rs. 10,000/- per weaver, loan at 6% interest rate and Credit Guarantee for a period of 3 years is provided to handloom weavers entrepreneurs across the country.

19. The special industry initiative of 'Udaan' funded by NSDC has been launched specially for

- (a) Assam and Meghalaya
(b) Manipur and Tripura
(c) Jammu and Kashmir
(d) Tripura and Mizoram
(e) None of the above / More than one of the above

B.P.S.C. Project Manager Prelims 2021

Ans. (c)

The Udaan Scheme, a Special Industry Initiative (SII) for State of Jammu and Kashmir (J&K), is funded by the Ministry of Home Affairs and implemented by National Skill Development Corporation (NSDC), based on the recommendation of the Rangarajan Committee.

20. Consider the following statements regarding the SVAMITVA scheme :

1. It is a Central Sector Scheme under the Ministry of Mines.
2. This scheme seeks to create geopositioning infrastructure like CORS network to benchmark the location and provides five centimetre level accuracy.
3. CORS means Cross-Origin Resource Sharing.
4. The scheme is a reformative step towards establishment of clear ownership of property in rural inhabited (Abadi) areas, by mapping of land parcels using drone technology.

Which of the above statements are incorrect?

- (a) 2 and 4 (b) 1 and 3
(c) 2 and 3 (d) 1 and 4

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Ans. (b)

SVAMITVA Scheme, a Central Sector Scheme of Ministry of Panchayati Raj was nation-wide launched by the Hon'ble Prime Minister Narendra Modi on April 24, 2020. These scheme to promote socio-economic empowerment and more self-reliant rural India. This scheme seek to create geopositioning infra-structure like CORS network to benchmark the location and provides five centimetre level accuracy. This scheme is a reformative step towards establishment of clear ownership of property in rural inhabited area, by mapping of land parcels using drone technology.

21. Which State Government has rolled out 'Rupashree Scheme' for marriage of poor girls?

- (a) Tamil Nadu (b) Odisha
(c) West Bengal (d) Assam
(e) None of the above/More than one of the above

63rd B.P.S.C. (Pre) 2017

Ans. (c)

'Rupashree Prakalpa' scheme is a initiative of West Bengal State Government that provides a one-time financial grant of Rs. 25,000 for economically stressed families at the time of their adult daughters' marriages. This scheme is in effect from 1 April, 2018.

22. The nation-wide breast-feeding programme 'MAA' has been launched by which Union Ministry?

- (a) Ministry of Tribal Affairs
(b) Ministry of Health and Family Welfare
(c) Ministry of Women and Child Development
(d) Ministry of AYUSH
(e) None of the above/More than one of the above

60th to 62nd B.P.S.C. (Pre) 2016

Ans. (b)

'MAA' (Mother's Absolute Affection) is a nationwide programme of the Ministry of Health and Family Welfare in an attempt to bring undiluted focus on promotion of breastfeeding and provision of counseling services for supporting breastfeeding through health systems. The goal of the 'MAA' programme is to revitalise efforts towards promotion, protection and support of breastfeeding practices through health systems to achieve higher breastfeeding rates.

23. Choose the correct statement regarding the Vibrant Village Programme.

- (a) It is for the development of roads connectivity in Bihar.

- (b) It is for the Maharashtra State of India.
- (c) It was started in the year 2017.
- (d) It is for the development of border villages on the northern border.
- (e) None of the above/More than one of the above

67th B.P.S.C. (Re-Exam) (Pre) 2021

Ans. (d)

According to the budget speech, 2022-23, the Northern Border Villages are those places where the population is very sparse (very less), they have very limited connectivity and basic amenities and have been left out of the benefits of development, will be brought under this new 'Vibrant Village Programme'. The activities here include provision of village infrastructure, housing, construction of tourism centers, road connectivity, decentralized renewable energy, provision of direct to home access for Doordarshan and educational channels and assistance for livelihood generation. Additional funds will be made available for these activities. The existing schemes will be merged into one.

24. In June 2018, how much amounts the World Bank has approved for 'Atal Bhujal Yojna', an ambitious scheme of India?

- (a) Rs. 5,000 crore (b) Rs. 6,000 crore
- (c) Rs. 7,000 crore (d) Rs. 8,000 crore
- (e) None of the above/More than one of the above

64th B.P.S.C. (Pre) 2018

Ans. (b)

In June, 2018, the World Bank approved Rs. 6000 Crore for 'Atal Bhujal Yojna'. It is a central sector scheme under Ministry of Jal Shakti. The scheme is to be implemented over a period of five years from 2018-19 to 2022-23, with World Bank assistance. Of the Rs. 6,000 crore, Rs. 3,000 crore (450 million US \$) will be contributed by the World Bank as loan while the other half will be provided by the Central Government in the form of Central assistance. This scheme was formally launched by the Prime Minister Narendra Modi on 25 December, 2019.

Note : Under revised estimate 2023-24 allocation for Atal Bhujal Scheme was ₹ 1778 Crore and as per budget estimate 2024-25 ₹ 1778 crore has been allocated for the same.

25. Which of the following is not a component of 'Bharat Nirman'?

- (a) Agro-based industries (b) Rural electrification

- (c) Rural housing (d) Rural telephony

56th to 59th B.P.S.C. (Pre) 2015

Ans. (a)

'Bharat Nirman' programme was launched by the Union Government in December, 2005. The main objective of the scheme was to develop rural infrastructure. The six components included under the programme were irrigation, drinking water, electrification, roads, housing and rural telephony.

The items included in its rural irrigation development component were Accelerated Irrigation Benefit Restoration Programme (AIBP), interlinking of river projects, repair, and renovation of water bodies (ERM) etc.

Hence, Agro-based industries are not a component of 'Bharat Nirman'.

26. Consider the following Schemes :

- I. EAS II. TRYSEM**
- III. JRY IV. RLEGP**

The correct chronological sequence of the launching of these schemes is :

- (a) II-IV-I-III (b) IV-II-III-I
- (c) IV-III-I-II (d) II-IV-III-I

56th to 59th B.P.S.C. (Pre) 2015

Ans. (d)

'Training of Rural Youth for Self Employment' (TRYSEM) scheme was started in August, 1979 with an aim of providing training to rural youth of 18 to 35 age group for self employment.

Rural Landless Employment Guarantee Programme (RLEGP) scheme was started on 15 August, 1983 for providing employment opportunities to the rural landless people.

Jawahar Rojgar Yojana (JRY) was started in April, 1989 with the integration of National Rural Employment Programme (NREP) and Rural Landless Employment Guarantee Programme (RLEGP) (JRY = NREP + RLEGP).

Employment Assurance Scheme (EAS) was started on 2nd October, 1993 with an aim of providing employment to rural adults affected by seasonal unemployment.

27. TRYSEM (Training Scheme for Rural Youth for Self-Employment) is a programme of

- (a) rural development (b) industrial development
- (c) urban development (d) defence preparations
- (e) None of the above / More than one of the above

B.P.S.C. Auditor 2021

Ans. (a)

The TRYSEM (Training Rural Youth for Self Employment) program was launched in India in 1979. It was a part of the Government's efforts to address rural unemployment and promote self-employment opportunities among the youth in rural areas.

28. Match Column B With Column A and select the correct answer using the code given below.

Column A	Column - B
(A) Open-General License	(1) Employment
(B) TRYSEM	(2) Foreign trade
(C) Wholesale Price Index	(3) Credit control
(D) Cash-Reserve Ratio	(4) Inflation

- A B C D
- (a) 2 1 4 3
- (b) 2 4 3 1
- (c) 4 3 2 1
- (d) 3 2 1 4

56th to 59th B.P.S.C. (Pre) 2015

Ans. (a)

The matching of column-A and column-B is as follows-

Column A	Column - B
Open-General License	Foreign trade
TRYSEM	Employment
Wholesale Price Index	Inflation
Cash-Reserve Ratio	Credit control

29. Which one of the following is the objective of MGNREGA?

- (a) To build assets
- (b) To encourage micro irrigation
- (c) Water management
- (d) To enhance rural income
- (e) None of the above/More than one of the above

64th B.P.S.C. (Pre) 2018

Ans. (e)

The Mahatma Gandhi National Rural Employment Guarantee Act (MGNREGA) aims at enhancing the livelihood security of people in rural areas by guaranteeing hundred days of wage-employment in a financial year to a rural household whose adult members volunteer to do unskilled manual work. MGNREGA also aims to create durable assets (such as roads, canals, ponds, wells etc.) in rural areas and to encourage micro-irrigation and water management. MGNREGA is different from other employment programmes because it provides legal right to employment.

30. How much amount has been allocated towards MGNREGA in Bihar as per the Budget Estimates 2023-24?

- (a) ₹ 6,397 crore
- (b) ₹ 3,852 crore
- (c) ₹ 3,691 crore
- (d) ₹ 3,610 crore

B.P.S.C. Assistant Mains (GK) Paper II 2023

Ans. (b)

For the Mahatma Gandhi National Rural Employment Guarantee Scheme against the target of 25 crore person days in FY 2022-23, a total of 19.68 crore person days have been generated as on 16 January 2023. Amount of ₹ 3852 Crore has been allocated towards MGNREGA in Bihar as per the Budget estimates 2023-2024. Under Union Budget 2024-25 ₹ 86000 crore has been allocated for MGNREGA.

31. The Government of India launched Community Development Schemes on 2nd October-

- (a) 1950
- (b) 1951
- (c) 1952
- (d) 1953

43rd B.P.S.C. (Pre) 1999

Ans. (c)

The Community Development Program (CDP) was started in India on 2nd October, 1952 with the objective of raising the standard of living of the entire rural community through full utilization of the physical resources of the area by the active participation of the community. India was the first country in the world to start a community development plan.

32. What is the objective of Community Development Programmes?

- (a) Providing educational facilities
- (b) Improving standards of living
- (c) Political training
- (d) Helping villages in planning
- (e) None of the above/More than one of the above

65th B.P.S.C. (Pre) 2019

Ans. (e)

The Community Development Programme was started in India on 2 October, 1952. It was a multi-purpose programme with the aim of an overall development of rural people. This programme consisted of improving agriculture, animal husbandry, irrigation, cooperation, public wealth, education, communication, village industries, health and living conditions in the rural areas. Thus, option (e) is the most appropriate answer.

33. Antyodaya Programme was started first of all in the State of :

- (a) Bihar (b) Tamil Nadu
(c) Andhra Pradesh (d) Rajasthan
(e) None of the above/More than one of the above

65th B.P.S.C. (Pre) 2019

Ans. (d)

Antyodaya Programme was started first of all in the State of Rajasthan. 'Antyodaya' means development (udaya) of the people at the bottom level, that is, the poorest of the poor. This programme was initiated by the State Government of Rajasthan in 1977-78 for special assistance to the people below the poverty line.

34. National Extension Service was started in-

- (a) 1953 (b) 1957
(c) 1960 (d) 1972
(e) None of the above/More than one of the above

67th B.P.S.C. (Pre) 2021

Ans. (a)

The 'National Extension Service' was formulated in April, 1953 and it was inaugurated on 2nd October, 1953.

35. In Pradhan Mantri Shram Yogi Maandhan Scheme, each subscriber shall receive the minimum assured pension of per month after attaining the age of 60 years.

- (a) Rs. 3,500 (b) Rs. 2,000
(c) Rs. 3,000 (d) Rs. 1,500
(e) None of the above/More than one of the above

65th B.P.S.C. (Pre) 2019

Ans. (c)

Government of India has introduced a pension scheme in the year 2019 for unorganized sector workers namely '**Pradhan Mantri Shram Yogi Maandhan**' (PM-SYM) to ensure old age protection for them. It is a voluntary and contributory pension scheme, under which each subscriber shall receive minimum assured pension of Rs. 3000 per month after attaining the age of 60 years.

The unorganized sector workers, with monthly income of less than Rs. 15000 and who belong to the entry age group of 18-40 years, are eligible for this scheme.

36. Women's Day is celebrated on :

- (a) 8 March (b) 14 February
(c) 10 May (d) 2 October

42nd B.P.S.C. (Pre) 1997

Ans. (a)

International Women's Day is celebrated every year on March 8.

37. When is Samajik Adhikarita Smriti Divas celebrated?

- (a) March 8 (b) March 19
(c) March 20 (d) March 21

45th B.P.S.C. (Pre) 2001

Ans. (c)

Samajik Adhikarita Smriti Divas is celebrated on March 20 every year.

38. World Consumer Rights Day is celebrated on :

- (a) March 13 (b) March 14
(c) March 15 (d) March 16

45th B.P.S.C. (Pre) 2001

Ans. (c)

World Consumer Rights Day is celebrated on March 15 every year. Theme of this year (2024) is 'Fair and Responsible AI for Consumers.'

39. For what purpose the social security scheme has been started for the workers of the unorganized sector?

- (a) Old age pension
(b) Health insurance
(c) Personal accident insurance
(d) all of the above

46th B.P.S.C. (Pre) 2004

Ans. (d)

The Central Government started the 'Social Security Scheme' on January 23, 2004 to provide facilities like family pension, insurance and medical care for the unorganized sector workers.

40. Which one is not a part of Pradhan Mantri Gramodaya Yojana (PMGY)?

- (a) primary education
(b) primary health
(c) nutrition
(d) rural road

46th B.P.S.C. (Pre) 2004

Ans. (c)

The components of Pradhan Mantri Gramodaya Yojana (PMGY) started from the financial year 2000-01 are as follows-

- (i) health (ii) education (iii) drinking water
(iv) housing (v) roads and
(vi) rural electrification. In its inception, the PMGY had only the first five components mentioned above. The sixth component rural electrification was added to the PMGY in 2001-02.

- (a) Both A and R are correct and R is the correct explanation of A.
- (b) Both A and R are correct and is not the correct explanation of A.
- (c) A is correct but R is false.
- (d) R is correct but A is false.

- 42. The main purpose of I.R.D.P is-**
- (a) export promotion
 - (b) efficient fiscal management
 - (c) banking reforms
 - (d) rural development and poverty alleviation

- (a) A.P.J. Abdul Kalam (b) Manmohan Singh
(c) Lal Krishna Advani (d) Rajiv Gandhi

According to the report of World Bank, in the question period more than 50 percent of poor people were living in these four States of the country: Bihar, Uttar Pradesh, Madhya Pradesh and Odisha. As per the estimates of 2011-12 (Tendulkar methodology), the five States with the highest poor population in descending order are as follows : 1. Uttar Pradesh (598.19 lakh), 2. Bihar (358.15 lakh), 3. Madhya Pradesh (234.06 lakh), 4. Maharashtra (197.92 lakh), and 5. West Bengal (184.98 lakh).

3. Relative poverty means-

- (a) Bankruptcy
- (b) Trade cycles
- (c) Minimum necessities of life
- (d) Economic inequalities

45th B.P.S.C. (Pre) 2001-02

Ans. (d)

Relative poverty clarifies how much disparity exists between different income groups. Mainly two methods are used for the measurement of relative poverty-

- (i) Lorenz curve method and
- (ii) Gini coefficient

4. Inequality of income is measured by

- (a) Engel ratio
- (b) Giffen ratio
- (c) Gini-Lorenz ratio
- (d) Gossen ratio
- (e) None of the above / More than one of the above

B.P.S.C. CDPO 2022

Ans. (c)

The distribution of Income in an economy is represented by the Lorenz Curve and the degree of income inequality is measured through the Gini Coefficient. One of the five major and common macroeconomic goals of a government is the equitable (fair) distribution of income. The Gini Coefficient, which is derived from the Lorenz Curve, can be used as an indicator of economic development in a country. Gini coefficient is a typical measure of income inequality. The coefficient varies between 0 and 1, with 0 representing perfect equality and 1 perfect inequality.

5. For Bihar, in 1993-94, the Planning Commission estimated that percentage of below poverty line (BPL) was :

- (a) 55
- (b) 65
- (c) 45
- (d) 35

53rd to 55th B.P.S.C. (Pre) 2011

Ans. (a)

Percentage of population below the poverty line (poverty ratio) in the given States are as follows :

State	Poverty Ratio (%)	
	1993-94	2011-12
Punjab	11.77%	8.26%
Bihar	54.96%	33.74%
Uttar Pradesh	40.85%	29.43%
Rajasthan	27.41%	14.71%

Hence, option (a) was corrected answer.

6. Who among the following has given the idea of Self-Help Groups as an effective tool for poverty alleviation?

- (a) Amartya Sen
- (b) Md. Yunus
- (c) S. Chakravarti
- (d) Venkaiah Naidu
- (e) None of the above/More than one of the above

64th B.P.S.C. (Pre) 2018

Ans. (b)

Md. Yunus is a Bangladeshi social entrepreneur, banker, economist, and civil society leader who was awarded the Nobel Peace Prize (2006) for founding the '**Grameen Bank**' and pioneering the concepts of micro credit and microfinance. He has given the idea of **Self-Help Groups** (SHGs) and microfinance as an effective tool for poverty alleviation. Md. Yunus changed the lives of millions of Bangladeshis by creating the concept of micro loans. To ensure repayment, the Grameen Bank started a system of SHGs called '**solidarity groups**'. These small informal groups apply together for loans and its members act as co-guarantors of repayment and support one another's effort at economic self-advancement.

C. EXTERNAL SECTOR

International Trade

1. The Government of India announced a new scheme 'NIRVIK' in the Budget for 2020-21. Which of the following sectors of economy will take the benefit from this scheme?

- (a) Agricultural sector
- (b) Industrial sector
- (c) Health sector
- (d) Export sector
- (e) None of the above / More than one of the above

66th B.P.S.C. (Pre) 2020

Ans. (d)

In the Union Budget 2020-21, the Finance Minister Nirmala Sitharaman announced 'NIRVIK' (Niryat Rin Vikas Yojna, Scheme to provide enhanced insurance cover and reduce premium for small exporters. This scheme is aimed to achieve higher export credit disbursement with simplified procedures for claim settlements.

2. Which of the following countries is India's top trading partner in 2019-20?

- (a) USA (b) China
(c) UAE (d) Saudi Arabia
(e) None of the above/More than one of the above

66th B.P.S.C. (Pre) 2020

Ans. (a)

As per the data available on the website of Ministry of Commerce, India's top trading partner in 2019-20 was USA, while China and UAE were in 2nd and 3rd place, respectively. As per Ministry of Commerce, India's top 5 trading partner in 2023-24 (April-May) are—China > USA > UAE > Russia > Saudi Arabia.

3. In which of the following years was the trade balance favourable to India :

- (a) 1970-71 and 1974-75
(b) 1972-73 and 1976-77
(c) 1972-73 and 1975-76
(d) 1971-72 and 1976-77

56th to 59th B.P.S.C. (Pre) 2015

Ans. (b)

India had a favourable (positive) balance of trade only in 1972-73 (Rs. 104 crore) and 1976-77 (Rs. 68 crore). As per the Economic Survey 2021-22, India's trade balance remained negative for the entire period from 1949-50 to 2019-20 except two years 1972-73 and 1976-77, when it was positive. India's total exports are US \$ 69,759.92 million and total imports are US \$ 107,180.45 million for the year 2023-24 (April-May).

4. The trade balance of India (merchandise and services) for December 2022 (provisional) is

- (a) (-) 11.98 USD billion
(b) (-) 10.50 USD billion
(c) (+) 11.98 USD billion
(d) More than one of the above
(e) None of the above

68th B.P.S.C. (Pre) 2022

Ans. (a)

Trade export of India (merchandise and services) for December 2022 was 61.82 USD billion while trade import of India (merchandise and services) for same period was 73.80 USD billion. Hence trade balance of India (merchandise and services) comes out to be (-) 11.98 USD billion for the period.

5. India's largest trading partner at present is-

- (a) Russia (b) Britain
(c) Australia (d) U.S.A.

Ans. (d) 45th B.P.S.C. (Pre) 2001-02

According to the Economic Survey, 2021-22 also, option (d) is the correct answer in the given countries. As per Ministry of Commerce India's largest trading partner in the year 2023-24 (April 2023-February 2024) is as follows—

India top 15 trade partners for 2023-24 (Apr 2023-Feb 2024 (Value in US\$ million)

Rank	Country/Region	Export	Import
1	China	15,102.42	93,997.58
2	USA	70,000.96	37,637.14
3	United Arab Emirates	31,618.56	43,129.60
4	Russia	3,820.24	55,591.65
5	Saudi Arabia	10,365.97	29,127.47
6	Singapore	12,822.40	19,614.52
7	Iraq	3,007.01	26,664.61
8	Indonesia	5,576.05	21,478.16
9	Hong Kong	7,743.86	18,479.46
10	Republic of Korea	5,899.10	19,471.66
11	Netherland	20,258.00	4,588.86
12	Germany	8,856.10	14,944.24
13	Australia	7,470.84	14,948.38
14	Switzerland	1,236.59	20,460.29
15	Japan	4,684.08	15,984.85

At present the top trading partners of India in terms of combined share (in percentage) of imports and exports in the year 2023-24 are the China and USA (As per GTRI) respectively.

6. India's share in meat and meat preparation exports in the year 2017 was :

- (a) 5% (b) 6%
(c) 2% (d) 3%
(e) None of the above/More than one of the above

65th B.P.S.C. (Pre) 2019

Ans. (d)

The share of India in the export of meat and meat preparations was 3.0 percent in the year 2017. According to the Economic Survey 2022-23, India's share of meat and meat preparations exports is 2.0 percent in the year 2020.

7. India earns maximum foreign exchange by the export of :

- (a) Iron
- (b) Tea
- (c) Textile
- (d) Rubber

56th to 59th B.P.S.C. (Pre) 2015

Ans. (c)

Among the given options, India earns maximum foreign exchange by the export of textiles. As per the data of Ministry of Commerce and Industry, India earns maximum foreign exchange by the export of Textile in the year 2021-22. During financial year 2023-24 India earns maximum foreign exchange by the export of petroleum products.

8. Globalization does not include :

- (a) reduction in import duties
- (b) abolition of import licensing
- (c) free flow of FDI
- (d) disinvestment of Public Sector Equity
- (e) None of the above/More than one of the above

63rd B.P.S.C. (Pre) 2017

Ans. (d)

Globalization of economy include reduction in import duties, abolition of import licensing and free flow of FDI while it does not include disinvestment of Public Sector Equity which is a major step towards privatization and liberalization of the economy.

9. Which group was permitted at Nandigram area under the SEZ policy :

- (a) Tata group
- (b) Birla group
- (c) Salim group
- (d) Wipro group

48th to 52nd B.P.S.C. (Pre) 2008

Ans. (c)

Nandigram is a rural area in Purba Medinipur district of West Bengal. In 2007 the West Bengal Government decided to allow Salim Group to set up a chemical hub at Nandigram under the SEZ policy, which was heavily protested by the villagers.

10. What is the full form of EPCG?

- (a) Export Promotion Consumer Goods
- (b) Exchange Programme for Consumer Goods

- (c) Export Promotion Capital Goods
- (d) Expert Programme for Credit Generation
- (e) None of the above/More than one of the above

65th B.P.S.C. (Pre) 2019

Ans. (c)

The full form of EPCG is 'Export Promotion Capital Goods'. EPCG scheme helps in facilitating the import of capital goods for manufacturing quality goods and to augment the competitiveness of India's export. This scheme enables the import of capital goods that are used in the pre-production, production, and post-production without the payment of customs duty. However, the scheme is subject to an export value equivalent to 6 times of duty saved on the importation of such capital goods within 6 years from the date of issuance of the authorization.

Note : EPCG was first operationalized on 1 April 2015.

11. Which of the following exchange rate systems is followed in India?

- (a) Fixed exchange rate with gold standard
- (b) Fixed but adjustable exchange rate
- (c) Managed/Dirt float
- (d) Free float
- (e) None of the above/More than one of the above

B.P.S.C. CDPO 2018

Ans. (c)

Managed Floating Exchange rate, also known as Dirt float exchange rate system is followed in India. These exchange rate lies between of the two extremes of fixed and floating exchange rate. Under such a system, the exchange is allowed to move freely and determined by the force of the market (Demand and supply). But when a difficult situation arises, the central bank of the country can intervene to stabilise the exchange rate.

12. How many Export Processing Zones are there in India?

- (a) 5
- (b) 6
- (c) 7
- (d) 8

40th B.P.S.C. (Pre) 1995

Ans. (c)

Till the year 1995, there were altogether 7 export processing zones in India namely Kandla, Mumbai, Noida, Falta, Cochin, Chennai and Visakhapatnam. Later in the year 1997, Export Processing Zone was also established in Surat. At present all the 8 EPZs have been converted as Special Economic Zones (SEZ).

13. The 'Special Economic Zones' were modelled on the lines of highly successful _____ experiment.

- (a) Chinese (b) Russian
(c) American (d) German
(e) None of the above / More than one of the above

B.P.S.C. CDPO 2022

Ans. (a)

India's SEZs were structured closely with China's successful model. Significantly, Special Economic Zone (SEZ) is an area in a country that is designed to generate positive economic growth.

14. Which of the following are the objectives of the SEZ Act, 2005?

1. Generation of additional economic activity
2. Promotion of exports of goods and services
3. Creation of employment

- (a) 1 and 3 only (b) 1, 2 and 3
(c) 2 and 3 only (d) More than one of the above
(e) None of the above

68th B.P.S.C. (Pre) 2022

Ans. (b)

The Special Economic Zones Act, 2005 was passed by the parliament in May, 2005, which received presidential assent on the 23rd June, 2005. The main objectives of the SEZ scheme is generation of additional economic activity, promotion of exports of goods and services, promotion of investment from domestic and foreign sources, creation of employment opportunities along with the development of infrastructure facilities.

Foreign Exchange, FDI &

External Debt

1. Convertibility of rupee implies :

- (a) being able to convert rupee notes into gold
(b) allowing the value of rupee to be fixed by market forces
(c) freely permitting the conversion of rupee to other currencies and vice-versa
(d) developing an international market for currencies in India

56th to 59th B.P.S.C. (Pre) 2015

Ans. (c)

Convertibility of currency means when currency of a country can be freely converted into foreign exchange (international currencies) and vice-versa at market determined rate of exchange that is, exchange rate as determined by demand for and supply of a currency.

As a part of new economic reforms initiated in 1991, India made rupee partially convertible on current account from March, 1992 under the '**Liberalized Exchange Rate Management Scheme**' (LERMS) involving dual exchange rates (60% by market-determined exchange rate and 40% by RBI at fixed exchange rate). From March, 1993, rupee was made convertible for all trade in merchandise. In March, 1994, even invisibles and remittances from abroad were allowed to be freely convertible. In August, 1994, India accepted IMF Article VIII and thus the rupee officially became convertible on the current account.

After that, India has come a long way in liberating the capital account transactions also in the last three decades and currently has partial capital account convertibility.

Full convertibility of Indian rupee (on both current and capital accounts) is being advocated because that will allow free mobility of capital in the country from the foreign investors and will attract more foreign capital inflow. It will also enable the domestic companies to raise more funds from abroad. Hence, full convertibility of rupee would facilitate growth and higher foreign investment.

2. Which of the following States of India received the highest Foreign Direct Investment (FDI) equity flow during April to September 2022?

- (a) Gujarat (b) Karnataka
(c) Tripura (d) More than one of the above
(e) None of the above

68th B.P.S.C. (Pre) 2022

Ans. (b)

In the given option, Karnataka received (Rs. 41,678 crores) the highest Foreign Direct Investment (FDI) equity flow during April-September, 2022. Amongst the all states of India, Maharastra received (Rs. 62,425 crores) the highest FDI equity flow during April-September, 2022.

Note : Maharashtra, Gujarat and Karnataka were the top three Indian states receiving the most FDI in financial year 2023-24.

3. The Foreign Exchange Reserves (FER) of RBI include which of the following?

1. Foreign Currency Assets (FCA)
2. Gold

3. Special Drawing Rights (SDR)

4. Reserve Tranche Position

Select the correct answer using the codes given below.

- (a) Only 1 and 2 (b) Only 2, 3 and 4
(c) Only 1, 2 and 3 (d) All of the above

69th B.P.S.C. (Pre) 2023

Ans. (d)

The Foreign Exchange Reserves of RBI includes Foreign Currency Assets (FCA), Gold, Special Drawing Right (SDR) and Reserve Tranche Position (RTP) i.e. all of the above answer.

4. Which one of the following measures is not likely to aid in improving India's Balance of Payment position?

- (a) Promotion of Import Substitution Policy
(b) Devaluation of rupee
(c) Imposition of higher tariff on imports
(d) Levying of higher duties on exports
(e) None of the above/More than one of the above

60th to 62nd B.P.S.C. (Pre) 2016

Ans. (d)

Promotion of Import Substitution Policy, devaluation of rupee and imposition of higher tariff on imports will be helpful in improving India's Balance of Payment position while levying of higher duties on exports will reduce the volume of exports and thus not likely to aid in improving India's Balance of Payment position.

5. The visit of foreigners in India to see the various places or events in the country amounts to which of the following in terms of economy?

- (a) Production (b) Consumption
(c) Import (d) Export
(e) None of the above/More than one of the above

B.P.S.C. CDPO 2018

Ans. (d)

If a foreigner is coming to India and then purchasing some items then it is a case of exports. Foreigner is coming to India and see the various place or events in the country amount to Export in terms of economy.

6. What was India's share in World Exports by commodity divisions and groups in 2018?

- (a) 1.7% (b) 0.7%
(c) 2.1% (d) 1.3%
(e) None of the above/More than one of the above

67th B.P.S.C. (Re-Exam) (Pre) 2021

Ans. (a)

As per Economic Survey 2023-24 the India's share in global merchandise exports is 1.8 percent and imports is 2.8 percent while India's share in global service export is 4.3 percent in the Financial Year 2023 from an average of 3.3 percent during financial year 16 to financial year 2020.

7. At present the country has adopted-

- (a) Partial convertibility of Indian currency
(b) Full convertibility of Indian currency
(c) Full convertibility of current account
(d) Full convertibility of capital account

43rd B.P.S.C. (pre)1999

Ans. (c)

The then Finance Minister Manmohan Singh implemented the **Liberalized Exchange Rate Management System** (LERMS) of the rupee on the current account from the year 1992-93. 40% of the foreign earnings under LERMS will be converted at the exchange rate determined by RBI and the remaining 60% at the market determined rate. In the year 1993-94, Finance Minister Manmohan Singh declared the rupee fully convertible on the trade account (exports + imports). Moving in this direction, the rupee was made fully convertible on the current account of the balance of payments account in the year 1994-95. At present, the rupee is fully convertible on the current account and partially convertible on the capital account.

8. In which year the Indian rupee was devalued twice a month?

- (a) 1990 (b) 1991
(c) 1994 (d) 1999

44th B.P.S.C. (Pre) 2000

Ans. (b)

In 1991, on the 1st and 3rd of July, the Indian rupee was Devaluate by about 18-19% relative to the currencies of 5 major countries of the world (America, Germany, Japan, France and Britain).

9. Rupee was devalued for the last time-

- (a) July, 1991 (b) July, 1993
(c) July, 1997 (d) July, 2001

45th B.P.S.C. (Pre) 2001-02

Ans. (a)

The Indian rupee was last devalued on July 3, 1991. The Government of India devalued the Indian Rupee against five major currencies (US Dollar, Pound Sterling, Franc, Mark and Yen) in two phases (1st and 3rd July, 1991) by about 18-19 per cent.

10. Which sector in India attracts the highest FDI equity flow?

- (a) Construction Sector (b) Energy Sector
(c) Automobile Sector (d) Service Sector
(e) None of the above / More than one of the above

63rd B.P.S.C. (Pre) 2017

Ans. (d)

As per the question period, option (d) was the correct answer. As per Ministry of Commerce and Industry, computer & software & hardware attracts the highest FDI equity flow (from April 2022 to March 2023). During FY 2023-24 computer software and hardware sector remained highest in FDI inflow with US \$ 7.9 billion.

11. The DPIIT, under the Ministry of Commerce and Trade, was established in

- (a) 1995 (b) 2005
(c) 2010 (d) 2015
(e) None of the above / More than one of the above

B.P.S.C. Project Manager Prelims 2021

Ans. (a)

The Department for promotion of Industry and Internal Trade (DPIIT) under Ministry of Commerce was established in the year 1995 and was reconstituted in the year 2000 with the merger of the Department of Industrial Development. The Department was earlier called Department of Industrial Policy & Promotion and was renamed as DPIIT in January, 2019.

12. In Bihar, during April-June 2018, which sector attracted the highest FDI equity inflow?

- (a) Service sector
(b) Steel industry
(c) Processing industry in agriculture
(d) Cement industry
(e) None of the above/More than one of the above

64thB.P.S.C. (Pre) 2018

Ans. (a)

In Bihar, during April-June 2018, services sector attracted the highest FDI equity in flow. Top 5 sectors received highest FDI equity inflow during FY 2023-24 are service sector (Finance, Banking, Insurance, Non Financial Business, Outsourcing, RED, Courier, Tech etc.).

13. Foreign currency which has a tendency of quick migration is called :

- (a) Hot currency

(b) Gold currency

- (c) Soft currency (d) Hard currency

56th to 59th B. P. S.C. (Pre) 2015

Ans. (a)

Hot currency (or money) signifies currency that quickly and regularly moves between financial markets, that ensures investors lock in the highest available short-term interest rates. Hot money continuously shifts from countries with low-interest rates to those with higher rates. These financial transfers affect the exchange rate and potentially impact a country's balance of payments.

14. Hard currency means the currency which-

- (a) very difficult to bear.
(b) Very difficult to earn.
(c) belongs to developed countries.
(d) Is the developing countries.

43rd B.P.S.C. (Pre) 1999

Ans. (c)

Hard currency refers to the currencies of developed countries. Hard currency refers to money that is issued by a nation that is seen as politically and economically stable and it is widely accepted around the World.

15. Which of the following is a bond through which Indian entities can raise money from foreign markets in rupees, and not in foreign currency?

- (a) Corporate Bonds
(b) Masala Bonds
(c) Municipal Bonds
(d) Zero-coupon Bonds
(e) None of the above/More than one of the above

60th to 62nd B.P.S.C. (Pre) 2016

Ans. (b)

Masala Bonds are bonds through which Indian entities can raise money from foreign markets in rupees, and not in foreign currency. Masala Bonds are rupee-denominated borrowings issued by Indian entities in overseas market. The objective of Masala Bonds is to fund infrastructure projects in India, fuel internal growth via borrowing and internationalize the Indian currency. The issuer of these bonds is shielded against the risk of currency fluctuations, typically associated with borrowing in Indian currency.

Note : Masala bonds were introduced in India in 2014 by International Financial Corporation. It was issued to raise funds for infrastructure projects.

16. Which of the following payment instrument introduced by banks is known as plastic currency?

- (a) Bearer check (b) Credit card
- (c) Demand draft (d) Gift check

44th B.P.S.C. (Pre) 2000

Ans. (b)

In view of the developing nature of the economy, the instruments of the banks are also changing. In this sequence, to facilitate the transaction, banks started issuing credit cards to their customers. The customer can pay for the purchase of goods by means of a credit card and an amount equal to the value of the purchase is transferred from the customer's bank account to the related party. Credit cards, debit cards and cash cards are also known as 'plastic money'.

17. The exchange rate of Indian rupee is determined by-

- (a) In relation to the United States (US) dollar
- (b) In relation to the British pound
- (c) In respect of some selected currencies
- (d) None of the above

41st B.P.S.C. (Pre) 1996

Ans. (d)

From 1975 to 1992, the exchange rate of the Indian rupee was determined on the basis of a basket of developed countries' currencies. The currencies of the five countries/groups were kept in this forex basket namely Dollar of USA, Yen of Japan and Pound Sterling of UK, Renminbi of China and Euro. From March, 1992 to March, 1993 Dual system of market and fixed rate was adopted and from March, 1993 the exchange rate of rupee was being determined on the basis of demand and supply in the market.

18. In the fiscal year 2018-19, the total foreign exchange reserves are :

- (a) Rs. 34,55,882 crores (b) Rs. 30,55,882 crores
- (c) Rs. 32,55,882 crore (d) Rs. 28,55,882 crore
- (e) None of the above/More than one of the above

65th B.P.S.C. (Pre) 2019

Ans. (d)

In the fiscal year 2018-19 (end-March, 2019), the total foreign exchange reserves of India was at Rs. 28,55,882 crore. In the fiscal year 2021-22 (as on 25 March, 2022), it is increased to Rs. 47,07,396 crore (US \$ 617.65 billion). As per the Economic Survey 2023-24, India was the 4th (\$ 646.4 billion) largest foreign exchange reserves holder in the world while China (1), Japan (2) and Switzerland (3) holds largest foreign reserve in the world.

19. In the recent Union Budget, F.M. has increased the Foreign Direct Investment (FDI) limit..... in the insurance sector from the present.

- (a) 50% (b) 62%
- (c) 74% (d) 100%
- (e) None of the above / more than one of the above

67th B.P.S.C. (Pre) 2021

Ans. (c)

The increase in the **Foreign Direct Investment (FDI)** limit in the insurance sector from 49 percent to 74 percent was announced by Finance Minister Nirmala Sitharaman in the Budget 2021-22, effective from August, 2021.

20. According to the Reserve Bank of India, what was the total values of the foreign exchange reserves of India in 2018-19?

- (a) 493560 million US dollar
- (b) 481078 million US dollar
- (c) 477807 million US dollar
- (d) 412871 million US dollar
- (e) None of the above / More than one of the above

66th B.P.S.C. (Pre) (Re-Exam) 2020

Ans. (d)

According to the Reserve Bank of India, the total values of the foreign exchange reserves of India in 2018-19 (in end-March 2019) was at US \$ 412871 million. As on July 28, 2023, India's foreign exchange reserves stood at US \$ 603870 million. As on 11 Sep 2024, total foreign reserve in India is 6,83,987 million US dollar.

21. In which year the new currency 'Euro' was introduced ?

- (a) 1996 (b) 1997
- (c) 1998 (d) 1999

48th to 52nd B.P.S.C. (Pre) 2008

Ans. (d)

Euro was introduced on January 1, 1999. The first three years it was invisible currency only used for accounting purposes and electronic payments. Euro coins & bank notes were launched on January 1, 2002, and in 12 European Union (EU) the biggest cash changeover in history took place.

22. The Prevention of Money Laundering Act came into force in India during :

- (a) 1998 (b) 1999
- (c) 2001 (d) 2005
- (e) None of the above / More than one of the above

63rd B.P.S.C. (Pre) 2017

Ans. (d)

Prevention of Money Laundering Act (PMLA), 2002 was enacted by the then NDA government to prevent money laundering and to provide for confiscation of property derived from money laundering. This Act got the assent of the President on 17 January, 2003. PMLA and the Rules notified there under came into force with effect from July 1, 2005.

International Organizations

1. Which of the following statements is correct regarding QUAD?

- (a) QUAD is a strategic forum of four nations—India, US, Japan and Australia.
- (b) Its genesis was in 2004.
- (c) The intention was to enhance maritime cooperation among the four nations.
- (d) More than one of the above
- (e) None of the above

B.P.S.C. PRT 2023 Shift II

Ans. (d)

Quad is a strategic forum of four nations- India, USA, Japan and Australia. Formally the Quadrilateral Security Dialogue, the Quad began as a loose partnership after the 2004 Indian ocean tsunami, when the four countries joined together to provide humanitarian and disaster assistance. As per Quad members group is meant to deepen economic, diplomatic and military ties among the four countries.

2. The 'Ease of Doing Business Index' prepared and published by :

- (a) World Trade Organization
- (b) World Bank Group
- (c) United Nations
- (d) European Union
- (e) None of the above/More than one of the above

60th to 62nd B.P.S.C. (Pre) 2016

Ans. (b)

Ease of Doing Business Index was an annual index published by the World Bank. In this index, ranking was provided to the countries of the world on the basis of basic changes made to provide trade facilities. In the year 2021, the World Bank has discontinued the publication of ease of Doing Business Report.

3. Consider the following statements regarding the recent export-import trade of India-

- 1. The textile sector contributes 21% and gems and jewellery 17% in India's exports.**

- 2. Western Europe and North America together account for 53% of India's exports and 40% of its imports.**
- 3. Latin American, Sub-Saharan African and Middle East countries present the most potential markets for Indian export trade.**
- 4. India's share in world exports is a little over 2%.**

Which of these statements are correct?

- (a) 1 and 2
- (b) 2, 3 and 4
- (c) 3 and 4
- (d) 1, 2 and 3

47th B.P.S.C. (Pre) 2005

Ans. (*)

The contribution of textile sector in India's exports was 12.0% in the year 2004-05 and the contribution of gems and jewellery sector was 16.5%. The **European Union (EU)** had 21% and the United States of America (USA) had 16.5% of India's exports in the year 2004-05. In the year 2004-05 India's import was 16.8% of (EU) and 6.3% of USA. The new Import-Export Policy, 2004 has identified countries in Latin America, Sub-Saharan Africa and the Middle East as the most potential markets for Indian exports. India's share in world exports was 0.8% in 2004-05. Hence, none of the given answer options is correct.

4. W.T.O. came into existence-

- (a) January, 1994
- (b) January, 1995
- (c) January, 1996
- (d) January, 1997

43rd B.P.S.C. (Pre) 1999

Ans. (b)

The World Trade Organization was established on January 1, 1995 as the successor of the General Agreement on Tariffs and Trade (GATT). The 1986-94 Uruguay Round - led to the WTO's creation.

5. Ngozi Okonjo-Iweala became the first woman of the world and the first African woman to be appointed as the Head of the World Trade Organization (WTO). She hails from which country?

- (a) Algeria
- (b) Kenya
- (c) Nigeria
- (d) Tanzania
- (e) None of the above / More than one of the above

B.P.S.C. CDPO 2022

Ans. (c)

Ngozi Okonjo-Iweala GCON, is a Nigerian-American economist. She assumed the role of Director-General of the World Trade Organization in March 2021. She holds the distinction of being the first woman and the first African to lead the World Trade Organization as Director-General.

6. **The Global Gender Gap Report is released by**
(a) the World Bank (b) the UN Women
(c) the World Economic Forum (d) the UNDP

69th B.P.S.C. (Pre) 2023

Ans. (c)

Global Gender Gap Report is released annually by the World Economic Forum (WEF) Since 2006, it measure gender parity in 146 countries. India's rank in GGG Report is 129 in 2024.

7. **According to the Ease of Doing Business Report, 2020, India improved their rank from :**
(a) 77 in previous year to 63rd position
(b) 130 in previous year to 100th position
(c) 100 in previous year to 77th position
(d) 77 in previous year to 67th position
(e) None of the above / More than one of the above

66th B.P.S.C. (Pre) 2020

Ans. (a)

As per the World Bank's Ease of Doing Business Report 2020, India had jumped 14 places to the 63rd position (out of 190 countries) on the Ease of Doing Business Ranking. India's ranking in Ease of Doing Business Report 2019 was 77 among 190 countries. The top 3 countries (economies) in 2020 report were : 1. New Zealand, 2. Singapore, 3. Hong Kong.

8. **Which of the following financial institution is not related to the World Bank Group?**
(a) IFC (b) IBRD
(c) ADB (d) IDA

43rd B.P.S.C. (Pre) 1999

Ans. (c)

The World Bank (IBRD = **International Bank for Reconstruction and Development**) was established in the year 1944 under the agreement made at the United Nations Monetary and Financial Conference from July 1 to July 22, 1944 in Bretton Woods (New Hampshire, USA) of 44 nations. It was established with the aim of helping to bring the wartime economy back to a normal level in a peaceful manner. 5 institutions in the World Bank Group are—International Development Association (IDA, established 1960), International Finance Corporation (IFC, established July, 1956), International Center for Investment Disputes (ICSID) established in 1966, Multilateral Investment Guarantee Agency (MIGA, established April 1, 1988. The Asian Development Bank (ADB) was established on December 19, 1966 in Manila, the capital of the Philippines, with the idea that there should be an institution like the World Bank to meet the needs of the Asian region.

9. **According to the World Bank's development report, the position of the Indian economy in the world is the :**

- (a) Largest (b) Smallest
(c) Second Largest (d) Fifth Largest

48th to 52nd B.P.S.C. (Pre) 2008

Ans. (*)

None of the given options was correct as per the question period. As per the World Development Report 2008 of the World Bank, Indian economy was the fourth largest economy in terms of PPP. According to the World Bank's data, Indian economy had overtaken UK to become the 5th largest economy (after USA, China, Japan and Germany) in 2019 on the basis of nominal GDP, but due to COVID-19 pandemic impact, India has been pushed back to being the world's sixth biggest economy in 2020. At present, India is 5th largest economy of the World after USA, China, Japan and Germany.

10. **Indian Development Forum (IDF) was earlier known as :**

- (a) Aid India Consortium (b) Aid India Bank
(c) World Bank (d) None of the above

48th to 52nd B.P.S.C. (Pre) 2008

Ans. (a)

The 'Aid-India Consortium' was organized in 1958 as an international scheme to support the economic development of India, and led by the World Bank. This later came to be known as the 'Indian Development Forum'. The World Bank provides long term loans for the improvement of infrastructure (like construction of road, water etc.).

11. **Which of the following organizations brings out the publication known as 'World Economic Outlook'?**

- (a) The International Monetary Fund
(b) The United Nations Development Programme
(c) The World Economic Forum
(d) The World Bank
(e) None of the above/More than one of the above

66th B.P.S.C. (Pre) (Re-Exam) 2020

Ans. (a)

The 'World Economic Outlook' is published by International Monetary Fund (IMF). It is usually published twice and partly updated 2 times a year. 'Human Development Report' is published by UNDP and 'World Development Report' is published by the World Bank, while 'Global Competitiveness Report' is released by the World Economic Forum.

12. Which of the following is not taken as one of the parts for preparing the “Human Development Index in India” under the United Nations Development Program (UNDP)?

- (a) Real GDP per capita income in US dollars
- (b) Literacy rate
- (c) life expectancy at birth
- (d) Infant mortality rate

47th B.P.S.C. (Pre) 2005

Ans. (d)

UNDP has the following components in constructing the Human Development Index-

- (1) per capita income (in dollars based on purchasing power parity)
- (2) literacy rate
- (3) Life expectancy at birth

Like all other countries, only the above three components are used in India to construct the Human Development Index.

13. General Human Development Index includes mainly

- (a) life expectancy
- (b) per capita income
- (c) literacy rate
- (d) All of the above
- (e) None of the above / More than one of the above

B.P.S.C. Auditor 2021

Ans. (d)

See the above question's explanation.

14. Who is known as the third pillar in international economic cooperation?

- (a) International Monetary Fund
- (b) World Bank
- (c) World Trade Organization
- (d) GATT

46th B.P.S.C. (Pre) 2004

Ans. (c)

The World Bank and the **International Monetary Fund** (IMF) are recognized as the first and second pillars of international economic cooperation. The **World Trade Organization** (WTO), the successor body of GATT, which came into existence on January 1, 1995, has been accepted as the third pillar of international economic cooperation. The work of WTO is related to the smooth functioning of international trade.

15. TRIMs stands for :

- (a) Trade-Related Income Measures
- (b) Trade-Related Incentives Measures

- (c) Trade-Related Investment Measures
- (d) Trade-Related Innovative Measures
- (e) None of the above/More than one of the above

63rd B.P.S.C. (Pre) 2017

Ans. (c)

TRIMs (Trade-Related Investment Measures) is a **World Trade Organization** (WTO) agreement that restricts preference of domestic firms and thereby enable international firms to operate more easily with foreign markets. This agreement, negotiated during the Uruguay Round, applies only to measures that affect trade in goods. Recognizing that certain investment measures can have trade-restrictive and distorting effects, it states that no member shall apply a measure that is prohibited by the provisions of GATT Article III (national treatment) or Article XI (quantitative restrictions). It is one of the four principal legal agreements of the WTO trade treaty, which was concluded in 1994 and came into force in 1995.

16. Who was not included in the Millennium Development Goal?

- (a) Eradication of poverty and hunger
- (b) Attainment of universal primary education
- (c) Promoting gender equality and women empowerment
- (d) Achieving double digit economic growth rate

46th B.P.S.C. (Pre) 2004

Ans. (d)

The Millennium Development Goals were measured by 21 targets. Following the success of the MDGs, the United Nations Development Program (UNDP) has set the Sustainable Development Goals (SDGs) to achieve 17 goals from 2016 to 2030. Based on the Millennium Declaration signed by the 189 countries of the United Nations in September 2000, the United Nations declared 8 Millennium Development Goals and 17 goals, which were to be achieved by the year 2015 by the member countries. The 8 Millennium Development Goals are-

- (1) eradication of extreme poverty and hunger,
- (2) universal primary education
- (3) promoting women's empowerment and gender equality,
- (4) reducing child mortality, (5) improvement in maternal health,
- (6) preventing HIV/AIDS, malaria and other diseases
- (7) improving the environment, ensuring sustainability and
- (8) developing a global partnership for development.

Note: The Millennium Development Goals were revised when the United Nations General Assembly added 4 additional

17. Where is the BRICS Summit, 2019 scheduled to be held?

- (a) Brazil
- (b) India
- (c) China
- (d) Russia
- (e) None of the above/More than one of the above

65th B.P.S.C. (Pre) 2019

Ans. (a)

The 2019 BRICS Summit was the eleventh annual BRICS Summit, which was held in November 2019 in Brasilia, Brazil. The 2020 (12th) BRICS Summit was originally scheduled to take place in Saint Petersburg, Russia in July 2020, but was changed to a video conference held on 17 November 2020 due to the outbreak of global COVID-19 pandemic. The 2024 (16th) BRICS Summit was hosted by Kazan (Russia) on 22-24 October 2024. Its theme was Strengthening Multilateralism for just Global Development and Security.

18. 'Mekong-Ganga Cooperation' was launched in 2000 at :

- (a) Laos
- (b) Thailand
- (c) Cambodia
- (d) India
- (e) None of the above / More than one of the above

66th B.P.S.C. (Pre) (Re-Exam) 2020

Ans. (a)

The 'Mekong-Ganga Cooperation' (MGC) is an initiative aiming to facilitate closer connection between its 6 members countries – India, Thailand, Myanmar, Cambodia, Laos and Vietnam. MGC was established in November, 2000 at Vientiane, Laos at the first MGC Ministerial Meeting. The organization takes its name from the Ganga and Mekong, two large rivers in the region. The four areas of cooperation under MGC are tourism, culture, education and transportation.

19. Which of the following is not associated with NAFTA?

- (a) Great Britain
- (b) Canada
- (c) Mexico
- (d) USA
- (e) None of the above/More than one of the above

64th B.P.S.C. (Pre) 2018

Ans. (a)

The North American Free Trade Agreement (NAFTA) was an agreement signed by Canada, Mexico and the United States, creating a trilateral trade bloc in North America. NAFTA came into force on 1 January, 1994. In September 2018, the United States, Mexico and Canada reached an agreement to replace NAFTA with the United States-Mexico-Canada Agreement (USMCA), and after the signing and ratification by all three countries, the USMCA took effect on 1 July, 2020, replacing NAFTA with a modernized agreement.

20. Consider the following agreements :

- I. ISLFTA (India-Sri Lanka Free Trade Agreement)
- II. SAFTA (South Asian Free Trade Area)
- III. CECA (Comprehensive Economic Cooperation Agreement between India and Singapore)
- IV. SAPTA (South Asian Preferential Trade Arrangement)

Which of the following is the correct chronological order of the above agreements?

- (a) I – III – II – IV
- (b) IV – I – II – III
- (c) II – I – IV – III
- (d) I – II – III – IV

56th to 59th B.P.S.C. (Pre) 2015

Ans. (b)

SAFTA is the free trade arrangement of the South Asian Association for Regional Cooperation (SAARC). It was signed on 6th January, 2004 at the 12th SAARC Summit held in Islamabad. The arrangement came into force in 2006. ISLFTA was signed on 28th December, 1998 and entered into force with effect from 1st March, 2000. CECA is a free trade agreement between Singapore and India. It was signed on 29th June, 2005. SAPTA was signed on 11th April, 1993 and came into force from 7th December, 1995.

21. G-15 is :

- (a) An organization of developed countries of the World
- (b) An organization of developed countries of Europe
- (c) An organization of developing countries of Asia
- (d) An organization of developing countries of the World

48th to 52nd B.P.S.C. (Pre) 2008

Ans. (d)

The **Group of fifteen** (G-15) is an informal forum of developing countries. It was set up in September, 1989 at the 9th **Non-Aligned Movement** (NAM) summit in Belgrade, Yugoslavia. The aim was to strengthen cooperation among the World's leading developing nations and serve as a bridge to then (G-7) industrialized nations. The headquarters of G-15 is located in Geneva, Switzerland.

22. What is the full form of SAPTA?

- (a) South Asia Preferential Trade Agreement
- (b) SAARC Preferential Trading Arrangement
- (c) South Asia Preferential Trade Agency
- (d) None of the above

40th B.P.S.C. (Pre) 1995

Ans. (b)

The full form of SAPTA is SAARC Preferential Trading Arrangement, which came into effect on Dec. 7, 1995.

23. Which of the following countries is not a member of 'SAARC'?

- (a) China (b) Myanmar
(c) Maldives (d) Bhutan

43rd B.P.S.C. (Pre) 1999

42nd B.P.S.C. (Pre) 1997-98

Ans. (*)

The South Asian Association for Regional Co-operation (SAARC), formed on December 8, 1985, has the following seven countries of South Asia as members- (1) India (2) Pakistan (3)

Sri Lanka (4) Nepal (5) Bangladesh (6) Maldives and (7) Bhutan. In the 12th summit of SAARC, the decision to make Afghanistan a member of this organization was taken unanimously by the member nations. Afghanistan participated as a member state in the 13th summit of SAARC held in New Delhi in 2007. Therefore, at present the number of member countries of SAARC has increased to 8, while China and Myanmar are not its members. Hence both option (a) and (b) are correct.

24. Which one of the following countries is not a member of the G-8 Group?

- (a) France (b) Italy
(c) Spain (d) Germany

48th to 52nd B.P.S.C. (Pre) 2008

Ans. (c)

The group of seven (G-7) is an informal bloc of industrialized democracies i.e. France, Germany, Italy, the United Kingdom, Japan, the United States and Canada. G-7 was formed as G-6 in 1975. The G-7 was known as the 'G-8' for several years after the original seven were joined by Russia in 1997. The group returned to being called G-7 after Russia was suspended as a member in 2014 following the latter's annexation of the Crimea region of Ukraine. In 2017, Russia announced its permanent withdrawal from the G-8.

The 49th G-7 summit was held in Hiroshima, Japan in May, 2023, under the Presidency of Japan. 50th G-7 summit was held from 13 to 15 June 2024 in the city of Fasano in Apulia, Italy.

25. Which country is not the member of G-8?

- (a) India (b) Germany
(c) Japan (d) Canada

48th to 52nd B.P.S.C. (Pre) 2008

Ans. (a)

See the explanation of the above question.

26. 'ASEAN' stands for :

- (a) Academy of South-East Asian Nations
(b) Association of South-East African Nations
(c) Association of South-East Asian Nations
(d) None of the above

48th to 52nd B.P.S.C. (Pre) 2008

Ans. (c)

The **Association of Southeast Asian Nations** (ASEAN) was established on 8 August, 1967 in Bangkok, Thailand with the signing of the ASEAN Declaration (Bangkok Declaration). It has 10 members i.e. Indonesia, Thailand, Malaysia, Philippines, Singapore, Brunei, Vietnam, Lao PDR (Laos), Myanmar and Cambodia. The ASEAN headquarters is located in Jakarta, Indonesia.

27. Which State Government has signed a pact with Airport Authority of India (AAI) to develop villages in Kamrup?

- (a) West Bengal (b) Mizoram
(c) Nagaland (d) Assam
(e) None of the above/More than one of the above

63th B.P.S.C. (Pre) 2017

Ans. (d)

The Airport Authority of India (AAI) signed a MoU with Assam Government under its Corporate Social Responsibilities (CSR) initiatives for sustainable development of human settlements at villages in Kamrup district.

28. What is the full form of APEC?

- (a) Asia for Peace and Economic Cooperation
(b) Asian Pact for Environment Control
(c) Asia Pacific Economic Cooperation
(d) Asia Pacific Economic Conference

41st B.P.S.C. (Pre) 1996

Ans. (c)

At the initiative of the then Australian Prime Minister Bob Hawke, APEC was established in November, 1989. The full form of APEC is the Asian Pacific Economic Co-operation. Spanning from New Zealand to Canada, APEC has 21 member states with the world's largest and expanding economies.

29. South Asian Preferential Trade Agreement (SAPTA) was formally inaugurated on-

- (a) 7th December, 1994 (b) 7th November, 1993
(c) 7th December, 1995 (d) None of the above

41st B.P.S.C. (Pre) 1996

Ans. (c)

The Asian Preferential Trading Arrangement was first proposed by Sri Lanka at the Sixth Summit of SAARC in December, 1991. Under this proposal, SAPTA was signed in 1993 and became operational from December 7, 1995. The **South Asian Free Trade Area** (SAPTA) came into force in its place from January 1, 2006.

30. Match the Column A with Column B and select the correct answer using the codes given below :

Column A	Column B
A. National Agricultural Policy	1. 2004
B. Marine Fishing Policy	2. 1978
C. New Foreign Trade Policy	3. 2000
D. Seventh Finance Commission	4. 2014

A	B	C	D
(a) 2	1	3	4
(b) 4	3	1	2
(c) 1	4	2	3
(d) 3	1	4	2

56th to 59th B.P.S.C. (Pre) 2015

Ans. (d)

The correctly matched columns are as follows :

National Agriculture Policy	–	2000
Marine Fishing Policy	–	2004
New Foreign Trade Policy	–	2014
Seventh Finance Commission	–	1978

31. India's first textile university will be set up in which of the following States?

- (a) Madhya Pradesh (b) Bihar
(c) Gujarat (d) Odisha
(e) None of the above/More than one of the above

60th to 62th B.P.S.C. (Pre) 2016

Ans. (c)

In 2016, the Gujarat government announced its plan to set up India's first textile university in Surat (Gujarat) with an investment of about Rs. 800 – 900 crore.

32. In how many adhikarnas is the Kautilya Arthashastra divided?

- (a) 11 (b) 12
(c) 14 (d) 15

48th to 52nd B.P.S.C. (Pre) 2008

Ans. (d)

Kautilya Arthashastra is divided into 15 adhikarnas.

33. Which country has recently signed a free trade agreement (FTA) with the United Arab Emirates?

- (a) Israel (b) Australia

- (c) Italy (d) Pakistan
(e) None of the above/More than one of the above

67th B.P.S.C. (Re-Exam) (Pre) 2021

Ans. (a)

A free trade agreement between Israel and the United Arab Emirates was signed on 31st May, 2022. This is the first time Israel has signed a free trade agreement with a Arab Country.

D. DEMOGRAPHY

India : Population

1. Which of the following statements is true?

- (a) As per the 2011 Census, Sikkim has a population of 6 lakhs.
(b) Uttar Pradesh is the largest State in India in terms of area.
(c) India accounts for 2.6 percent of the world's area.
(d) More than one of the above
(e) None of the above

B.P.S.C. PRT 2023 Shift II

Ans. (a)

India is the seventh country in the world (area) which occupies about 2.4% of the world's area with the area of 32, 87,263 sq.km. As per the 2011 census, Sikkim is the smallest populous state in Indian States with the population of 610577 lakh and Uttar Pradesh is the largest state in India in terms of population (199812341) and fourth largest state in terms of area 240928 square kilometer.

2. Which one of the following is the most significant feature of the Indian population?

- (a) Declining birthrate
(b) Improvement in health conditions
(c) Improvement in the literacy level
(d) The size of its adolescent population
(e) None of the above / More than one of the above

B.P.S.C. Assistant Audit Officer 2022

Ans. (d)

The most significant feature of the Indian population is the size of its adolescent population. Its adolescent population, aged 10-19 years, accounts for a substantial portion of the national total, some 253 million. This demographic segment is a significant part of what economists and demographers have come to call the 'demographic dividend'

3. The total population of India is-

- (a) 1,027,015,247 (b) 1,028,737,436
(c) 10,12,52,751 (d) None of the above

48th to 52nd B.P.S.C. (Pre) 2008

Ans. (b)

According to the census 2001, the total population of India was 1,028,737,436, while according to the final data of Census 2011, the population of India is 1210854977, in which the male population is 623724248 and the female population is 586469174. The population density of India is 382 persons per sq km. And the sex ratio is 943 (females per thousand males).

4. What is the minimum age of a person whose photographing, fingerprinting and iris mapping will be done for the Census of 2011?

- (a) 12 years (b) 15 years
(c) 18 years (d) 21 years

53rd to 55th B.P.S.C. (Pre) 2011

Ans. (b)

The minimum age of a person whose photographing, fingerprinting and iris mapping to be done for the Census of 2011 was 15 years. This was the part of the work to be done under the **National Population Register (NPR)**.

5. According to the latest census the average annual population growth rate of India is-

- (a) showed an increasing trend
(b) showed a declining trend
(c) grew explosively
(d) remained constant

42nd B.P.S.C. (Pre) 1997-98

Ans. (b)

The average annual growth rate of population between 1971 and 1981 was 2.25%, while the average annual growth rate of population during the period 1981-91 was 2.14%. Therefore, the average annual growth rate of population between 1981-91 showed a declining trend. As per the latest, Census 2011, the average annual growth rate of population has come down to 1.64%.

6. The percentage of decadal growth of population during 2001-2011 as per Census 2011 is :

- (a) 21.54 (b) 17.64
(c) 15.89 (d) 19.21
(e) None of the above/More than one of the above

60th to 62nd B.P.S.C. (Pre) 2016

Ans. (e)

As per final data of Census 2011, the percentage of decadal growth of population during 2001-2011 is 17.7%. However, as per provisional data of Census 2011, it was at 17.64%.

7. Which Census year is called 'Demographic Divide' in the population study of India?

- (a) 1911 (b) 1921
(c) 1931 (d) 1941
(e) None of the above/More than one of the above

63rd B.P.S.C. (Pre) 2017

Ans. (b)

The year 1921 has been the only Census year in the history of the Indian Census in which the decadal growth rate of population was negative (-0.31%). After that year population of India gradually registered accelerated growth. Hence, 1921 is called as the year of 'Great Divide'.

8. As per Census 2011, what is the rank of Bihar State in terms of population in the country?

- (a) I (b) II
(c) III (d) IV
(e) None of the above/More than one of the above

60th to 62th B.P.S.C. (Pre) 2016

Ans. (c)

As per Census 2011, the total population of Bihar is 104099452 and its rank is III after Uttar Pradesh (199812341) and Maharashtra (112374333) in terms of population in the country.

9. Urban population of India is equal to percentage of the total population.

- (a) 25.72 (b) 31.86
(c) 20.28 (d) 22.52

44th B.P.S.C. (Pre) 2000

Ans. (a)

According to the National Census 1991, the urban population in India was 25.72% of the total population. According to the final figures of the current census 2011, the urban population of India is 31.1% of the total population.

10. According to the 1991 census, the population of India is-

- (a) 80.2 crores (b) 82.2 percent
(c) 84.4 crores (d) 88.5 crores

40th B.P.S.C. (Pre) 1995

Ans. (c)

According to the 1991 census, the population of India was 846.4 million. As per 2011 census, the population has increased to 1210854977, i.e. decadal growth rate stood at 17.7% of population during 2001-2011.

11. According to 2001 Census --- percent population of India lives in Bihar State.

- (a) 8 (b) 10
(c) 11 (d) 12

48th to 52nd B.P.S.C. (Pre) 2008

Ans. (a)

Bihar is the third largest state in terms of population. As per Census 2001, the total population of Bihar was 82998509. Thus, 8.07 percent of total population of India was inhabited in Bihar. As per Census 2011, about 9 percent of India's population (104099452) is inhabited in Bihar.

12. Bihar is the ---- largest state of India according to 2001 Census.

- (a) Second (b) Third
(c) Fourth (d) Fifth

48th to 52nd B.P.S.C. (Pre) 2008

Ans. (b)

See the explanation of the above question.

13. According to 2001 Census, what is the total population of Bihar?

- (a) 82998509 (b) 76210007
(c) 96878627 (d) 80176197

53rd to 55th B.P.S.C. (Pre) 2011

Ans. (a)

See the explanation of the above question.

14. Consider the following statements about the population characteristics of India :

- I. During 1991 - 2001 decade the population grew at the rate of nearly 21 percent.
II. In 2001 the gap between male and female literacy has widened as compared to 1991.
III. As per the 2001 Census there are 35 large cities in the country which accommodate nearly 48 percent of total urban population.
IV. The 1991 census reflected a decline in the number of unproductive consumers.

Which of these statements are correct?

- (a) I and II
(b) II and III
(c) I and IV
(d) II, III and IV

47th B.P.S.C. (Pre) 2005

Ans. (c)

The growth rate of population in the decade 1991-2001 was 21.54 percent. The difference between male and female literacy in 1991 was 24.8 percent, while it was reduced to 21.6 percent in 2001. As per Census 2001, 48 percent of the Urban population did not live in 35 big cities. According to the World Bank Data, there has been a trend of reduction in India's dependency ratio since 1966. Hence, statements I and IV are correct while statement II and III are incorrect.

15. Ratio of total Population to total area is called

- (a) sex ratio
(b) literacy rate
(c) density of population
(d) More than one of the above
(e) None of the above

B.P.S.C. School Teacher (Class 9-10) 07-12-2023

Ans. (c)

Population density is calculated as the number of persons per unit area. India is one of the most densely populated countries of the World. The ratio between the number of women and men in the population is called the sex ratio. In India, it is calculated as the number of females per thousand males. The literacy rate is defined by the percentage of population of given age group that can read and write.

16. According to the Census 2001, the density of population in India (per sq. km) is :

- (a) 304 (b) 324
(c) 344 (d) 364

48th to 52nd B.P.S.C. (Pre) 2008

Ans. (b)

Population density is the number of individuals per unit geographic area. (e.g. sq. Km) As per Census 2001, India's population density was 324 persons per sq. km, which as per Census 2011 is increased to 382 persons per sq. km. It is noteworthy that according to the Census 2011, the population density figure of India was revised to 325 for the year 2001.

17. Which one of the following States has the highest density of population according to the Census of India, 2011?

- (a) Kerala
(b) Haryana
(c) Bihar
(d) Uttar Pradesh
(e) None of the above/More than one of the above

64th B.P.S.C. (Pre) 2018

Ans. (c)

According to the Census 2001, West Bengal had the highest population density, which was 903 and Arunachal Pradesh had the lowest population density (13). As per Census 2011, India's most densely populated State is Bihar (1106 persons per sq. km) and the State with the lowest population density is Arunachal Pradesh (17 persons per sq. km).

18. Which state has the maximum population density?

- (a) Kerala (b) Uttar Pradesh
(c) West Bengal (d) Maharashtra

44th B.P.S.C. (Pre) 2000

Ans. (c)

Option (c) was the correct answer during the question period. According to the 2011 census, Bihar (1106) has the highest population density in India.

19. Which district of Bihar recorded the highest density of population (per sq. km) as per 2011 Census?

- (a) Sheohar (b) Vaishali
(c) Patna (d) Darbhanga
(e) None of the above/More than one of the above

65th B.P.S.C. (Pre) 2019

Ans. (a)

As per 2011 Census, Sheohar (1880 per sq. km) has recorded the highest density of population among all districts of Bihar.

20. According to the 2001 census, which is the state with the highest total urban population?

- (a) Uttar Pradesh (b) Maharashtra
(c) Tamil Nadu (d) Kerala

40th B.P.S.C. (Pre) 1995

Ans. (b)

According to the final figures of the National Census 2001, the state with the highest urban population was Maharashtra. According to the census of the year 2011, the figures of urban population are as follows-

State population	Total urban population	Percentage of urban in total state population
Maharashtra	50818259	45.2%
Uttar Pradesh	44495063	45.2%
Tamil Nadu	34917440	48.4%
Kerala	15934926	47.7%

The country's urbanization is 31.1%, while the least urbanized states are Himachal Pradesh (10%), Bihar (11.3%) and Assam (14.1%).

21. The increase in literacy rate in India during 1991-2001 is :

- (a) 10.8% (b) 12.6%
(c) 14.3% (d) 15.5%

48th to 52nd B.P.S.C. (Pre) 2008

Ans. (b)

The increase in literacy rate in India during 1991-2001 was 12.6 percent.

22. Which state of India has the highest population density?

- (a) Delhi (b) West Bengal
(c) Kerala (d) Uttar Pradesh

45th B.P.S.C. (Pre) 2001-02

Ans. (a)

In the given question, option (a) was correct answer. At present, the given state's population density is as follows (as per census 2011) – West Bengal (1028), Delhi (11,320), Kerala (860) and Uttar Pradesh (829).

23. As per Census 2011 the female literacy rate in India was :

- (a) 60.0 percent (b) 63.0 percent
(c) 65.5 percent (d) 68.5 percent
(e) None of the above/More than one of the above

64th B.P.S.C. (Pre) 2018

Ans. (e)

As per final data of Census 2011, the female literacy rate in India was 64.6 percent while male literacy rate was at 80.9 percent. However, according to the provisional data of Census 2011, the female literacy rate in India was 65.46 percent.

24. According to Indian Population Census 2011, the percentage of literacy among males and females both is lowest for the State of :

- (a) Arunachal Pradesh
(b) Andhra Pradesh
(c) Bihar
(d) Jammu and Kashmir
(e) None of the above/More than one of the above

63rd B.P.S.C. (Pre) 2017

Ans. (c)

As per Census 2011, the percentage of literacy among males and females for the State of Bihar was 71.2% and 51.5% respectively, which both is lowest among all States/UTs of India.

25. According to the last census report, the population growth rate of India was-

- (a) 129.9% (b) 84.25%
(c) 254% (d) None of the above

41st B.P.S.C. (Pre) 1996

Ans. (d)

According to the last census report in 1991, India's population growth was 23.85% (decadal). Decadal growth rate of population in 2001-2011 as per the final data of National Census 2011 was 17.7%.

26. Which among the following States has a lower literacy rate than the country's average literacy rate according to 2001 Census?

- (a) Maharashtra (b) Gujarat
(c) Odisha (d) West Bengal

47th B.P.S.C. (Pre) 2005

Ans. (c)

As per Census 2001 and also according to Census 2011, among the given States, Odisha has a lower literacy rate than the country's average literacy rate. As per Census 2011, Odisha has a literacy rate of 72.87 percent, which is still lower than the national average (74.04%).

27. As per Census 2011, which State has the lowest sex-ratio?

- (a) Punjab (b) Haryana
(c) Uttar Pradesh (d) Bihar
(e) None of the above/More than one of the above

60-62nd B.P.S.C. (Pre) 2016

Ans. (b)

As per Census 2011, Haryana has the lowest sex-ratio (879) among all States of India.

State	Sex-Ratio (2011)
Haryana	879
Punjab	895
Uttar Pradesh	912
Bihar	918

28. The district of Bihar which has recorded the highest sex-ratio as per the 2011 Census is :

- (a) Siwan (b) Gopalganj
(c) Saran (d) Kishanganj

- (e) None of the above/More than one of the above

65th B.P.S.C. (Pre) 2019

Ans. (b)

As per the 2011 Census, Gopalganj (1021) has recorded the highest sex-ratio among all districts of Bihar.

29. As per the Census 2011, the child sex-ratio in Bihar was:

- (a) 935 (b) 934
(c) 933 (d) 932
(e) None of the above/More than one of the above

65th B.P.S.C. (Pre) 2019

Ans. (a)

As per the final data of Census 2011, the child (0-6 years) sex-ratio in Bihar was 935.

30. The States/Union Territories of India having the highest percentage of SC and ST population in their total population as per 2011 Census are

- (a) Uttar Pradesh and Mizoram
(b) West Bengal and Nagaland
(c) Punjab and Lakshadweep
(d) Bihar and Meghalaya
(e) None of the above/More than one of the above

B.P.S.C. CDPO 2018

Ans. (c)

Scheduled Castes and Scheduled Tribes comprise about 16.6% and 8.6% of Indian population (According to the 2011 census). Punjab had the highest percentage of its population as Scheduled Castes and Lakshadweep and Mizoram had the highest percentage of its population as Scheduled Tribes.

31. Which of the following States has the largest number of people belonging to Scheduled Caste?

- (a) Bihar (b) West Bengal
(c) Uttar Pradesh (d) Punjab

53rd to 55th B.P.S.C. (Pre) 2011

Ans. (c)

As per Census 2011, top 5 States with highest Scheduled Castes population in descending order are as follows :
1. Uttar Pradesh (41357608), 2. West Bengal (21463270),
3. Bihar (16567325), 4. Tamil Nadu (14438445), 5. Andhra Pradesh (13878078).

32. The State of India with the highest percentage of tribal population to its total population as per the 2011 Census is:

- (a) Arunachal Pradesh (b) Nagaland
- (c) Mizoram (d) Meghalaya
- (e) None of the above / More than one of the above

66th B.P.S.C. (Pre) 2020

Ans. (c)

As per 2011 Census, the highest percentage of tribal population to its total population is in Mizoram (94.4%) among all the States in India, while among the Union Territories, it is highest in Lakshadweep (94.8%).

33. According to the Census of India, 2011, which Scheduled Tribe is largest in India?

- (a) Sandia (b) Kol
- (c) Bhil (d) Gond
- (e) None of the above/More than one of the above

67th B.P.S.C. (Re-Exam) (Pre)2021

Ans. (c)

According to the Census of 2011, Bhil scheduled tribe is largest in India (17071049) and Gond tribal population (13256928) is next in the sequence.

34. Which State has the highest number of fully covered tribal habitations with the safe drinking water?

- (a) Madhya Pradesh (b) Odisha
- (c) Rajasthan (d) Jharkhand
- (e) None of the above/More than one of the above

63rd B.P.S.C. (Pre) 2017

Ans. (a)

Among all Indian States, Madhya Pradesh has the highest number of tribal habitations (55770) fully covered with the safe drinking water facility.

35. What does infant mortality rate refer to?

- (a) The ratio of number of children who die before their fifth birthday out of every 1000 live births
- (b) The ratio of number of children who die before their first birthday out of every 1000 live births
- (c) The ratio of number of children who die before their fifth birthday out of every 100 live births
- (d) The ratio of number of children who die before their first birthday out of every 100 live births

56th to 59th B.P.S.C. (Pre) 2015

Ans. (b)

The **Infant Mortality Rate (IMR)**, which is widely accepted as a crude indicator of the overall health scenario of a country or a region, is defined as the infant deaths (less than one year) per thousand (1000) live births in a given time period (generally during a year) and for a given region. Hence, both of the given statements are incorrect.

Note : The current infant mortality rate for India in 2024 is 25.799 deaths per 1000 live births.

- The IMR for India in 2023 was 26.619 deaths per 1000 live births.

36. Which State has topped the list of States with most number of beggars, as per data released by the Union Ministry of Social Justice?

- (a) West Bengal (b) Andhra Pradesh
- (c) Bihar (d) Uttar Pradesh
- (e) None of the above/More than one of the above

63rd B.P.S.C. (Pre) 2017

Ans. (a)

According to the data released by the Union Ministry of Social Justice in March 2018, there are total 413670 beggars in the country as per Census 2011. The highest number of beggars is in West Bengal (81244) which is followed by Uttar Pradesh (65835). SMILE Scheme has been started for the persons engage in the act of begging.

37. In the following P.I.O. card scheme is related to-

- (i) It means persons of Indian origin who have residence abroad.
- (ii) Visa is required for P.I.O. card holders.
- (iii) It includes residents of Bangladesh and Pakistan.
- (iv) They can avail facilities to acquire, hold, exchange and sell immovable property, including agricultural and plantation property, anywhere in India.

- (a) (i) and (ii) only (b) (i), (ii) and (iii) only
- (c) only (i) (d) all four

43rd B.P.S.C. (Pre) 1999

Ans. (c)

P.I.O. (Person of Indian Origin) card scheme from the given options only the first option matches. P.I.O. Card holders will not require a visa to visit India. Citizens of Bangladesh and Pakistan P.I.O. Card will not be allotted. P.I.O. cardholder can avail the facilities of acquisition, possession, exchange and sale of immovable property anywhere in India except agricultural and plantation properties.

38. As per Census 2011, which one of the following is not correct?

- (a) The density of population of India is 382 persons/km².
- (b) The lowest sex ratio has been recorded in Punjab.
- (c) Meghalaya has the highest decadal population growth rate during the year 2001-2011.
- (d) The lowest female literacy rate is found in Rajasthan.
- (e) None of the above / More than one of the above

B.P.S.C. Auditor 2021

Ans. (e)

The given correct statement—

- As per Census 2011, The density of population of India is 382 persons/km².
- Meghalaya state has the highest decadal population growth rate during the year 2001-2011.
- The lowest female literacy rate is found in Bihar—
 - ♦ Male Literacy Rate — 71.20%
 - ♦ Female Literacy Rate — 51.5%
- Haryana has the lowest sex ratio in India i.e. 879 female per thousand male.

39. According to Census 2011, the highest percentage of Scheduled Tribe population is found in the State of

- (a) Meghalaya
- (b) Nagaland
- (c) Mizoram
- (d) Arunachal Pradesh
- (e) None of the above / More than one of the above

B.P.S.C. Auditor 2021

Ans. (c)

According to the 2011 Census, in overall category Lakshadweep has the highest proportion of Scheduled Tribe (ST) population at 94.8%. In State Category—Highest percentage of population is in Mizoram (94.4%) followed by Nagaland (86.5%). Conversely, Uttar Pradesh has the lowest percentage of Scheduled Tribe population (0.6%).

40. Among the following religious groups, which one has recorded the highest percentage of literacy rate as per the 2011 Census?

- (a) Christians
- (b) Hindus
- (c) Sikhs
- (d) Jains
- (e) None of the above/More than one of the above

65th B.P.S.C. (Pre) 2019

Ans. (d)

As per the 2011 Census, Jains has recorded the highest percentage of literacy rate in India.

India : Urbanization

1. Usually industrially urban centers surround by which of the following?

- (a) Coastal hinterland
- (b) Agricultural urban hinterland
- (c) Agricultural rural hinterland
- (d) More than one of the above
- (e) None of the above

BPSC (Tre-3) {Class 6-8}–2024

Ans. (c)

In the pre-Independence period, most manufacturing units were located in places from the point of view of overseas trade such as Mumbai, Kolkata, Chennai, etc. Consequently, there emerged certain pockets of industrially developed urban centres surrounded by a huge agricultural rural hinterland.

2. As per 2011 Census the urban population percentage to total population of India was about :

- (a) 21
- (b) 31
- (c) 36
- (d) 40
- (e) None of the above/More than one of the above

64th B.P.S.C. (Pre) 2018

Ans. (b)

According to final figures of Census 2011, the total population of India is 1210854977, of which the rural population is 833748852 (68.9%) and the urban population is 377106125 (31.1%). According to the provisional data of Census 2011, the proportion of urban population to the total population of India was 31.16 percent. Hence, option (b) is the correct answer.

3. From which of the following sources India gets maximum electricity?

- (a) water
- (b) thermal
- (c) nuclear
- (d) non-traditional

41st B.P.S.C. (Pre) 1996

Ans. (b)

India receives maximum electricity from thermal sources. According to the data released by the Ministry of Power, Government of India, as on June 2024, India's installed generation capacity is 446190 MW, in which the share of fossil fuel around (56%), hydropower around (12%) and nuclear power around (1.8%).

World : Population & Urbanization

1. During 10000 BC, the population of the world was :

- (a) 2 million
- (b) 3 million
- (c) 4 million
- (d) 5 million
- (e) None of the above / More than one of the above

63rd B.P.S.C. (Pre) 2017

Ans. (*)

Estimates of the population of the world at the time agriculture emerged around 10,000 BC have ranged between 1 million and 10 million. Hence, option (e) is the correct answer.

2. Which one of the following countries of the world has the largest Indian population as on December 2018?

- (a) United Arab Emirates
- (b) Malaysia
- (c) United Kingdom
- (d) United States of America
- (e) None of the above / More than one of the above

66th B.P.S.C. (Pre) 2020

Ans. (a)

As per the data available on the website of Indian Ministry of Foreign Affairs, United Arab Emirates is the country which has the largest Indian population as on December 2018, while Saudi Arabia has the second largest Indian population. As per the current data of Ministry of External Affairs, United states of America has largest population of Overseas Indians and then United Arab Emirate.

E. MISCELLANEOUS

1. Which state has made roof top rainwater harvesting structure compulsory to all houses across the state?

- (a) Kerala
- (b) Tamil Nadu
- (c) Karnataka
- (d) More than one of the above
- (e) None of the above

BPSC (Tre-3) {Class 6-8}–2024

Ans. (b)

Tamil Nadu is the first and the only state in India which has made roof top rainwater harvesting structure compulsory to all the houses across the state. To stop groundwater depletion, the project began in 2001 and has since been initiated in all of Tamil Nadu's rural areas. Rainwater harvesting is promoted through posters in Tamil Nadu, including rural areas.

2. Which Indian state is first to follow the recommendations and exercises mentioned under Sendai framework agreement?

- (a) Bihar
- (b) Madhya Pradesh
- (c) Chhattisgarh
- (d) More than one of the above
- (e) None of the above

BPSC (Tre-3) {Class 6-8}–2024

Ans. (a)

Bihar is probably the first state to follow the recommendations and exercises mentioned under Sendai Framework agreement. The Sendai Framework for Disaster Risk Reduction is an international document that was adopted by the United Nations member states on 18 March 2015 at the World Conference on Disaster Risk Reduction held in Sendai, Japan and endorsed by the UN General Assembly in June 2015.

3. In which decades was the rationing system introduced in India?

- (a) 1960s
- (b) 1950s
- (c) 1940s
- (d) More than one of the above
- (e) None of the above

BPSC (Tre-3) {Class 6-8}–2024

Ans. (c)

Rationing is a system of allocating limited resources, such as food, clothing, and fuel, to a population on a regular basis. It is usually implemented during times of war or other emergencies when the supply of essential goods is limited. The Rationing System was introduced in India during the 1940s, a decade marked by the Second World War. India was then under British rule, and the war had a severe impact on the country's economy and resources. It was also the period of Bengal famine. Food shortages were a common problem, and the government had to take decisive steps to ensure that the population had access to essential goods.

4. IREDA was developed by the Government of India for

- (a) To promote only conventional energy sources
- (b) To control pollution
- (c) To develop nuclear energy in India
- (d) More than one of the above
- (e) None of the above

BPSC (Tre-3) {Class 6-8}–2024

Ans. (e)

Indian Renewable Energy Development Agency Limited (IREDA) was established on 11th March, 1987 as a Public limited Government Company under the Companies Act, 1956 and it promotes, develops and extends financial assistance for Renewable Energy and Energy Efficiency/ Conservation Projects.

5. Who wrote the book, Indian Economic Crisis?

- (a) K. N. Raj
- (b) A. K. Sen
- (c) C. T. Kurien
- (d) L. C. Jain
- (e) None of the above / More than one of the above

B.P.S.C. CDPO 2022

Ans. (c)

Indian Economic Crisis: A Diagnostic Study was written by C. T. Kurien. The book is the study of the crisis in the economy and of economic policy of India - covers economic theory, savings, investment, economic planning for economic growth, inflation, and the possibility of adopting a socialist system. C. T. Kurien is a professor of economics, now retired and reside in Bangalore, wrote many books on economics. He was chairman of the Madras Institute of Development Studies from 1997 to 2003, when he retired from academic work.

6. Due to oil crisis, most of the developed countries faced the problem of

- (a) inflation
- (b) deflation
- (c) stagflation
- (d) demand and supply
- (e) None of the above / More than one of the above

B.P.S.C. CDPO 2022

Ans. (a)

Crude oil is a major economic input, so a rise in oil prices contributes to inflation, which measures the overall rate of price increases across the economy. Higher oil prices contribute to inflation directly and by increasing the cost of inputs. There was a strong correlation between inflation and oil prices during the 1970s. Oil's potential to stoke inflation has declined as the U.S. economy has become less dependent on it now.

7. Which of the following statements about non-plan expenditures of the Central Government is correct?

- (a) The expenditure is on interest payments.
- (b) The expenditure is on science and technology.
- (c) The expenditure is on agriculture.

- (d) None of the above

69th B.P.S.C. (Pre) 2023

Ans. (a)

Interest payments come under non-plan expenditure while expenditure on science and technology and agriculture are plan expenditure.

8. "Inflation is unjust but deflation is inexpedient." Who said this?

- (a) J. R. Hicks
- (b) Mrs. Joan Robinson
- (c) J. M. Keynes
- (d) A. C. Pigou
- (e) None of the above / More than one of the above

B.P.S.C. Project Manager Prelims 2021

Ans. (c)

The quote "Inflation is unjust but deflation is inexpedient" is often attributed to John Maynard Keynes, an influential British economist. He is best known for his work on macro economic theories and policies.

9. The Insolvency and Bankruptcy Code became operational in

- (a) 2016
- (b) 2017
- (c) 2018
- (d) 2019
- (e) None of the above / More than one of the above

B.P.S.C. Project Manager Prelims 2021

Ans. (a)

The Insolvency and Bankruptcy Code of 2016 (IBC), implemented on May 28, 2016, amidst a rising tide of non-performing loans, aims to create a comprehensive system for expeditious insolvency resolution of corporate entities, partnership firms, and individuals, in a time-bound manner.

10. In which budget did the Finance Minister announce the Liberalized Exchange Rate Management System?

- (a) Union Budget, 1993-1994
- (b) Union Budget, 1991-1992
- (c) Union Budget, 1992-1993
- (d) More than one of the above
- (e) None of the above

68th B.P.S.C. (Pre) 2022

Ans. (c)

In Union Budget, 1992-93, the Finance Minister announced the Liberalized Exchange Rate Management System. The Liberalized Exchange Rate Management System refers to a flexible and market-driven approach to managing a country's exchange rate.

11. India's first floating financial literacy camp was organized recently by India Post Payments Bank in which of the following locations?

- (a) Kerala (b) Srinagar
(c) Andaman Islands (d) More than one of the above
(e) None of the above

68th B.P.S.C. (Pre) 2022

Ans. (b)

India's first floating financial literacy camp was organised by India Post Payments Bank in Dal Lake of Srinagar, J&K in November 2022 under Niveshak Didi. Camp focus was to raise financial awareness on 'For the women, by the women' approach.

12. National Waterway-1 connects-

- (a) Kottapuram to Kollam (b) Sadiya to Dhubri
(c) Haldia to Allahabad (d) Haldia to Kolkata
(e) None of the above / more than one of the above

63rd B.P.S.C. (Pre) 2017

Ans. (c)

The part of Bhagirathi- Hooghly Ganga river system from 'Allahabad to Haldia' has been declared as National Waterway No-1. It was established in the year 1986. Its total length is 1620 km. It is the longest inland waterway of the country. At present a total of 13 National Waterways are currently operational in India. A total of 111 waterways have been declared as National Waterways by the National Waterways Act, 2016.

13. According to Forbes magazine, the richest person in the world in 2007 is-

- (a) Carlos Slim Helu (b) Bill Gates
(c) Lakshmi Mittal (d) Warren Buffett

48th to 52nd B.P.S.C. (Pre) 2008

Ans. (d)

Warren Buffett was the world's richest man in 2007, according to Forbes magazine during the Question Hour. Elon Musk (owner of Space X and Tesla) has topped the Forbes World's billionaire list in the year 2023 (July) with \$240.7 billion. Still in 2024 Elon Musk is the richest person in the world.

14. In which year the Railway Budget was merged with the General Budget in India?

- (a) 2015 (b) 2016
(c) 2017 (d) 2018
(e) None of the above

67th B.P.S.C. (Pre) 2021

Ans. (c)

In the year 2017, the Railway Budget was merged with the General Budget. In the year 2017, in the general budget itself, the railway budget was presented by the then Finance Minister Arun Jaitley.

15. Diesel prices were increased recently-

- (a) To increase the income of the government
(b) Arbitrary decision of the government
(c) To fix prices accordingly at the level of international prices, which is a follow-up to the steps taken by the previous government.
(d) none of these

43rd B.P.S.C. (Pre) 1999

In the year 1999, the government spent Rs. 1 per liter cess was imposed on diesel for road development. Due to which diesel prices were increased by Rs.1. Again, to adjust the domestic diesel prices to the international price, the government increased the diesel price by 32 to 34 paise per litre. Since 2014, the diesel price completely determined by international market prices.

16. Which statement is not true about the poverty estimates based on the 68th round of NSSO?

- (a) The poverty line defined at ₹27.20 per capita per day for rural areas.
(b) The poverty line defined at ₹33.33 per capita per day for urban areas.
(c) The 21.9 per cent population of India was living below the poverty line.
(d) The 33.35 per cent population of India was living below the poverty line.
(e) None of the above/More than one of the above

67th B.P.S.C. (Re-Exam) (Pre) 2021

Ans. (d)

According to the report submitted by Tendulkar committee in the year 2012 (based on NSSO Survey) statements (a), (b) and (c) are correct while statement (d) is incorrect. Hence option (d) is the correct answer.

Environment and Ecology

1. Environment is a composite state of :

- (a) Biotic factors
- (b) Physiographic factors
- (c) Abiotic factors
- (d) All of the above.

53rd to 55th B.P.S.C. (Pre) 2011

Ans. (d)

The environment may be divided into biotic and abiotic environments. The biotic environment is made up of biotic factors, i.e. all living things in the environment. The abiotic or physical environment is made up of all the physical factors that affect organisms, e.g. temperature, light intensity, the amount of available water etc.

2. What is the thin layer of gases around the earth called?

- (a) Biosphere
- (b) Water particle
- (c) Atmosphere
- (d) Hydrosphere

44th B.P.S.C. (Pre) 2000

Ans. (c)

The thin layer of gases surrounding the earth is called the atmosphere. The majority of the Earth's atmosphere consists of a high amount of Nitrogen, along with smaller amounts of Oxygen and Carbon dioxide.

3. The atmosphere is mainly heated by the

- (a) long-wave terrestrial radiation
- (b) short-wave solar radiation
- (c) reflected solar radiation
- (d) More than one of the above
- (e) None of the above

68th B.P.S.C. (Pre) 2022

Ans. (a)

The insolation received by the earth is in shortwave forms and heats its surface. The earth after being heated itself becomes a radiating body and it radiates energy to the atmosphere in long-wave form. This energy heat the atmosphere from below. This process is know as terrestrial radiation. The long wave radiation is absorbed by the atmospheric gases particularly by carbon dioxide and the other greenhouse gases. Thus, the atmosphere is indirectly heated by Earth's radiation.

4. Air is a/an:

- (a) Compound
- (b) Element
- (c) Mixture
- (d) Electrolyte

39th B.P.S.C. (Pre) 1994

Ans. (c)

Air is a mixture of gases. By volume, about 78% of this mixture is nitrogen and about 21% is oxygen. Carbon dioxide, argon, methane, ozone and water vapour are also present in very small quantities.

5. The highest percentage of gas in the air is :

- (a) Hydrogen
- (b) Carbon dioxide
- (c) Oxygen
- (d) Nitrogen

41st B.P.S.C. (Pre) 1996

Ans. (d)

The air around us is a mixture of gases, mainly Nitrogen and Oxygen, but containing much smaller amounts of Water vapour, Argon, and Carbon Dioxide and very small amounts of other gases.

Gas	Percentage
Nitrogen (N)	78.08%
Oxygen (O)	20.947%
Argon (Ar)	0.93%
Carbon dioxide (CO ₂)	0.0407%
Neon (Ne)	0.0018%
Helium (He)	0.0005%
Krypton	0.0001%
Hydrogen (H)	0.000053%
Xenon	0.000009%

6. Where was the 4th session of the UN Environment Assembly (UNEA-4) held recently?

- (a) Paris-France
- (b) Ulaanbaatar-Mongolia
- (c) Beijing - China
- (d) Nairobi-Kenya
- (e) None of the above/More than one of the above

65th B.P.S.C. (Pre) 2019

Ans. (d)

The fourth session of the United Nations Environment Assembly (UNEA-4) took place from 11-15 March 2019 in Nairobi, Kenya. The theme of UNEA-4 was "Innovative solutions for Environmental Challenges and Sustainable Consumption and Production". It is noteworthy that the fifth session of UNEA took place (Virtually) in Nairobi in February 2021, under the theme, " Strengthening Actions for Nature to Achieve the Sustainable Development Goals". A resumed in-person session of UNEA-5 is scheduled to take place from 28th February-2 March, 2022. The overall theme for UNEA-5 was "Strengthening Actions for Nature to Achieve the Sustainable Development Goals."

7. The tallest known living tree:

- (a) Eucalyptus (b) Sequoia
(c) Deodar (d) Parnang

40th B.P.S.C. (Pre) 1995

Ans. (b)

The tallest known tree is Redwood (Sequoia Sempervirens). It is found in California (U.S.A.). This species includes the tallest living trees on Earth, reaching up to 367 feet (111.862 m) in height.

8. The Ramsar Convention is associated with the conservation of

- (a) drylands (b) wetlands
(c) forests (d) More than one of the above
(e) None of the above

B.P.S.C. PRT 2023 Shift II

Ans. (b)

The Convention on Wetlands of International Importance, more commonly known as the Ramsar Convention, is an international agreement promoting the conservation and wise use of wetlands. The definition of the word 'wetland', under the convention, is any land area that is saturated or flooded with water, either seasonally or permanently. Inland wetlands include acqifers, lakes, rivers, streams, marshes, peatlands, ponds, flood plains and swamps. Coastal wetlands include all coastlines, mangroves saltmarshes, estuaries, lagoons, seagrass meadows and coral reefs.

9. Among the following pairs of Ramsar Site and State, which one of the following is not correctly matched?

- (a) Sur Sarovar-Uttar Pradesh (b) Thol-Gujarat
(c) Ashtamudi-Kerala (d) Lonar-Rajasthan
(e) None of the above / More than one of the above

B.P.S.C. Assistant Audit Officer 2022

Ans. (d)

Correctly matched Ramsar sites and States -

Ramsar Sites	States
Sur-Sarovar	Uttar Pradesh
Thol	Gujarat
Ashtamudi	Kerala
Lonar	Maharashtra

As of 31 January 2024, India has a total of 80 Ramsar sites. India became a party to the Convention in 1982.

10. Bihar's first Ramsar Site is located in:

- (a) Begusarai (b) Banka
(c) Bhagalpur (d) Bhojpur
(e) None of the above/More than one of the above

66th B.P.S.C. Re-Exam 2020

Ans. (a)

Bihar's first Ramsar Site Kabartal Wetland is located in Begusarai District of the State. Kabartal Wetlands covers an area of 26.20 square kilometers and declared as Ramsar Sites on 21st July, 2020.

11. Which gas contributes to global warming through its greenhouse effect?

- (a) Carbon dioxide (b) Nitrous oxide
(c) Methane (d) More than one of the above
(e) None of the above

68th B.P.S.C. (Pre) 2022

Ans. (d)

Several green house gases contribute to global warming through their greenhouse effect. The major greenhouse gases are—

1. Carbon dioxide (CO₂)
2. Methane (CH₄)
3. Nitrous Oxide (N₂O)
4. Fluorinated Gases (HFCs, PFCs & SF₆)

These green house gases trap heat in the Earth's atmosphere, preventing it from escaping into space. As a result, they contribute to the greenhouse effect, which leads to an increase in global temperatures and contributes to climate change.

12. Which of the following is a greenhouse gas?

- (a) Carbon dioxide (b) Ozone
(c) CFC (d) Methane
(e) None of the above / More than one of the above

B.P.S.C. CDPO 2022

Ans. (e)

See the explanation of the above question.

13. The main component of greenhouse gases is:

- (a) Carbon dioxide (b) Methane
(c) Nitrous oxide (d) Ozone
(e) None of the above/More than one of the above

64th B.P.S.C. (Pre) 2018

65th B.P.S.C. (Pre) 2019

Ans. (e)

The six major gases identified as Green House Gases by Intergovernmental Panel on climate change include CH₄, CFC, and N₂O. While sulphur dioxide (SO₂) is not a greenhouse gas, it is responsible for acid rain. The Bihar Public Service Commission has marked the correct answer as option (e) whereas they have considered option (c) as correct in the previous answer sheet. Probably this would have been done on the basis of direct and indirectly involved gases in greenhouse effect. The gases directly responsible for greenhouse effect are – Carbon dioxide (CO₂), Methane (CH₄), Nitrous Oxide (N₂O), CFC, SF₆, NF₃, etc. While the gases indirectly responsible for green house effect include - Nitrogen oxide (NO_x), Carbon monoxide (CO), Non-methane volatile organic compounds (NMVOC) and sulphur dioxide (SO₂).

14. Which of the following gas is responsible for the depletion of Ozone Layer?

- (a) Carbon dioxide (b) Carbon monooxide
(c) Nitrous oxide (d) Chlorofluorocarbon

42nd B.P.S.C. (Pre) 1997

Ans. (d)

Ozone depletion occurs when chlorofluorocarbons (CFCs) are released into the atmosphere. These gases, through several chemical reactions, cause the ozone molecules to break down, reducing ozone's ultraviolet radiation absorbing capacity.

15. What is the theme of the 2018 International Day of Forests?

- (a) Forests and Water
(b) Forests and Energy
(c) Forests and Sustainable cities
(d) Forests and Life
(e) None of the above/More than one of the above

63rd B.P.S.C. (Pre) 2017

Ans. (c)

The United Nations General Assembly proclaimed 21st March the International Day of Forests (IDF) in 2012. IDF celebrates and raises awareness of the importance of all types of forests. The theme of IDF 2018 was 'Forests and Sustainable Cities', whereas the theme of 2023 is "Forests and Health".

16. What is the percentage of forest area in the total geographical area of India?

- (a) 24.5 % (b) 21 %
(c) 20 % (d) 22 %

45th B.P.S.C. (Pre) 2001

Ans. (*)

According to India State of Forest Report 2017 released in February, 2018. India is ranked 10th in the world, with 24.4% of land area under forest and tree cover. Land area under forest cover was 21.54% and tree cover was 2.85%. According to the recent data of ISFR, 2021, the total Forest cover has been observed as 7,13,789 Sq. km area of the country which is 21.71% of the geographical area of the country.

17. According to India State of Forest Report released in February 2018, how much area of India is covered by forests?

- (a) 23.00% (b) 23.40%
(c) 24.00% (d) 24.40%
(e) None of the above/More than one option

64th B.P.S.C. (Pre) 2018

Ans. (e)

According to the India State of Forest Report-2017, 21.54 percent of the geographical area is under forest cover and 2.85 percent under tree cover (total 24.40 percent). So, the most possible answer is option (b). Recent data (ISFR, 2021) for the above question is 21.71 percent.

18. The largest percentage of forest area is in :

- (a) Arunachal Pradesh (b) Himachal Pradesh
(c) Mizoram (d) Nagaland

44th B.P.S.C. (Pre) 2000

Ans. (c)

According to India State of Forest Report (ISFR) 2021 & 2019, States are given in option has an area under forest-

State	2021	2019
Mizoram	84.53%	85.41%
Arunachal Pradesh	79.33%	79.63%
Nagaland	73.90%	75.31%
Tripura	73.64%	73.68%

19. Which one of the following States has the highest percentage of area under forests?

- (a) Himachal Pradesh (b) Assam
(c) Andhra Pradesh (d) Arunachal Pradesh
(e) None of the above/More than one of the above

63rd B.P.S.C. (Pre) 2017

Ans. (d)

According to India State Forest Report (ISFR) 2021, states are given in option has the highest percentage of area under forests—Arunachal Pradesh (79.33%), Assam (36.09%), Andhra Pradesh (18.28%) and Himachal Pradesh (27.73%). So Arunachal Pradesh has highest percentage of area under forests.

20. In National Park protection is given to—

- (a) Only Fauna
- (b) The whole ecosystem
- (c) Only Flora
- (d) More than one of the above
- (e) None of the above

BPSC (Tre-3) {Class 1-5}–2024

Ans. (b)

An area, notified by the State/Central government by reason of its ecological, faunal, floral, geomorphologic, or zoological association or importance, needed for the purpose of protecting & propagating or developing wildlife therein or its environment. A National Park is the highest level of protection that can be given to an area under the Wildlife (Protection), Act, 1972.

There are 106 existing national parks in India covering an area of 44,402.95 km², which is 1.35% of the geographical area of the country (National Wildlife Database Centre, Nov. 2023).

21. The Indian Council of Forestry Research and Education (ICFRE) has signed MoU with TIFAC for supporting forest-based communities. Where is the headquarters of ICFRE located?

- (a) Hyderabad
- (b) Bengaluru
- (c) Allahabad
- (d) Dehradun
- (e) None of the above/More than one of the above

63rd B.P.S.C. (Pre) 2017

Ans. (d)

Indian Council of Forestry Research and Education (ICFRE) is an apex body in the National forestry research system that promotes and undertakes need based forestry research extension. Its headquarters is located at Dehradun, Uttarakhand.

22. Among the following districts, which one has larger area under dense deciduous forest cover?

- (a) Paschim Champaran
- (b) Gaya
- (c) Kaimur
- (d) Nawada
- (e) None of the above/More than one of the above

65th B.P.S.C. (Pre) 2019

Ans. (a)

Among the given options Paschim Champaran has larger area under dense deciduous forest cover.

23. Which of the following areas in India does not grow tropical wet evergreen forests?

- (a) Eastern Ghats
- (b) Western Ghats
- (c) Andaman Islands
- (d) Northeastern Region
- (e) None of the above/More than one of the above

B.P.S.C. CDPO 2018

Ans. (a)

Tropical Evergreen forests are restricted to heavy rainfall area of the western Ghats and the island group's of Lakshadweep, Andaman and Nicobar, upper parts of Assam and Tamil Nadu coast. They are at their best in area having more than 200 cm of rainfall with a short dry season.

24. In which forest do the majority of species of birds inhabit the mountainous areas?

- (a) Pine forest
- (b) Bush forest
- (c) Oak forest
- (d) More than one of the above
- (e) None of the above

BPSC (Tre-3) {Class 1-5}–2024

Ans. (a)

Mountainous pine forests are critical habitats for a wide range of bird species. The unique ecological characteristics of these forests provide essential nesting sites, food resources, and protection, making them vital for avian biodiversity.

25. India's first Dolphin Observatory is being built in:

- (a) Delhi
- (b) Mumbai
- (c) Bihar
- (d) Odisha
- (e) None of the above/More than one of the above

66th B.P.S.C. Re-Exam 2020

Ans. (c)

India's first Dolphin Observatory 'Vikramshila Gangetic Dolphin Sanctuary' is located in Bhagalpur District of Bihar.

26. The State of India with maximum number of wildlife sanctuaries is :

- (a) Karnataka
- (b) Tamil Nadu
- (c) Maharashtra
- (d) Madhya Pradesh
- (e) None of the above/More than one of the above

66th B.P.S.C. (Pre.) 2020

Ans. (e)

Andaman and Nicobar Island (97) has the maximum number of wildlife sanctuaries (Source - ENVIS centre on wildlife and protected Areas).

27. Which of the following is the only UNESCO World Heritage Site present in Bihar State of India?

- (a) Mahabodhi Vihar
- (b) Buddhist Monastery in Nalanda
- (c) Ancient site of Vikramashila Monastery
- (d) Tomb of Sher Shah Suri
- (e) None of the above/More than one of the above

63rd B.P.S.C. (Pre) 2017

Ans. (e)

Mahabodhi Temple Complex at Bodh Gaya (2002) and Archaeological Site of Nalanda Mahavihar at Nalanada, (2016) are included in the list of UNESCO World Heritage Site in Bihar state of India. Hence option (e) is correct answer.

28. The world's largest population of tigers is in India. It is estimated :

- (a) 6000
- (b) 16000
- (c) 60000
- (d) 10600

40th B.P.S.C. (Pre) 1995

Ans. (*)

The total estimated population of tigers in the world is 3000-4500. India is home to 3167 (According to status of Tigers 2022) tigers which is highest as compared to other countries in the world. Hence, none of the options is correct.

29. Which one of the following is the well- publicised wildlife campaign in the world launched in 1973?

- (a) Sunderbans Project
- (b) Project Tiger
- (c) Lion Project
- (d) More than one of the above
- (e) None of the above

68th B.P.S.C. (Pre) 2022

Ans. (b)

Project Tiger is a Tiger Conservation Programme Launched in April 1973 by the Government of India during Prime Minister Indira Gandhi's tenure. The project aims at ensuring a viable population of tigers in their natural habitats. Protecting them from extinction, and preserving area of biological importance as a natural heritage forever represented as close as possible the diversity of ecosystems across the distribution of tigers in the country.

30. Which one of the following is *not* included under *in situ* conservation?

- (a) Botanical Garden
- (b) National Park
- (c) Wildlife Sanctuary
- (d) More than one of the above
- (e) None of the above

B.P.S.C. PRT 2023 Shift II

Ans. (a)

In situ conservation invites the maintenance of genetic variation at the location where it is encountered or in setu conservation, the organisms or ecosystem is conserved in their surroundings. It includes biosphere reserves, national parks, wildlife sanctuaries etc.

31. Which one of the following National Parks is not correctly matched?

- (a) Guindy — Tamil Nadu
- (b) Bhagwan Mahavir — Bihar
- (c) Balpakram — Meghalaya
- (d) More than one of the above
- (e) None of the above

BPSC (Tre-3) {Class 1-5}-2024

Ans. (b)

Correctly matched National Parks –

- Guindy ----- Tamil Nadu
- Bhagwan Mahavir ----- Goa
- Balpakram ----- Meghalaya

32. Sultanpur Bird Sanctuary is situated in –

- (a) Chandigarh
- (b) Bharatpur
- (c) Gurgaon
- (d) Gandhi Nagar

56th to 59th B.P.S.C. (Pre) 2015

Ans. (c)

Sultanpur Bird Sanctuary is located in Gurgaon (Now Gurugram) district of Haryana. These are essentially a bird watcher's Paradise with few trees obscuring the visitor view of the Lake. The bird here can be easily spotted wearing, swimming or flying. Every year almost 90 migratory bird species arrive here in search of feeding ground and to spend the winter.

33. The Salim Ali Bird Sanctuary is located in

- (a) Uttar Pradesh
- (b) Madhya Pradesh
- (c) West Bengal
- (d) More than one of the above
- (e) None of the above

B.P.S.C. PRT 2023 Shift II

Ans. (e)

Salim Ali Bird Sanctuary is an estuarine mangrove habitat, which is declared as the bird sanctuary and located on western tip of the Island of Chorao along the Mandovi river, Goa in India.

34. Which of the following is the largest storehouse of alternative energy?

- (a) Solar Energy
- (b) Tidal Energy
- (c) Nuclear Energy
- (d) Geo-Thermal Energy

40th B.P.S.C.. (Pre) 1995

Ans. (a)

Solar energy is radiant light and heat from the sun that is harnessed using a range of ever-evolving technologies such as solar heating, photo-voltaic's, solar thermal energy etc. It is an important source of renewable energy and its technologies are broadly characterized as either passive solar or active solar depending on how they capture and distribute solar energy or convert it into solar power.

35. Solar energy is drawn from which of the following :

- (a) Moon
- (b) Ocean
- (c) Sun
- (d) Wind

44th B.P.S.C.. (Pre) 2000

Ans. (c)

See the explanation of the above question.

36. The major component of CNG is:

- (a) CO₂
- (b) N₂
- (c) H₂
- (d) CH₄
- (e) None of the above/More than one of the above

66th B.P.S.C. Re-Exam 2020

Ans. (d)

The use of diesel and petrol as fuels in automobiles is being replaced by CNG (Compressed Natural Gas), because CNG produces the harmful products in very small amounts. The major component of CNG is the first member of the alkanes family that is Methane (CH₄).

37. Which is the first Indian airline company that used biofuel as ATF in August 2018?

- (a) Jet Airways
- (b) Vistara
- (c) Air India
- (d) SpiceJet
- (e) None of the above/More than one of the above

64th B.P.S.C.. (Pre) 2018

Ans. (d)

On August 27, 2018, SpiceJet successfully conducted India's first ever Bio Fuel powered flight. The airline successfully undertook the flight on the Dehradun-Delhi route. SpiceJet used its Bombardier Q400 aircraft for this flight.

38. The International Solar Alliance (ISA) has recently signed a pact with which international organization to promote solar energy deployment in Asia and Pacific?

- (a) Asian Infrastructure Investment Bank
- (b) New Development Bank
- (c) African Development Bank
- (d) Asian Development Bank
- (e) None of the above/More than one of the above

63rd B.P.S.C. (Pre) 2017

Ans. (d)

In March 2018, the International Solar Alliance (ISA) has signed a pact with the Asian Development Bank (ADB) to promote solar energy deployment in Asia and the Pacific.

39. Which district has become the India's first district to have 100% solar-powered health centres?

- (a) Kolkata
- (b) Chennai
- (c) Bengaluru
- (d) Surat
- (e) None of the above/More than one of the above

63rd B.P.S.C. (Pre) 2017

Ans. (d)

Surat district of the Gujarat, becomes the first district in the country to have 100 percent solar powered Primary Health Centres (PHCs). As on 26th March, 2018, all 52 PHCs in the district are powered by a solar system.

40. Which of the following smart cities has become the India's first city to run on 100% renewable energy during daytime?

- (a) Bengaluru
- (b) Jaipur
- (c) Indore
- (d) Diu
- (e) None of the above/More than one of the above

63rd B.P.S.C. (Pre) 2017

Ans. (d)

Diu Smart City has become the first city in India, to runs 100 percent renewable energy during daytime.

41. Pollutant emission gas in vehicle exhaust is mainly –

- (a) Carbon dioxide (b) Carbon monoxide
- (c) Marsh gas (d) Nitrogen oxide

44th B.P.S.C. (Pre) 2000

Ans. (b)

Carbon monoxide is the main pollutant emission gas in vehicle exhaust.

42. Inhalation of air polluted with carbon monoxide (CO) is dangerous because

- (a) CO combines with oxygen in blood
- (b) CO combines with hemoglobin
- (c) CO removes water from the body and causes dehydration
- (d) CO causes coagulation of proteins in the body
- (e) None of the above / More than one of the above

B.P.S.C. CDPO 2022

Ans. (b)

Carbon monoxide is harmful because it binds to hemoglobin in the blood, reducing the ability of blood to carry oxygen. This interferes with oxygen delivery to the body's organs. The most common effects of CO exposure are fatigue, headaches, confusion, and dizziness due to inadequate oxygen delivery to the brain.

43. The component(s) of acid rain is/are:

- (a) HNO_3
- (b) H_2SO_4
- (d) CO_2
- (e) Both (a) and (b)
- (e) None of the above/More than one of the above

66th B.P.S.C. Re-Exam 2020

Ans. (d)

Acid rain is caused by a chemical reaction that begins when a compound like sulphur dioxide and nitrogen oxides are released into the air. These substances can rise very high into the atmosphere where they mix and react with water, oxygen and other chemical to form more acidic pollutants. When these pollutants fall on the surface with rain, it is termed acid rain. Normally, the pH value of acid rain is less than 5.6. Notably, the pH value of pure water is 7.0.

44. Acid rain is caused by –

- (a) Industries (b) Petrol
- (c) Burning coal (d) Wood

47th B.P.S.C. (Pre) 2005

Ans. (a)

While a small portion of sulphur dioxide and nitrogen oxide that causes acid rain is from natural resources such as volcanoes, most of it comes from the burning of fossil fuels. The major sources of sulphur dioxide and nitrogen oxide in the atmosphere are -

- Burning of fossil fuels,
- Vehicles and heavy equipment,
- Manufacturing, oil refineries and other industries.

45. Earth Day is celebrated on every 22nd April related with–

- (a) End of the Second World War day
- (b) Declaration of no use of nuclear weapons on earth planet
- (c) Public awareness about environment issues
- (d) More than one of the above
- (e) None of the above

BPSC (Tre-3) {Class 1-5}–2024

Ans. (c)

Earth Day is celebrated on April 22 every year. It's a global event that aims to raise awareness about environmental issues and encourage people to take action to protect the planet. Earth Day was first observed on April 22, 1970, when an estimated 20 million people nationwide attended the inaugural events at tens of thousands of sites including elementary and secondary schools, universities, and community sites across the United States. When this year 2024 its theme is "Planet vs Plastic".

46. The major and top source of oxygen in the atmosphere is

- (a) Photosynthesis by forest plants
- (b) Photosynthesis by oceanic plants
- (c) Photosynthesis by grassland ecosystem
- (d) More than one of the above
- (e) None of the above

BPSC (Tre-3) {Class 1-5}–2024

Ans. (b)

The use of energy from sunlight by plants doing photosynthesis is the basis of life on Earth. Photosynthesis is important due to two reasons: it is the primary source of all food on Earth. It is also responsible for the release of oxygen into the atmosphere by green plants.

Scientists estimate that roughly half of the oxygen production on Earth comes from the ocean. The majority of this production is from oceanic plankton — drifting

plants, algae, and some bacteria that can photosynthesize. One particular species, *Prochlorococcus*, is the smallest photosynthetic organism on Earth. But this little bacteria produces up to 20% of the oxygen in our entire biosphere. That's a higher percentage than all of the tropical rainforests on land combined.

47. The Union Cabinet has approved MoU between India and SACEP for cooperation on oil and chemical pollution in the South Asian seas region. What does SACEP stand for?

- (a) South Asia Compatibility Environment Programme
- (b) South Asia Cooperative Environment Programme
- (c) South Asia Connectivity Environment Programme
- (d) South Asia Coercive Environment Programme
- (e) None of the above/More than one of the above

63rd B.P.S.C. (Pre) 2017

Ans. (b)

In 2018, the Union Cabinet has approved MoU (Memorandum of Understanding) between India and SACEP for cooperation on Oil and Chemical Pollution in the South Asian Seas Region. Here SACEP stands for 'South Asia Cooperative Environment Programme'.

48. SPMs are used for tracking air quality and for regulating air pollution. Here SPM stands for

- (a) Solidified Particulate Matter
- (b) Suspended Particulate Matter
- (c) Soluble Particulate Matter
- (d) More than one of the above
- (e) None of the above

BPSC (Tre-3) {Class 1-5}–2024

Ans. (b)

Suspended particulate matter (SPM) is a type of air pollution that refers to solid and liquid particles suspended in the air. These particles can come from a variety of sources, including: Industrial emissions, Traffic, Construction, Agriculture, and Natural sources like dust and pollen. SPM can be harmful to human health. The smallest particles are the most harmful, and can cause respiratory and cardiovascular diseases.

49. The name of India's third research station in Antarctica?

- (a) Bharati
- (b) Swagatam

(c) Hindustan

(d) Maitri

53rd to 55th B.P.S.C. (Pre) 2011

Ans. (a)

Bharati is an Antarctic research station commissioned by India. It is India's third Antarctic research facility and one of the two active research stations alongside Maitri.

50. The five rhino range nations, who signed a declaration "The New Delhi Declaration on Asian Rhinos 2019" are India, Nepal, Malaysia, Indonesia and :

- (a) Vietnam
- (b) Thailand
- (c) Myanmar
- (d) Bhutan
- (e) None of the above/ more than one of the above

65th B.P.S.C. (Pre) 2019

Ans. (d)

India and four rhino range nations (Nepal, Malaysia, Indonesia and Bhutan) have signed a declaration 'The New Delhi Declaration on Asian Rhinos 2019' for the conservation and protection of the species at the recently held Second Asian Rhino Range countries meeting. It is noteworthy that Second Asian Rhino Range countries meeting (from February 26 to 28 in 2019) was held at New Delhi and organized by the Ministry of Environment, Forest and Climate Change of Government of India in collaboration with the IUCN Asian Rhino Specialist Group, WWF - India and Aaranyak.

51. The United Nations Biodiversity Conference (COP 15) ended on 19th December, 2022 in

- (a) New Delhi
- (b) Montreal
- (c) New York
- (d) Shanghai

B.P.S.C. Assistant Mains (GK) Paper II 2023

Ans. (b)

The United Nations Biodiversity Conference (COP15) ended in Montreal, Canada on 19 December 2022. It is the international agreement to protect 30% of land and oceans by 2030 (30 by 30) and the adoption of the Kunming-Montreal Global Biodiversity Framework.

52. How many Indian beaches have been recommended for the Blue Flag Certification recently?

- (a) Six
- (b) Seven
- (c) Eight
- (d) Nine
- (e) None of the above/More than one of the above

66th B.P.S.C. (Pre) 2020

Ans. (c)

Eight Indian beaches spread across five states and two union territories, have been awarded the 'Blue Flag Certification' by an eminent international jury, comprising members of UNEP (United Nations Environment Programme), UNWTO (United Nations World Tourism Organization), FEE (Foundation for Environment Education) and IUCN (International Union for Conservation of Nature). The beaches that have been awarded the 'Blue Flag' are Shivrajpur (Dwarka-Gujarat), Ghoghla (Diu), Kararkod and Padubidri (Karnataka), Kappad (Kerala), Rushikonda (Andhra Pradesh), Radhanagar (Andaman & Nicobar Islands) and Golden beach (Puri-Odisha). India now has 12 Blue Flag beaches, an eco-label given to the cleanest beaches in the World.

53. Which one of the following is the world's richest region from a marine biodiversity perspective, comprising 21 islands with estuaries, beaches, forests of the nearshore environment, seagrasses, coral reefs, salt marshes and mangroves?

- (a) Sunderbans Biosphere Reserve
- (b) Gulf of Mannar Biosphere Reserve
- (c) Nanda Devi Biosphere Reserve
- (d) More than one of the above
- (e) None of the above

68th B.P.S.C. (Pre) 2022

Ans. (b)

The Gulf of Mannar Biosphere Reserve covers an area 10,500 Square Kilometer on the south-east coast of India across from Sri Lanka. It is one of the world richest regions from a marine biodiversity perspective. The biosphere reserve comprises 21 islands with estuaries, beaches, forests of the nearshore environment, including a marine component with algal communities, sea grasses, coral reefs, salt marshes and mangroves.

54. In which of the following states of India, the maximum teak forest is found?

- (a) Bihar
- (b) Karnataka
- (c) Madhya Pradesh
- (d) More than one of the above
- (e) None of the above

BPSC (Tre-3) {Class 1-5}–2024

Ans. (c)

Madhya Pradesh has the maximum teak forest in India. Teak is a tropical hardwood tree species. It is a large, deciduous tree that occurs in mixed hardwood forests. Teak is one of the most important timber trees in India and Southeast Asia. The most important teak forests in India are in Madhya Pradesh, Maharashtra, Karnataka, Tamil Nadu, Kerala, Andhra Pradesh.

55. What should be the desired percent of forest area in the total geographical area of the country as outlined in the National Forest Policy of 1952 in India?

- (a) 25
- (b) 33
- (c) 39
- (d) More than one of the above
- (e) None of the above

B.P.S.C. PRT 2023 Shift II

Ans. (b)

The First Forest Policy adopted by British colonial Government in 1894 aimed at a custodial and timber-oriented management. The post independence Forest Policy of 1952 recommended that 33% of the area of the country be brought under forest cover.

56. How many Ramsar Sites are there in India?

- (a) 27
- (b) 39
- (c) 41
- (d) 45
- (e) None of the above / More than one of the above

B.P.S.C. Project Manager Prelims 2021

Ans. (*)

As per EIACP Programme Centre "Wildlife & Protected Areas Management" website, on January 2024, India has 80 Ramsar sites in total. A Ramsar site is a wetland site designated to be of international importance under the Ramsar Convention, also known as "The Convention on Wetlands", an international environmental treaty signed on 2 February 1971 in Ramsar, Iran, under the auspices of UNESCO.

57. Which of the following Union Territories has the lowest area under forests?

- (a) Chandigarh
- (b) Puducherry
- (c) Dadra and Nagar Haveli and Daman and Diu
- (d) Lakshadweep
- (e) None of the above / More than one of the above

B.P.S.C. CDPO 2022

Ans. (a)

As per data released by the Ministry of Environment, Forests And Climate Change, Chandigarh's forest cover has increased by 3.85% between 2019 and 2021. In Chandigarh, spread over 114 sq km, the forest cover was 22.03 sq km as per the ISFR 2019. It increased to 22.88 sq.km. in the ISFR 2021. During the two year period, it increased by 0.85 sq km. According to ISFR 2021, the forest cover area was 27.10 sq. km. in Lakshadweep.

58. According to the World Air Quality Report, 2020, which of the following capitals has been found as the most polluted capital?

- (a) Beijing
- (b) Moscow
- (c) Kathmandu
- (d) New Delhi
- (e) None of the above / More than one of the above

B.P.S.C. CDPO 2022

Ans. (d)

Delhi was ranked as the world's most polluted capital city in the World Air Quality Report 2020, prepared by Swiss organisation IQ Air. Delhi ranked fourth on a list of 50 of the world's most polluted cities in terms of PM2.5 levels in 2022, according to the World Air Quality Report prepared by IQ Air.

59. Clones of animals are being produced through the practice of

- (a) genetics
- (b) ecology
- (c) biotechnology
- (d) embryology
- (e) None of the above / More than one of the above

B.P.S.C. CDPO 2022

Ans. (c)

Biotechnology is a portion of biology that deals with biological methods like the genetic manipulation of animals. Cloning is a process achieved through biotechnology. Cloning allows livestock breeders to create an exact genetic copy of an existing animal, essentially an identical twin. Clones are superior breeding animals used to produce healthier offspring.

60. The 'Lisbon Declaration', which made headlines, is associated with the conservation of which entity?

- (a) Air
- (b) Mountains
- (c) Oceans
- (d) Freshwater glaciers

69th B.P.S.C. (Pre) 2023

Ans. (c)

The Lisbon Declaration is associated with the conservation of oceans. The Lisbon Declaration 'Our Oceans, Our Future, Our Responsibility' called on government to do more to prevent, reduce and eliminate marine plastic including single use plastics and micro plastics.

61. Extensive planting of a single commercially valuable species is called–

- (a) Enrichment plantation
- (b) Mixed farming
- (c) Intensive subsistence farming
- (d) More than one of the above
- (e) None of the above

BPSC (Tre-3) {Class 6-8}–2024

Ans. (a)

Enrichment plantation is the practice of clearing out forests to grow a single commercially valuable species. This practice is responsible for eliminating many species in India. An example of enrichment plantation are the teak monocultures in South India.

62. The Asian Cheetah was declared extinct in India in the year–

- (a) 1965
- (b) 1960
- (c) 1950
- (d) More than one of the above
- (e) None of the above

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Ans. (e)

India was once home to the Asiatic cheetah but it was declared extinct there in 1952. The critically endangered subspecies, which once roamed across the Middle East, Central Asia and India, are now only found, in very small numbers, in Iran. The Prime Minister Narendra Modi on September 17, 2022 released wild Cheetahs - which had become extinct from India - in Kuno National Park. Cheetahs - brought from Namibia - are being introduced in India under Project Cheetah, which is world's first inter-continental large wild carnivore translocation project.

63. In which year was the African Convention for the Conservation of Natural Resources held?

- (a) 1990
- (b) 1980
- (c) 1968
- (d) 1960
- (e) None of the above

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Ans. (c)

The African Convention on the Conservation of Nature and Natural Resources was adopted in 1968 in Algiers. The convention came into force on June 16, 1969. The convention was adopted by the Assembly of the African Union on July 11, 2003 in Maputo.

64. Where has the Gharial Breeding Center been established in India?

- (a) Corbett (Uttarakhand)
- (b) Sundarbans (W.B.)
- (c) Morena (M.P.)
- (d) More than one of the above
- (e) None of the above

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Ans. (c)

- The Gharial Breeding Center has been established at Deori, near Morena, in Madhya Pradesh. The Center is on the Mumbai-Agra Highway (NH-44).
- The Gharial Breeding Center in India is a facility established to protect and propagate the endangered gharial, a species of crocodilian native to the Indian subcontinent. The center plays a crucial role in conservation efforts by breeding gharials in captivity and releasing them into their natural habitats. The location of such centers is vital for the success of these efforts, as it must align with the ecological needs of the species.

65. Which of these statements is not a valid reason for the depletion of flora and fauna?

- (a) Agricultural expansion
- (b) Large scale development projects
- (c) Grazing and fuel wood collection
- (d) More than one of the above
- (e) None of the above

BPSC (Tre-3) {Class 11-12}–2024

Ans. (c)

Grazing and fuel wood collection is not a valid reason for the depletion of flora and fauna. In fact, proper grazing does not harm flora and fauna, but overgrazing can.

66. The grassland with scattered trees is called as

- (a) Savanna
- (b) Agroforest
- (c) Rain forest
- (d) More than one of the above
- (e) None of the above

BPSC (Tre-3) {Class 1-5}–2024

Ans. (a)

Grassland with scattered trees is called a savanna. Savannas are a type of tropical grassland, characterized by grasses that cover the ground and scattered trees, shrubs, or palms above. Savannas are found in Africa, Australia, South America, and India. Savannas are located between tropical rainforests and deserts. They have two distinct seasons, one rainy and one dry. Climate is the most important factor in creating a savanna.

67. Which state passed the first resolution for joint forest management?

- (a) Tamil Nadu
- (b) Odisha
- (c) Bihar
- (d) More than one of the above
- (e) None of the above

BPSC (Tre-3) {Class 6-8}–2024

Ans. (b)

In realizing the need for community participation in forest protection, the Govt. of Odisha was the pioneer to adopt a policy of Joint Forest Management even before implementation of National Forest Policy, 1988 (w.e.f. 7.12.1988) in the country.

It has initiated a step to involve the people in protection of Reserved forests adjoining their villages with assigning specific roles and in return granting certain concessions (under section 24 of the Odisha Forest Act 1972) for meeting their bonafide requirement of firewood and small timbers.

It has sought community participation for protection, regeneration and management of the forest wealth widening the scope of employment generation and social empowerment of the forest-fringe dwellers.

68. Where is Salim Ali Bird Sanctuary located?

- (a) Goa
- (b) Srinagar
- (c) Odisha
- (d) Maharashtra
- (e) None of the above/More than one of the above

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Ans. (a)

Salim Ali Bird Sanctuary is located in Goa. This sanctuary is named after Dr. Salim Moizudin Ali, the eminent Indian Ornithologist.